



Office of the Washington State Auditor
Pat McCarthy

Financial Statements and Federal Single Audit Report

City of Redmond

For the period January 1, 2021 through December 31, 2021

Published February 2, 2023

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**Office of the Washington State Auditor
Pat McCarthy**

February 2, 2023

Mayor and City Council
City of Redmond
Redmond, Washington

Report on Financial Statements and Federal Single Audit

Please find attached our report on the City of Redmond's financial statements and compliance with federal laws and regulations.

We are issuing this report in order to provide information on the City's financial condition.

Sincerely,

Pat McCarthy, State Auditor
Olympia, WA

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SCHEDULE OF FINDINGS AND QUESTIONED COSTS

City of Redmond January 1, 2021 through December 31, 2021

SECTION I – SUMMARY OF AUDITOR’S RESULTS

The results of our audit of the City of Redmond are summarized below in accordance with Title 2 U.S. Code of Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance).

Financial Statements

We issued an unmodified opinion on the fair presentation of the basic financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information in accordance with accounting principles generally accepted in the United States of America (GAAP).

Internal Control over Financial Reporting:

- *Significant Deficiencies:* We reported no deficiencies in the design or operation of internal control over financial reporting that we consider to be significant deficiencies.
- *Material Weaknesses:* We identified deficiencies that we consider to be material weaknesses.

We noted no instances of noncompliance that were material to the financial statements of the City.

Federal Awards

Internal Control over Major Programs:

- *Significant Deficiencies:* We reported no deficiencies in the design or operation of internal control over major federal programs that we consider to be significant deficiencies.
- *Material Weaknesses:* We identified no deficiencies that we consider to be material weaknesses.

We issued an unmodified opinion on the City’s compliance with requirements applicable to its major federal program.

We reported no findings that are required to be disclosed in accordance with 2 CFR 200.516(a).

Identification of Major Federal Programs

The following program was selected as a major program in our audit of compliance in accordance with the Uniform Guidance.

<u>ALN</u>	<u>Program or Cluster Title</u>
14.218	CDBG – Entitlement Grants Cluster – Community Development Block Grants/Entitlement Grants
14.218	COVID-19 – CDBG – Entitlement Grants Cluster – Community Development Block Grants/Entitlement Grants

The dollar threshold used to distinguish between Type A and Type B programs, as prescribed by the Uniform Guidance, was \$750,000.

The City did not qualify as a low-risk auditee under the Uniform Guidance.

SECTION II – FINANCIAL STATEMENT FINDINGS

See Finding 2021-001.

SECTION III – FEDERAL AWARD FINDINGS AND QUESTIONED COSTS

None reported.

SCHEDULE OF AUDIT FINDINGS AND RESPONSES

City of Redmond January 1, 2021 through December 31, 2021

2021-001 The City's internal controls were inadequate for ensuring proper revenue recognition.

Background

The City Council, state and federal agencies, and the public rely on the information included in the financial statements and reports to make decisions. Management is responsible for designing, implementing and maintaining internal controls that provide reasonable assurance the City's financial reporting is reliable and its financial statements are accurate.

The City prepares its financial statements in accordance with generally accepted accounting principles (GAAP).

Our audit found deficiencies in internal controls over accounting and financial reporting that affected the City's ability to produce reliable financial statements. *Government Auditing Standards* requires the State Auditor's Office to communicate material weaknesses in internal controls as a finding.

Description of Condition

As described in Note 1 to the financial statements, the City considers revenue to be available if it is collected during the year or within 60 days after year-end. The City recognized paramedic services as revenue even though it was not collected until September 2022, nine months after year-end.

Additionally the City reports two community facilities districts (CFDs) as blended component units in its Capital Improvements Program Fund. The two districts are Redmond Community Facilities District No. 2016-1 and Redmond Community Facilities District No. 2014-1. A total of \$48.9 million was advanced to the City at the time both districts were formed. These funds are used to cover project expenditures, such as labor, materials, equipment, etc. As of December 31, 2021, the unspent deposits totaled \$13,352,386, which consisted of deposits remaining for CFD 2016-1 and CFD 2014-1 of \$11,725,913 and \$1,608,123, respectively.

Both transactions noted above are infrequent occurrences and we found the City had deficiencies in their internal control processes to evaluate the accurate recording in the accounting system and financial statements.

Cause of Condition

City staff performed research however it was not adequate to fully evaluate and report on these unusual transactions. They believed that they had recorded them accurately based on their original interpretation.

Effect of Condition

The deficiency in internal controls resulted in the following misstatements:

- Charges for Services (revenue) was overstated by \$1,099,725, and Unavailable Revenue (deferred inflow) was understated by the same amount in the Advance Life Support Fund. The City should not have reported this as a revenue since it was not collected until September 2022.
- Unearned Revenues (liability) was understated by \$13,352,386, and Deferred Inflow – Unavailable Revenues (Special Assessments) was overstated by the same amount in the Capital Improvements Program Fund. The City should not have reported a deferred inflow because it had already received the money in advance at the time both CFDs were formed.

The City subsequently corrected these misstatements.

Recommendation

We recommend the City conduct an appropriate level of accounting and reporting research, utilizing authoritative guidance when evaluating the accounting and reporting of unusual or infrequent transactions.

City's Response

The City of Redmond appreciates the efforts of the State Auditor's Office. The City disagrees with the findings of this audit. The City has a long history of accurate financial reporting and a many pronged approach to make sure the financial statements are a true and correct representation of its financial standing and takes the accuracy of its financial reporting very seriously. We have a proven track record that our internal controls and management oversight is adequate. Our approach includes the following:

- Accounting staff prepares the financial statements
- The Financial Planning Division reviews the statements for accuracy
- The Accounting Manager reviews the statements against best practices.
- The Deputy Finance Director and the Director review the statements
- The review of our 2021 financial statements also included an external review process. The City hired an accounting firm to consult with and review the cities financial report.

Charges for Services – Advance Life Support Fund

The City reported \$1,099,725 as charges for services revenue in the ALS fund for services incurred and billed in 2021. Revenue Recognition guidance in the Governmental Accounting, Auditing and Financial Reporting (GAAFR) published by GFOA, beginning on page 135; states, “Under the accrual basis of accounting, revenues are recognized when an entity obtains a claim to the resources (earning process substantially complete); regardless of when collection occurs.” Guidance further clarifies revenue recognition by stating that in such unusual circumstances, where the government hasn’t collected within its 60-day availability period, the government can recognize revenue based on its normal collection patterns. In this case, revenue was related to December 2021 expenditures and had been billed to King County; past practices would indicate the City would receive payment within 30 days of billing. Based on our interlocal agreement in place, King County is required to pay invoices within 30 days. This is an unusual circumstance, based on the above criteria the City met the reporting requirements and recorded the transaction correctly. In fact, not recording the transaction would have misled the reader. The City updated the financial statements to comply with the audit team’s recommendation. In addition, the City updated our policy to provide clarification; it now includes the following language, “In unusual circumstances, where payment has been delayed beyond the 60-day cut off, the City may recognize the revenue based on normal collection patterns as to not mislead the reader or distort revenue trends from one year to the next.”

Unearned Revenue – Community Facilities Districts (CFD) 2014-1 & 2016-1

The CFDs were established in 2014 and 2016, at that time the City consulted with SAO to ensure accounting standards and practices were followed; reporting in 2021 is consistent with past practice and historical audited statements, the City recorded \$13,352,386 as Deferred Inflow – Unavailable Revenues (Special Assessments) in the Capital Improvements Program Fund. Community Facilities Districts are considered Special Purpose Districts and are legally separate entities with its own governing board. The City has no financial liability and although the funding was received in advance of the Project, funding is not available without Board approval. Revenue Recognition guidance in the Governmental Accounting,

Auditing and Financial Reporting (GAAFR) published by GFOA, provides the following guidance, “the receipt of cash is not a sufficient basis for recognizing revenue. A government must obtain a claim to resources (earning) before revenue recognition can occur.” Guidance further clarifies revenue recognition by stating that a deferred inflow of resources should be recognized for amounts not considered to be available to liquidate liabilities of the current period. Revenue should not be recognized until relevant Project costs have occurred and funding is not available without board approval. Based on the above criteria the City believes we recorded the transaction accurately. The City updated the financial statements to comply with the audit team’s recommendation.

Auditor’s Remarks

Government Audit Standards require auditors to communicate control deficiencies identified and the effects noted that, when taken together, represent a material weakness.

City management is responsible for the proper presentation of financial statements in accordance with the City’s chosen basis of accounting. We reaffirm the finding. We appreciate the communication with the City and encourage the City to dedicate sufficient resources to strengthen its control structure over financial accounting and reporting.

Applicable Laws and Regulations

Government Auditing Standards, July 2018 Revision, paragraphs 6.40 and 6.41 establish reporting requirements related to significant deficiencies or material weaknesses in internal control, instances of fraud, and noncompliance with provisions of laws, regulations, contracts, or grant agreements.

The American Institute of Certified Public Accountants defines significant deficiencies and material weaknesses in its *Codification of Statements on Auditing Standards*, section 265, Communicating Internal Control Related Matters Identified in an Audit, paragraph 7.

The *Budgeting, Accounting and Reporting System (BARS) Manual*, 3.1.3, Internal Control, requires each local government to establish and maintain an effective system of internal controls that provides reasonable assurance that the government will achieve its objective.

RCW 43.09.200 Local government accounting – Uniform system of accounting, requires the State Auditor to prescribe the system of accounting and reporting for all local governments.

Governmental Accounting Standards Board (GASB) Codification Section S40, *Special Assessments*

The *Budgeting, Accounting and Reporting System* (BARS) Manual, 3.5.1, Classification of Deferred Outflows/Inflows of Resources

INDEPENDENT AUDITOR'S REPORT

Report on Internal Control over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance with *Government Auditing Standards*

City of Redmond January 1, 2021 through December 31, 2021

Mayor and City Council
City of Redmond
Redmond, Washington

We have audited, in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of the City of Redmond, as of and for the year ended December 31, 2021, and the related notes to the financial statements, which collectively comprise the City's basic financial statements, and have issued our report thereon dated December 30, 2022.

REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING

In planning and performing our audit of the financial statements, we considered the City's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control. Accordingly, we do not express an opinion on the effectiveness of the City's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the City's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described above and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies and therefore, material weaknesses or significant deficiencies may exist that were not identified.

However, we identified certain deficiencies in internal control, as described in the accompanying Schedule of Audit Findings and Responses as Finding 2021-001 that we consider to be material weaknesses.

REPORT ON COMPLIANCE AND OTHER MATTERS

As part of obtaining reasonable assurance about whether the City's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion.

The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

CITY'S RESPONSE TO FINDINGS

Government Auditing Standards requires the auditor to perform limited procedures on the City's response to the findings identified in our audit and described in the accompanying Schedule of Audit Findings and Responses. The City's response was not subjected to the auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on the response.

PURPOSE OF THIS REPORT

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the City's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the City's internal control and compliance. Accordingly, this communication is not suitable for any other purpose. However, this

report is a matter of public record and its distribution is not limited. It also serves to disseminate information to the public as a reporting tool to help citizens assess government operations.

A handwritten signature in black ink that reads "Pat McCarthy". The signature is written in a cursive, flowing style.

Pat McCarthy, State Auditor

Olympia, WA

December 30, 2022

INDEPENDENT AUDITOR'S REPORT

Report on Compliance for Each Major Federal Program and Report on Internal Control over Compliance in Accordance with the Uniform Guidance

City of Redmond
January 1, 2021 through December 31, 2021

Mayor and City Council
City of Redmond
Redmond, Washington

REPORT ON COMPLIANCE FOR EACH MAJOR FEDERAL PROGRAM

Opinion on Each Major Federal Program

We have audited the compliance of the City of Redmond, with the types of compliance requirements identified as subject to audit in the U.S. *Office of Management and Budget (OMB) Compliance Supplement* that could have a direct and material effect on each of the City's major federal programs for the year ended December 31, 2021. The City's major federal programs are identified in the auditor's results section of the accompanying Schedule of Findings and Questioned Costs.

In our opinion, the City complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended December 31, 2021.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (Uniform Guidance)* are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the City and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on

compliance for each major federal program. Our audit does not provide a legal determination on the City's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules and provisions of contracts or grant agreements applicable to the City's federal programs.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the City's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards* and the Uniform Guidance will always detect a material noncompliance when it exists. The risk of not detecting a material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgement made by a reasonable user of the report on compliance about the City's compliance with the requirements of each major federal program as a whole.

Performing an audit in accordance with GAAS, *Government Auditing Standards* and the Uniform Guidance includes the following responsibilities:

- Exercise professional judgment and maintain professional skepticism throughout the audit;
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the City's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances;
- Obtain an understanding of the City's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control over compliance. Accordingly, no such opinion is expressed; and

- We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

REPORT ON INTERNAL CONTROL OVER COMPLIANCE

A *deficiency in internal control over compliance* exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed. Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance and therefore, material weaknesses or significant deficiencies may exist that were not identified.

Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above.

Purpose of this Report

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other

purpose. However, this report is a matter of public record and its distribution is not limited. It also serves to disseminate information to the public as a reporting tool to help citizens assess government operations.

A handwritten signature in black ink that reads "Pat McCarthy". The signature is written in a cursive, flowing style.

Pat McCarthy, State Auditor

Olympia, WA

January 24, 2023

INDEPENDENT AUDITOR'S REPORT

Report on the Audit of the Financial Statements

City of Redmond **January 1, 2021 through December 31, 2021**

Mayor and City Council
City of Redmond
Redmond, Washington

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Opinions

We have audited the accompanying financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of the City of Redmond, as of and for the year ended December 31, 2021, and the related notes to the financial statements, which collectively comprise the City's basic financial statements as listed in the financial section of our report.

In our opinion, the accompanying financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of the City of Redmond, as of December 31, 2021, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the City and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Matters of Emphasis

As discussed in Note 19 to the financial statements, prior period adjustments were made to correct misstatements in the governmental funds. Our opinion is not modified with respect to this matter.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the City's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

Performing an audit in accordance with GAAS and *Government Auditing Standards* includes the following responsibilities:

- Exercise professional judgment and maintain professional skepticism throughout the audit;
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements;
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control. Accordingly, no such opinion is expressed;

- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements;
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the City's ability to continue as a going concern for a reasonable period of time; and
- Communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis and required supplementary information listed in the financial section of our report be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the City's basic financial statements. The accompanying Schedule of Expenditures of Federal Awards is presented for purposes of additional analysis as required by Title 2 *U.S. Code of Federal Regulations* (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). This supplementary information is not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional

procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated, in all material respects, in relation to the basic financial statements taken as a whole.

OTHER REPORTING REQUIRED BY GOVERNMENT AUDITING STANDARDS

In accordance with *Government Auditing Standards*, we have also issued our report dated December 30, 2022 on our consideration of the City's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the City's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the City's internal control over financial reporting and compliance.

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Pat McCarthy, State Auditor

Olympia, WA

December 30, 2022

FINANCIAL SECTION

City of Redmond January 1, 2021 through December 31, 2021

REQUIRED SUPPLEMENTARY INFORMATION

Management's Discussion and Analysis – 2021

BASIC FINANCIAL STATEMENTS

Statement of Net Position – 2021

Statement of Activities – 2021

Balance Sheet – Governmental Funds – 2021

Statement of Revenues, Expenditures and Changes in Fund Balances – Governmental
Funds – 2021

Reconciliation of the Statement of Revenues, Expenditures and Changes in Fund
Balances of Governmental Funds to the Statement of Activities – 2021

Statement of Net Position – Proprietary Funds – 2021

Statement of Revenues, Expenses and Changes in Fund Net Position – Proprietary Funds
– 2021

Statement of Cash Flows – Proprietary Funds – 2021

Notes to Financial Statements – 2021

REQUIRED SUPPLEMENTARY INFORMATION

Schedule of Revenues, Expenditures and Changes in Fund Balance – Budget and Actual
– General Fund – 2021

Schedule of Revenues, Expenditures and Changes in Fund Balance – Budget and Actual
– Advanced Life Support Major Fund – 2021

Schedule of Proportionate Share of the Net Pension Liability – PERS 1, PERS 2/3,
PSERS, LEOFF 1, LEOFF 2 – 2021

Schedule of Employer Contributions – PERS 1, PERS 2/3, PSERS, LEOFF 2 – 2021

Schedule of Changes in Total Pension Liability and Related Ratios – Firefighter's
Pension Plan – 2021

Schedule of Changes in Total OPEB Liability and Related Ratios – OPEB Plan –
LEOFF 1 – 2021

Notes to the Required Supplementary Information – 2021

SUPPLEMENTARY AND OTHER INFORMATION

Schedule of Expenditures of Federal Awards – 2021

Notes to the Schedule of Expenditures of Federal Awards – 2021

Management's Discussion and Analysis

The management discussion and analysis section of the City of Redmond's Annual Comprehensive Financial Report provides an overview of the City's financial activities for the year ending December 31, 2021. The purpose is to highlight significant financial issues, major financial activities and resulting changes in the financial position and economic factors affecting the City. Readers are encouraged to consider the information presented here in conjunction with the information furnished in the letter of transmittal, the City's financial statements and the accompanying notes following the financial information.

Financial Highlights

Development activity and the real estate market were very strong in 2021 despite the disruption caused by the COVID-19 pandemic, with many employees continuing to work remotely and businesses re-opening with restrictions. As a result, sales tax, development-related revenues, and real estate excise tax were up significantly in 2021 compared to 2020. Development activity was concentrated primarily in the Overlake, Downtown, and Southeast neighborhoods, led by the redevelopment of the Microsoft campus and the construction of a new light rail system by Sound Transit, which includes four light rail stations in Redmond. Major financial highlights are noted below:

- Given the uncertainty facing the City in 2020 amidst the COVID-19 pandemic, a conservative budget was developed for the 2021-2022 biennium based on reduced revenues in 2020. As a result, service level reductions were required to balance the budget while maintaining community priorities. In addition, efficiencies were identified in the non-personnel costs within each department's budget.
- The City received \$4.96 million in federal funding through the American Rescue Plan Act (ARPA) to aid public health and economic recovery from the COVID-19 pandemic. The City will receive another \$4.96 million in 2022.
- In September 2021, the City completed a taxable advance refunding of two outstanding bond issues: 1) 2013 limited tax general obligation (LTGO) bonds, which were issued to refund and defease the outstanding lease revenue bonds used to finance the construction of City Hall, the municipal parking garage, and other enhancements to the City campus; and 2) 2014 utility system revenue bonds, which were issued to construct and improve pump stations, access chambers, regional facilities in the Overlake and Downtown areas of the City, and flow control and water quality facilities. The net present value savings secured from refunding the 2013 LTGO bonds and 2014 utility system revenue bonds was \$1.93 million and \$1.26 million, respectively.
- The assets and deferred outflows of resources of the City of Redmond exceeded its liabilities and deferred inflows at the end of 2021 by \$1.1 billion (total net position), which represents an increase of \$79.1 million (7.4%) over 2020. The largest component of total net position is net investment in capital assets at \$814.3 million. The unrestricted net position totals \$195.7 million and may be used to meet the city's ongoing obligations to residents and creditors. In addition, the restricted net position totals \$136.2 million and is earmarked for debt service, capital projects, and special revenue funds.
- The ending net position includes a prior period adjustment of \$12.8 million, which consists of a \$13.4 million decrease related to reporting of CFD special assessments, \$1.2 million increase related to the capitalization of two major software implementation projects, a \$67,105 increase from reversing depreciation on a piece of artwork, and a \$736,703 decrease related to the City's portion of state shared tax revenue, which was previously accrued (see Note 19 for additional information).
- The ending net position for governmental activities was \$652.3 million, which represents an increase of \$61.0 million (10.3%). Of this total amount (\$73.9 million) is available for spending at the City's discretion (unrestricted net position).
- The City of Redmond's net investment in capital assets increased by \$31.4 million in 2021. The increase is primarily due to utility improvements to manage stormwater runoff at an Overlake Village light rail station (\$10.6 million) and to seismically upgrade and paint the SE Redmond tank (\$5.2 million). Other significant projects were completed to renovate community recreation infrastructure, including the Redmond Pool (\$9.3 million) and Westside Park (\$2.4 million). Investments were also made to seismically upgrade Fire Stations 14 and 18 (\$4.2 million) and to address energy efficiency

in City facilities (\$1.2 million). Transportation system improvements include the replacement of a retaining wall on Willow Road (\$1.4 million) and improvements to 31st Street (\$550,000), NE 70th Street (\$400,000), and 31st Street (\$550,000).

Overview of the Financial Statements

This discussion and analysis are intended to serve as an introduction to the City of Redmond's basic financial statements, which are comprised of three components: 1) government wide financial statements, 2) fund financial statements and 3) notes to the financial statements. Other supplementary information, intended to furnish additional detail to support the basic financial statements, is also contained in the report.

Government-wide Financial Statements

The government-wide financial statements are designed to provide readers with a broad overview of the City of Redmond's finances, in a manner similar to a private-sector business.

The **Statement of Net Position** presents financial information on all of the City of Redmond's assets, liabilities, and deferred inflows/outflows of resources, with the difference reported as net position. Over time, increases or decreases in net position may serve as a useful indicator of whether the financial position of the City of Redmond is improving or deteriorating.

The **Statement of Activities** presents information designed to show how the City's net position changed during the year. The statement distinguishes revenue generated by specific functions from revenue provided by taxes and other sources not related to a specific function. The revenue generated by the specific functions (charges for services, grants, and contributions) is compared to the expenses for those functions to show the degree to which each function supports itself or relies on taxes and other general funding sources for support. All activity on this statement is reported on the accrual basis of accounting, requiring that revenues are reported when they are earned and expenses are reported when they are incurred, regardless of when cash is received or disbursed. Items such as (but not limited to) uncollected taxes, unpaid vendor invoices for goods or services received during the year and earned but unused vacation leave are included in the statement of activities as revenue and expenses even though no cash has changed hands.

The government-wide financial statements distinguish functions of the City of Redmond that are principally supported by taxes and intergovernmental revenues (*governmental activities*) from other functions that are intended to recover all or a significant portion of their costs through user fees and charges (*business-type activities*). The governmental activities of the City of Redmond include general government (finance, executive and human resources), security (police and fire), economic environment, transportation, and culture and recreation. The City's business-type activities are limited to water/wastewater and stormwater utilities. Governmental activities are primarily supported by taxes, charges for services, and grants. Business-type activities are primarily self-supporting through user fees and charges.

Fund Financial Statements

The annual comprehensive financial report includes fund financial statements in addition to the government-wide financial statements. While the government-wide statements present the City's finances based on the type of activity, general government versus business-type, the fund financial statements are presented by fund type such as the general fund, special revenue funds, and proprietary funds. A fund is a fiscal and accounting entity with a self-balancing set of accounts used to account for specific activities or meet certain objectives. Funds are often set up in accordance with special regulations, restrictions, or limitations. The City of Redmond, like other state and local governments, uses fund accounting to ensure and show compliance with finance-related legal requirements. The City's funds are divided into two categories: governmental funds and proprietary funds.

Governmental funds are used to account for essentially the same functions as are reported as governmental activities in the government-wide financial statements. These reports use a different "basis of accounting" than that used in government-wide financial statements. The governmental fund statements focus on near-term revenues/financial resources and expenditures while the government-wide financial statements include both near-term and long-term revenues/financial resources and expenses. The information in the governmental fund statements can be used to evaluate the City's near-term financing

requirements and immediate fiscal health. Comparing the governmental fund statements with the government-wide statements can help the reader better understand the long-term impact of the City's current year financing decisions. To assist in this comparison, reconciliations between the governmental fund statements and the government-wide financial statements are included with the governmental fund Balance Sheet and the governmental fund Statement of Revenues, Expenditures, and Changes in Fund Balances.

The City of Redmond maintains thirteen individual governmental funds. The City has three major governmental funds – the General Fund, the Capital Improvement Program fund and the Advanced Life Support Fund – presented separately in the governmental fund Balance Sheet and the governmental fund Statement of Revenues, Expenditures, and Changes in Fund Balances. The remaining governmental funds are combined in this statement into a single column labeled other governmental funds. Individual fund data for each of the other governmental funds can be found in combining statements later in this report.

The City maintains budgetary control over its operating funds through the adoption of a biennial budget. Budgets are adopted at the fund level for all funds in accordance with state law. All budgetary comparison schedules are included following the other governmental funds' combining statements in this report.

Following is a brief analysis of each of the City's major governmental funds:

The General Fund is the primary operating fund of the City through which all receipts and payments of ordinary City operations are processed unless they are required to be accounted for in another fund. At the end of 2021, the fund balance of the General Fund was \$81.8 million, which represents a decrease from the prior year of \$4.1million (4.8%).

General Fund revenues decreased by \$2.6 million (1.9%) in 2021 primarily due to the net effect of the following:

- Collectively, taxes increased by \$9.7 million (11.5%) with sales tax up \$7.8 million (18.2%), utility taxes up \$974,000 (10.2%), and property tax up \$721,000 (2.6%). Most of the growth in sales tax was in the construction, services, and wholesale business sectors. Most of the growth in utility taxes was in electric utility tax, which was up \$557,000 (10.5%), and telephone utility tax, which was up \$305,000 (20.4%). Property tax growth encompassed the 1% levy increase allowed by state law and new construction additions to the property tax rolls.
- Intergovernmental revenues decreased by \$8.4 primarily due to a one-time grant revenue received from the Washington State Department of Transportation in 2020 for the NE 40th Grade Separation project.
- Contributions decreased by \$2.8 million due to two significant developer contributions in 2020.
- The net change in fair value of investments decreased by \$2.1 million.

General Fund expenditures decreased by \$12.0 million (10.3%) in 2021 primarily due to the following:

- Service level reductions in the 2021-2022 adopted budget;
- Position vacancies in 2021;
- COVID-19 related expenditures in 2020;
- Planning contributions to ARCH for the Esterra and Modera Overlake projects in 2020; and
- NE 40th Grade Separation project spending in 2020.

The Capital Improvement Program Fund (CIP Fund) account for financial resources to be used for the acquisition, construction, and preservation of major capital facilities other than those financed by proprietary funds. At the end of 2021, the collective fund balances of the CIP Funds amounted to \$67.1 million, which represents an increase from the prior year of \$34.1 million.

- Capital Improvement Program revenues increased by \$10.1 million (87.3%) in 2021 primarily due to the net effect of a \$10.6 million increase in charges for services (impact fees), a \$635,000 in miscellaneous revenue related to special assessments, a \$1.5 million decrease in

intergovernmental revenues, and a \$700,000 decrease in interest earnings and gains and losses on investments.

- Capital Improvement Program expenditures in 2021 was \$14.3 million, which is consistent with 2020. The program remains active with many projects underway, but the City did experience supply chain issues and labor shortages that caused delays in project schedules in 2021.
- Capital Improvement Program net transfers between other funds increased by \$26.7 million primarily due to a \$16.6 million transfer of surplus net resources from the General Fund and a \$2.1 million increase in transfers from the Real Estate Excise Tax Fund.

The Advanced Life Support Fund was established in 2004 to provide Advanced Life Support Medic One services as part of the Northwest Advanced Life Support consortium. In accordance with GASB 34, the City determined that the Fund meets the requirement of a major fund. As reported on the Statement of Revenues, Expenditures and Changes in Fund Balances – Governmental Funds, total revenues were \$8.1 million and total expenditures were \$9.8 million. At the end of 2021, the fund balance of the Advanced Life Support Fund was (\$290,000), which represents a decrease from the prior year of \$767,000 due to an increase in capital expenditures and the timing of a \$1.6 million receivable.

Proprietary funds are used by governments to account for their business-type activities. Business-type activities provide specific goods or services to a group of customers that are paid for by fees charged to those customers. There is a direct relationship between the fees paid and the services received.

The City of Redmond has two types of proprietary funds, enterprise funds and internal service funds. Enterprise funds are used to account for goods and services provided to the community. Internal service funds are used to account for goods and services provided internally to various City departments. The same basis of accounting is used for proprietary funds in both the government-wide statements and the individual fund statements.

Enterprise funds of the City are used to report the same functions presented as business-type activities in the government-wide statements with the fund statements providing more detail than is reported in the government-wide statements. The enterprise fund statements provide separate information for the City's water/wastewater utility, an Urban Planned Development (UPD) water/wastewater utility outside the City limits, and the City's stormwater utility.

Internal service funds are an accounting device used to accumulate and allocate costs internally among the City's various functions. The City uses internal service funds to account for its fleet of vehicles, insurance premiums and claims, medical self-insurance, worker's compensation self-insurance program, and information technology. Internal service fund activities are predominantly governmental and have been included in the governmental activities' columns of the government-wide Statement of Net Position and Statement of Activities.

Notes to the Financial Statements

The notes to the financial statements provide additional information that is important for a full understanding of the data in the government-wide and fund financial statements. The notes are located immediately following the basic financial statements.

Other Information

In addition to the basic financial statements and accompanying notes, this report also presents certain **required supplementary information** concerning the City's progress in funding its obligation to provide pension benefits, and lifetime medical benefits to uniformed personnel hired before October 1, 1977. Required supplementary information may be found immediately following the notes to the financial statements.

The combining statements for other governmental funds and internal service funds are presented immediately following the required supplementary information.

Government-wide Financial Analysis

Statement of Net Position

The Statement of Net Position can serve as a useful indicator of the City's financial position. The City of Redmond's total net position as of December 31, 2021 was \$1.1 billion, which represents a \$79.1 million (7.4%) increase over 2020. The reasons for this increase are discussed in the following sections for governmental activities and business-type activities.

The largest component of the City's total net position (\$814.3 million, or 71%) is net investment in capital assets (i.e., land, buildings, machinery, equipment, vehicles, and infrastructure less any related outstanding debt that was used to acquire those assets). The City uses these capital assets to provide a variety of services to the community. Accordingly, these assets are not available for future spending. Although investment in capital assets is reported net of related debt, it should be noted that the resources used to repay this debt must be provided from other sources, since the capital assets themselves cannot be used to liquidate these liabilities. The restricted component of the City's total net position (\$136.2 million, or 11.9%) represents resources that are subject to external restrictions on how they may be used. It mostly encompasses resources that are restricted for capital projects (\$64.2 million) and net pension asset (\$56.1 million). The remaining total net position balance of \$195.7 million (17.1%) is unrestricted and may be used to meet the City's ongoing obligations to the community and creditors.

Following is a condensed version of the government-wide Statement of Net Position for 2021 compared to 2020, with governmental activities and business-type activities separately identified.

City of Redmond's Net Position (in thousands)

	Governmental Activities		Business-Type Activities		Total	
	2021	2020	2021	2020	2021	2020
Current and other assets	\$ 236,983	\$ 193,264	\$ 131,216	\$ 127,575	\$ 368,199	\$ 320,839
Net pension asset	81,755	17,527	6,301	-	88,056	17,527
Capital assets, net of accumulated depreciation	493,414	483,008	388,838	378,430	882,252	861,438
Total assets	\$ 812,152	\$ 693,799	\$ 526,355	\$ 506,005	\$ 1,338,507	\$ 1,199,804
Deferred outflow s:						
Debt refunding	2,424	2,652	218	-	2,642	2,652
Pensions	7,421	8,150	685	804	8,106	8,954
OPEB	-	287	-	-	-	287
Asset retirement Obligation	-	155	172	1,270	172	1,425
Total assets and deferred outflow s	\$ 821,997	\$ 705,043	\$ 527,430	\$ 508,079	\$ 1,349,427	\$ 1,213,122
Long-term liabilities	\$ 51,248	\$ 32,395	\$ 23,818	\$ 25,165	\$ 75,066	\$ 57,560
Net pension liability	3,375	11,779	655	2,622	4,030	14,401
Total OPEB liability	17,930	17,763	-	-	17,930	17,763
Other liabilities	38,402	45,379	2,444	3,615	40,846	48,994
Total liabilities	\$ 110,955	\$ 107,316	\$ 26,917	\$ 31,402	\$ 137,872	\$ 138,718
Unavailable Revenue - ALS	-	-	-	-	-	-
Deferred inflow s - OPEB	425	-	-	-	425	-
Deferred inflow s - Pensions	58,331	6,480	6,576	815	64,907	7,295
Total liabilities and deferred inflow s	\$ 169,711	\$ 113,796	\$ 33,493	\$ 32,217	\$ 203,204	\$ 146,013
Net Position						
Net investment in capital assets	\$ 449,934	\$ 429,592	\$ 364,354	\$ 353,335	\$ 814,288	\$ 782,927
Restricted	128,422	83,108	7,807	7,441	136,229	90,549
Unrestricted	73,931	78,547	121,776	115,086	195,707	193,633
	\$ 652,287	\$ 591,247	\$ 493,937	\$ 475,862	\$ 1,146,224	\$ 1,067,109

Changes in Net Position

Following is a condensed version of the Changes in Net Position for 2021 compared to 2020, noting the revenues, expenses, and other items, with governmental activities and business-type activities separately identified.

City of Redmond's Changes in Net Position (in thousands)

	Governmental Activities		Business-Type Activities		Total	
	2021	2020	2021	2020	2021	2020
Revenues:						
Program revenues:						
Charges for services	\$ 67,486	\$ 49,941	\$ 62,335	\$ 58,691	\$ 129,821	\$ 108,632
Operating grants and contributions	9,167	20,344	898	4,912	10,065	25,256
Capital grants and contributions	5,606	2,266	6,338	4,938	11,944	7,204
General revenues:						
Property taxes	28,946	28,225	-	-	28,946	28,225
Sales taxes	50,524	42,750	-	-	50,524	42,750
Other taxes	26,826	22,173	-	-	26,826	22,173
Investment interest	(877)	3,283	(442)	2,230	(1,319)	5,513
Miscellaneous	4,489	6,755	278	404	4,767	7,159
Total revenues	\$ 192,167	\$ 175,737	\$ 69,407	\$ 71,175	\$ 261,574	\$ 246,912
Expenses:						
General government	\$ 20,731	\$ 27,793	\$ -	\$ -	\$ 20,731	\$ 27,793
Public Safety	57,370	65,454	-	-	57,370	65,454
Economic environment	8,871	15,050	-	-	8,871	15,050
Transportation	17,997	27,587	-	-	17,997	27,587
Culture and recreation	8,186	10,797	-	-	8,186	10,797
Social Services	2,756	-	-	-	2,756	-
Interest on long term debt	2,798	2,101	-	-	2,798	2,101
Water/Wastewater	-	-	33,213	35,947	33,213	35,947
UPD Water/Wastewater	-	-	6,928	6,698	6,928	6,698
Stormwater	-	-	10,835	11,506	10,835	11,506
Total expenses	\$ 118,709	\$ 148,782	\$ 50,976	\$ 54,151	\$ 169,685	\$ 202,933
Increase/(Decrease) in net position						
Before special item and transfers	73,458	26,955	18,431	17,024	91,889	43,979
Gain on disposal of capital assets	1	-	-	-	1	-
Special Item - CFD 2014-1	-	(25,411)	-	-	-	(25,411)
Transfers, internal activities	356	(91)	(357)	91	(1)	-
Increase (decrease in net position)	73,815	1,453	18,074	17,115	91,889	18,568
Net position - beginning	591,247	591,386	475,863	459,311	1,067,110	1,050,697
Prior period adjustments	(12,776)	(879)	-	29	(12,776)	(850)
Changes in accounting principles - GASB 75	-	(713)	-	(593)	-	(1,306)
Net position - ending	\$ 652,286	\$ 591,247	\$ 493,937	\$ 475,862	\$ 1,146,223	\$ 1,067,109

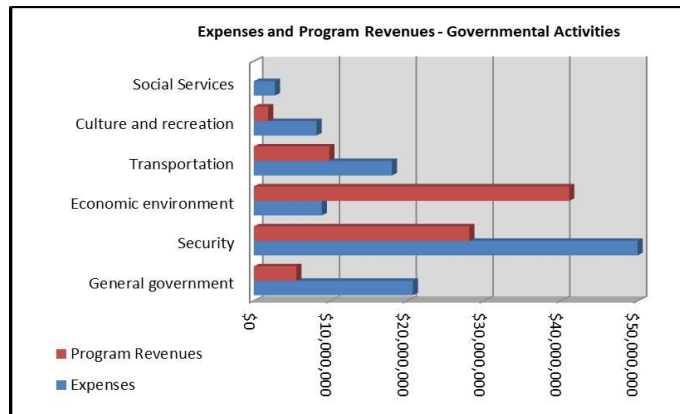
Governmental Activities

The net position for governmental activities increased by \$61.0 million (10.3%) in 2021. Key elements of the increase are as follows:

- Total assets and deferred outflows from governmental activities increased by \$116.9 million (16.6%) in 2021.
 - Cash and investments increased by \$43.1 million (27.3%) in 2021.
 - Due from other governments decreased by \$606,000 (4.5%) in 2021 due to a decrease in grant funding for capital projects.
 - Capital assets increased by \$10.4 million (2.2%) in 2021, which reflects the City's investments in infrastructure and technology and includes assets contributed by developers.

- Net pension assets increased \$64.2 million (366.5%) in 2021, and deferred outflows for pensions decreased \$729,000 (9.0%) in 2021. See Note 7 – Pensions for additional information.
- Total liabilities and deferred inflows from governmental activities increased by \$55.9 million (49.1%) in 2021.
 - Debt decreased by \$3.8 million (6.9%). See Note 11 – Long-Term Obligations for more information.
 - Net pension liability (including total pension liability for the fire fighter pension plan) decreased \$8.4 million (71.3%) in 2021, and deferred inflows for pensions increased \$51.9 million (800.2%). Pension liabilities fluctuate from year-to-year due to assumption changes, investment returns, and several other reasons. See Note 7 – Pensions for additional information.
 - Accounts/claims payable decreased by \$4.7 million (44.8%) due to a large invoice related to Community Facility District projects that was accrued in 2020, and payments due to other governments increased by \$1.7 million due to the remittance timing of school impact fees to the Lake Washington School District.
- Total revenues increased by \$42.3 million (28.1%) in 2021.
 - Total tax revenues increased by \$13.1 million (14.1%) in 2021 due to increases in sales taxes (\$7.8 million), excise taxes (\$3.4 million), business and occupation taxes (\$1.3 million), and property taxes (\$721,000).
 - Program revenues increased by \$10.7 million (7.6%) in 2021 due to the net effect of a \$17.5 million (26.0%) increase in charges for services and a \$7.8 million (34.7%) decrease in operating and capital grants and contributions. Within charges for services, economic environment and transportation was up \$11.6 million due to permit revenues and impact fees from large developments that are underway, public safety was up \$4.6 million due to the cost of providing emergency medical services and Fire District 34 contract revenue for Fire Station improvements, and culture and recreation was up \$1.2 million due to recreation services being restored in 2021.
 - Miscellaneous revenue decreased by \$2.3 million in 2021 primarily due to a change in presentation and reporting of disposal of capital assets revenue (\$4.7 million) from miscellaneous revenue to the program revenue category, and special assessment revenue related to Redmond Community Facilities Districts (CFD) decreased in 2021.
- Total expenses decreased by \$30.1 million (20.2%) primarily due to a \$9.6 million reduction in transportation, an \$8.1 million reduction in public safety, a \$7.1 million reduction in general government, and a \$6.2 million reduction in economic environment. The \$7.1 million decrease in general government is partially attributable to a change in reporting, with \$2.8 million being reported under social services rather than general government.

The graph that follows compares program revenues to program expenses from the Statement of Activities and illustrates the impact of various city functions on net position from operations before taxes for governmental activities in 2021.

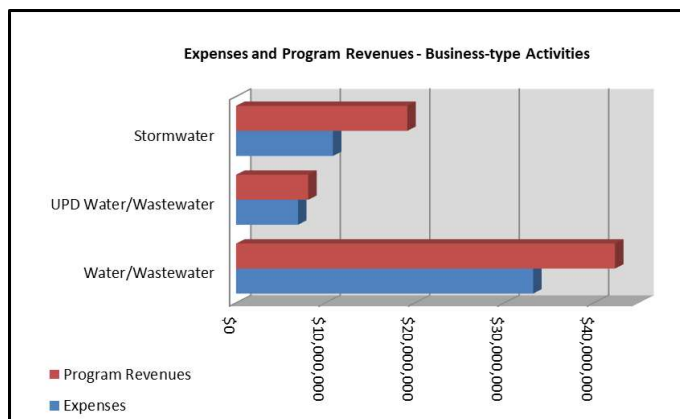


Business-type Activities

Business-type activities account for 42.4% of the City's net position. Business-type activities of the City's utilities increased the City of Redmond's net position by \$18.1 million (3.8%). Key elements of this increase are as follows:

- Investment in capital assets increased \$9.8 million or 2.9% between 2020 and 2021. Net investment in capital assets increased by \$9.4 million or 2.7%.
- The Water/Wastewater utility showed operating income of \$7.1 million in 2021 compared to \$4.4 million in 2020, this is primarily related to an increased revenue due to extreme weather conditions and decreased expenditures related to position vacancies and the purchase of water of \$.36 million. Novelty Hill Water/Wastewater utility showed operating income of \$1.1 million compared to \$0.97 million in 2020 due increased revenues related to extreme weather conditions and a slight decrease in expenditures related to the purchase of water \$.063 million. When non-operating income and capital contributions are included, the change in net position is \$8.9 million for the Water/Wastewater utility and \$1.1 million for the Novelty Hill Water/Wastewater utility.
- The Water/Wastewater utility commercial customer class continues to recover from the impact of COVID which has caused reduction in water consumption and decrease in revenues.
- The Stormwater utility showed operating income of \$5.2 million in 2021 compared to \$5.4 million in 2020, due to slight increases in operating revenues. When non-operating income and capital contributions are included, the change in net position is \$8.1 million, compared to \$9.6 million in 2020. This is primarily a result of an increase in income received from grants of \$1.9 million, an increase in operating revenue of \$0.5 million, offset by a decrease in operating expenses of \$0.7 million and a decrease in capital contributions of \$3.4 million.

The graph that follows compares program revenues to program expenses from the Statement of Activities and illustrates the revenues by source separately for the business-type activities in 2021.



General Fund Budgetary Highlights

The City of Redmond budgets on a biennial basis. The final adopted budget for 2021 includes the following amendments to the originally adopted budget:

- Recognizing the difference between budgeted and actual beginning fund balances;
- Recognizing revenue and expenses related to departmental reorganizations;
- Recognizing awarded grant revenue such as the American Rescue Plan Act (ARPA);
- Increasing the Police Department for Body Worn Camera program and increasing the Planning and Community Development Department for additional staffing to address the high level of development activity;
- Increasing interfund transfer out to fund the following capital projects: Redmond Senior and Community Center, Public Safety Building Phase 3, Maintenance and Operations Center, and other capital projects;
- Increasing interfund transfer out to restore funding for priority maintenance and operations activities; and
- Increasing interfund transfer out to fund Human Services.

Total revenues in 2021 exceeded budget by \$24.0 million (21%) primarily due to the following:

- Sales and use tax was \$21.0 million higher than budget. The increase is primarily due to the high level of development activity.
- Permit revenues were \$1.6 million higher than budget. The increase is primarily due to the high level of development activity.
- Intergovernmental revenues were \$2.4 million higher than budget. The increase is primarily due to grant awards to fund projects such as the Willows Road culvert replacement and NE 40th Separation Grade.
- Charges for services was \$2.0 million higher than budget. This is primarily due to engineering review fees, which were driven by the high level of development activity.

Total expenditures in 2021 were under budget by \$6.4 million primarily due to the following:

- Professional services were \$2.5 million under the budget. The primary reason is a slow start by Human Services to fund local non-profit organizations and lower than normal spending by Parks and Recreation for recreational programs and community events.
- Outside repairs and maintenance was \$5.1 million under budget, because some projects had a slow start including the SR520 Grade separation project, Thermoplastic stop bars and crosswalk refresh, 148th Street Asphalt maintenance, 85th Street bridge overlay project, and replacement of Idylwood Park floating dock.
- Overtime salaries were \$1.9 million over budget due to position vacancies, personnel in quarantine for potential COVID exposure, and fire personnel deployed to wildfire-stricken areas.

City of Redmond's Capital Assets (Net of Accumulated Depreciation)

The City of Redmond's investment in capital assets for its governmental and business-type activities (not including investment in joint ventures) at the end of 2021 amounted to \$882.3 million (net of accumulated depreciation), which represents an increase of \$20.8 million from 2020. Investment in capital assets includes land, art and construction in progress, which are not subject to depreciation. The other capital assets, buildings and building improvements, improvements other than buildings, machinery and equipment, and infrastructure are subject to depreciation.

Governmental capital assets (net of accumulated depreciation) totaled \$493.4 million at the end of 2021, which represents an increase of \$10.4 million from 2020. Business-type capital assets (net of accumulated depreciation) totaled \$388.8 million at the end of 2021, which represents an increase of \$10.4 million from 2020. In addition to the effects of depreciation, these increases are the result of land acquisitions, improvements to buildings, contributed capital, and construction in progress. More information on the City's Capital Assets can be found in Note 6 – Capital Assets in the notes to the financial statements.

City of Redmond's Capital Assets
(net of depreciation)
(in thousands)

	Governmental Activities		Business-Type Activities		Total	
	2021	2020	2021	2020	2021	2020
Land & Land Rights	\$ 161,925	\$ 157,554	\$ 25,757	\$ 25,755	\$ 187,682	\$ 183,309
Intangibles	-	-	1,125	1,125	1,125	\$ 1,125
Buildings/ Bldg. Improvements	71,663	60,270	25,771	26,530	97,434	\$ 86,801
Improvements other than Buildings	32,577	31,327	307,767	297,127	340,344	\$ 328,455
Machinery and Equipment	15,300	14,341	604	734	15,904	\$ 15,076
Construction in Progress	15,426	20,392	27,814	27,158	43,240	\$ 47,550
Infrastructure	194,265	198,550	-	-	194,265	\$ 198,550
Art	2,257	573	-	-	2,257	\$ 573
Total	<u>\$ 493,414</u>	<u>\$ 483,009</u>	<u>\$ 388,838</u>	<u>\$ 378,430</u>	<u>\$ 882,252</u>	<u>\$ 861,440</u>

City of Redmond's Outstanding Debt

At the end of 2021, the City of Redmond had total outstanding bonds of \$59.4 million, which consists of \$40.6 million in general obligation bonds and \$18.8 million in revenue bonds. In addition, the City had \$4.3 million in Public Works Trust Fund Loans, which constitute direct borrowings.

City of Redmond's Long-term Debt
(in thousands)

	Governmental Activities		Business-Type Activities		Total	
	2021	2020	2021	2020	2021	2020
General obligation bonds	\$ 40,570	\$ 42,810	\$ -	\$ -	\$ 40,570	\$ 42,810
G.O. bond premiums	2,248	3,285	-	-	2,248	3,285
Revenue bonds	-	-	18,850	17,785	18,850	17,785
Revenue bond issuance premiums	-	-	425	2,195	425	2,195
Public Works Trust Fund loans	945	1,039	3,311	3,514	4,256	4,553
Total	<u>\$ 43,763</u>	<u>\$ 47,134</u>	<u>\$ 22,586</u>	<u>\$ 23,494</u>	<u>\$ 66,349</u>	<u>\$ 70,628</u>

The City's outstanding general obligation bonds, which are reported under governmental activities, include the following. In 2013, the City issued \$33.1 million in limited tax general obligation refunding bonds with an interest rate of 1.75-5.00% to advance refund \$32.8 million of outstanding 2004 Limited Tax General Obligation Lease Revenue Bonds for City Hall and the parking garage. The refunding resulted in deferred outflows of \$1.5 million. In 2015, the City issued \$9.3 million in limited tax general obligation refunding bonds with an interest rate of 3.00% to advance refund \$8.9 million of outstanding 2008 Limited Tax General Obligation Bonds. The refunding resulted in deferred outflows of \$0.95 million. In 2016, the City issued

\$11.6 million in limited tax general obligation refunding bonds with an interest rate of 2.0-5.0% to advance refund \$11.7 million of outstanding 2008 Limited Tax General Obligation Bonds. The refunding resulted in deferred outflows of \$1.4 million. In addition, the City issued \$6.0 million in limited tax general obligation bonds with an interest rate of 2.0-5.0% to finance the costs of transportation improvements. In 2021, the City issued \$18.9 million in limited tax general obligation refunding bonds with an interest rate of 0.24-2.40% to advance refund \$17.1 million of outstanding 2013 Limited Tax General Obligation Bonds. The refunding resulted in deferred outflows of \$0.96 million.

The City's outstanding revenue bonds, which are reported under business-type activities, include the following. In 2014, the City issued \$23.0 million in stormwater revenue bonds with an interest rate of 3.26-4.25% to finance the construction and improvement of various pump stations, access chambers, regional facilities in the Overlake and Downtown areas of the City, flow control, and water quality facilities. The 2014 stormwater revenue bonds also provided funding for stream and habitat restoration projects. In 2021, the City issued \$15.9 million in stormwater revenue refunding bonds with an interest rate of 0.25-2.34% to advance refund \$13.9 million of outstanding 2014 Stormwater Revenue Bonds. The refunding resulted in deferred outflows of \$0.22 million.

The City's outstanding Public Works Trust Fund Loans include the following. Under governmental activities, the City has a loan with an outstanding balance of \$0.94 million and an interest rate of 0.25%. Under business-type activities, the City has a loan with an outstanding balance of \$3.3 million and an interest rate of 2.6%.

For further details related to the outstanding debt please refer to note 11 – Long-term Obligations, in the notes to the financial statements.

Economic Factors and Next Year's Budget

The Long-Range Financial Strategy (LRFS) is the framework which the City of Redmond uses to make budget decisions over future budget cycles. It encourages a deeper understanding of Redmond's service commitments to the community and a plan to meet those commitments in a sustainable and responsible manner. Such a strategy makes it possible to focus on Redmond's vision to realize the future as a connected community that enhances livability and sustains the environment, and that places Redmond as a leader locally, regionally, and nationally. Through innovation and efficiencies, Redmond continues to provide quality services that meet or exceed the expectations of our community members. Strong financial stewardship, as evidenced by the City's AAA bond rating, and quality customer service are hallmarks of Redmond city government.

In 2021, the City's economic recovery from the pandemic was much better than expected. Total revenues in the General Fund were 26.2%, or \$24.7 million, above target primarily due to the high level of development activity in the City, which is described below. In addition, there were significant economic impacts as businesses opened and employees started to return to the workplace. Of particular note, sales tax was 83.4%, or \$21.4 million, above target, and license and permit fees were 31.3%, or \$3.3 million, above target. Construction-related sales tax amounted to \$16.5 million in 2021, which represents an all-time high. Total expenditures in the General Fund were 12.3%, or \$16.9 million, below target mostly due to a high level of employee turnover.

The City's infrastructure investments reinforce the urban centers, Downtown, Overlake and Marymoor Village, as the primary growth areas and preserve the character of Redmond's residential neighborhoods. Light rail will be arriving at stations in the Overlake and Downtown Urban Centers in 2023 and 2024, respectively, generating additional growth. Also anchored by a new light rail station, the new Marymoor Village is further anticipated to add over 1,400 dwelling units and one million square feet of new commercial space by 2030.

Redmond's two urban centers, Downtown and Overlake are thriving centers of residential and commercial activity. Development of the Downtown urban center is progressing, with thousands of new housing units having come online and many hundreds more programmed over the next several years, complemented by strategic investments in the new Downtown Park and transportation infrastructure that promotes mobility choices. Planning efforts continue to refine design standards, zoning district regulations, parking management, and wellhead protection in the Downtown.

Overlake is thoughtfully evolving into the envisioned urban center. The redevelopment of the Microsoft campus will generate new opportunities and new challenges for the City's infrastructure and services as more than 8,000 new jobs are located in the area. Other large projects like Esterra Park, for example, have seen this largely suburban area start to take on a more urban feel, replete with needs for large-scale infrastructure investments much like the completed regional stormwater vaults and the pedestrian bridge over State Route 520, which is under construction.

Looking forward, development activity is expected to be very strong through 2024. This is expected to positively impact retail sales tax revenue, as new residents move to Redmond, and property tax revenue, as new properties are added to the tax rolls. Accordingly, revenue growth in 2022 is projected to be strong relative to 2021. On the downside, the City faces two significant economic challenges. First, inflation is at a 40-year high, hitting 8.5% in April 2022, as measured by the CPI-W for the Seattle-Tacoma-Bellevue area. It is expected to stay high through 2022, not returning to historical norms until 2024. Second, a recession is looking increasingly likely in 2023-2024, with the Dow Jones Industrial Average entering "bear market" territory in June 2022. While the high level of development activity should minimize the negative economic impact of a recession, ongoing revenue growth is not projected to keep pace with ongoing expenditure growth in 2023-2024, with a 2.0-3.0% funding gap projected in the General Fund. If the City Council wants to maintain current service levels in 2023-2024, it could implement a utility tax on the City's water, sewer, and stormwater utilities to bridge the projected funding gap.

Requests for Information

This financial report is designed to provide a general overview of the City of Redmond's finances for readers with an interest in the government's finances. Questions concerning any of the information provided in this report, or requests for additional information, may be addressed to the Director of Finance, City of Redmond, PO Box 97010, Redmond, WA 98073-9710.

CITY OF REDMOND
STATEMENT OF NET POSITION
DECEMBER 31, 2021

	Governmental	Business-Type	
	Activities	Activities	Total
ASSETS			
Cash and cash equivalents	\$ 68,213,641	\$ 40,915,925	\$ 109,129,566
Cash with outside agency	2,107,507	-	2,107,507
Investments (Note 3)	130,343,756	73,225,896	203,569,652
Receivables:			
Taxes	11,939,957	-	11,939,957
Accounts	1,487,808	6,663,200	8,151,008
Interest	271,095	158,750	429,845
Due from other governments	12,934,429	2,200,147	15,134,576
Inventory	77,467	178,318	255,785
Prepayments	1,108,292	-	1,108,292
Restricted assets:			
Deposit cash	1,280,368	58,473	1,338,841
Deposit investments	7,218,279		7,218,279
Revenue bond reserve	-	1,999,954	1,999,954
Rate stabilization fund	-	5,807,077	5,807,077
Advance on service contract	-	8,425	8,425
Capital assets (Note 6):			
Land, artwork, construction in progress	179,608,502	54,696,028	234,304,530
Depreciable capital assets, net	313,805,416	334,141,864	647,947,280
Net pension asset	81,755,639	6,300,643	88,056,282
Total assets	<u>812,152,156</u>	<u>526,354,700</u>	<u>1,338,506,856</u>
DEFERRED OUTFLOWS OF RESOURCES			
Debt refunding	2,424,088	217,993	2,642,081
Pensions	7,420,527	685,597	8,106,124
Asset retirement obligation (Note 22)	-	171,702	171,702
Total deferred outflows of resources	<u>9,844,615</u>	<u>1,075,292</u>	<u>10,919,907</u>
Total assets and deferred outflows of resources	<u>821,996,771</u>	<u>527,429,992</u>	<u>1,349,426,763</u>
LIABILITIES			
Payables:			
Accounts/claims	5,791,394	748,991	6,540,385
Retainage payable	411,518	226,761	638,279
Employee wages	3,083,850	342,560	3,426,410
Interest	95,758	78,275	174,033
Due to other governments	2,725,538	959,919	3,685,457
Unearned revenues	19,075,538	29,111	19,104,649
Customer deposits	7,218,279	58,473	7,276,752
Noncurrent liabilities (Note 11):			
Due within one year	9,499,690	2,064,487	11,564,177
Due in more than one year	41,514,600	21,287,161	62,801,761
Asset retirement obligation	233,504	466,027	699,531
Net pension liability	2,785,882	655,187	3,441,069
Total pension liability - firefighters' pension plan	589,347	-	589,347
Total OPEB liability	17,929,641	-	17,929,641
Total liabilities	<u>110,954,539</u>	<u>26,916,952</u>	<u>137,871,491</u>
DEFERRED INFLOWS OF RESOURCES			
OPEB	424,558	-	424,558
Pensions	58,331,092	6,576,161	64,907,253
Total deferred inflows of resources	<u>58,755,650</u>	<u>6,576,161</u>	<u>65,331,811</u>
Total liabilities and deferred inflows of resources	<u>169,710,189</u>	<u>33,493,113</u>	<u>203,203,302</u>
NET POSITION			
Net investment in capital assets (Note 8)	449,934,253	364,353,977	814,288,230
Restricted for:			
Net pension asset	56,074,498	-	56,074,498
Public safety	2,969,802	-	2,969,802
Cable access	19,662	-	19,662
Parks	740,434	-	740,434
Debt service	69,708	1,999,954	2,069,662
Capital projects	28,823,216	-	28,823,216
Impact fees	35,405,607	-	35,405,607
General governmental maintenance	500,000	-	500,000
Tourism	1,099,481	-	1,099,481
Planning-transportation	1,570,826	-	1,570,826
Recycling	1,148,591	-	1,148,591
Rate stabilization fund	-	5,807,077	5,807,077
Unrestricted	73,930,504	121,775,871	195,706,375
Total Net Position	<u>\$ 652,286,582</u>	<u>\$ 493,936,879</u>	<u>\$ 1,146,223,461</u>

CITY OF REDMOND
STATEMENT OF ACTIVITIES
For the Year Ended December 31, 2021

Function/Program	Program Revenues			Net (Expense) Revenue and Changes in Net Position		
	Expenses	Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions	Governmental Activities	Business-Type Activities
Governmental activities:						
General government	\$ 20,731,293	\$ 576,944	\$ 372,565	\$ -	\$ (19,781,784)	\$ -
Public safety	57,370,095	24,451,695	4,049,305	-	(28,869,095)	-
Transportation	17,997,030	636,603	3,724,886	5,477,546	(8,157,995)	-
Economic environment	8,870,702	40,207,182	880,518	-	32,216,998	-
Culture and recreation	8,185,740	1,613,251	139,982	128,300	(6,304,207)	-
Social Services	2,756,100	-	-	-	(2,756,100)	-
Interest on long-term debt	2,797,477	-	-	-	(2,797,477)	-
Total governmental activities	118,708,437	67,485,675	9,167,256	5,605,846	(36,449,660)	-
Business-type activities						
Water/Wastewater	33,213,098	39,123,641	455,510	2,782,760	-	9,148,813
UPD Water/Wastewater	6,928,415	8,068,066	-	-	-	1,139,652
Stormwater	10,835,322	15,143,256	442,762	3,555,392	-	8,306,087
Total business-type activities	50,976,835	62,334,963	898,272	6,338,152	-	18,594,552
Total government	\$ 169,685,272	\$ 129,820,638	\$ 10,065,528	\$ 11,943,998	(36,449,660)	18,594,552
General revenues:						
Taxes						
Property					28,946,080	-
Sales					50,524,483	-
Business and occupation					16,346,028	-
Excise					10,480,069	-
Investment interest					1,497,141	773,847
Gain (loss) in change of fair value					(2,374,384)	(1,215,441)
Miscellaneous					4,488,571	277,883
Gain on disposal of capital assets					786	-
Transfers, internal activities					356,559	(356,559)
Total general revenues					110,265,333	(520,270)
Change in net position					73,815,673	18,074,282
Net position--beginning					591,247,203	475,862,597
Prior period adjustments (Note 19)					(12,776,294)	-
Net position--ending					\$ 652,286,582	\$ 493,936,879
						\$ 1,146,223,461

The notes to the financial statements are an integral part of this statement.

CITY OF REDMOND
BALANCE SHEET
GOVERNMENTAL FUNDS
December 31, 2021

	General Fund	Advanced Life Support	Capital Improvements Program Fund	Other Governmental Funds	Governmental Funds Total
ASSETS					
Cash and cash equivalents	\$ 23,693,436	\$ 65,780	\$ 27,314,202	\$ 12,596,335	\$ 63,669,753
Cash with outside agency	2,107,507	-	-	-	2,107,507
Investments	46,372,337	28,206	53,294,240	21,866,788	121,561,571
Receivables:					
Taxes	11,114,154	-	-	825,803	11,939,957
Accounts	172,921	4,900	1,632	1,306,480	1,485,933
Interest	100,131	389	104,882	48,394	253,796
Due from other funds	3,678,975	-	-	-	3,678,975
Due from other governments	5,812,465	5,150,058	1,556,521	415,385	12,934,429
Prepayments	163,127	-	-	-	163,127
Restricted assets:					
Deposit investments	4,490,410	-	3,188	2,724,681	7,218,279
Cash	1,157,301	-	123,067	-	1,280,368
Total assets	<u>\$ 98,862,764</u>	<u>\$ 5,249,333</u>	<u>\$ 82,397,732</u>	<u>\$ 39,783,866</u>	<u>\$ 226,293,695</u>
LIABILITIES, DEFERRED INFLOWS AND FUND BALANCES					
Liabilities:					
Accounts/claims payable	\$ 2,104,319	\$ 89,217	\$ 1,548,548	\$ 254,109	\$ 3,996,193
Retainage payable	61,209	-	350,309	-	411,518
Employee wages payable	2,371,041	252,240	16,289	238,539	2,878,109
Due to other funds	-	3,642,434	-	-	3,642,434
Due to other governments	2,442,812	33,695	123,934	80,432	2,680,873
Payable from restricted assets:					
Deposits payable	4,490,410	-	3,188	2,724,681	7,218,279
Unearned revenues	5,546,700	-	13,351,386	177,452	19,075,538
Total liabilities	<u>17,016,491</u>	<u>4,017,586</u>	<u>15,393,654</u>	<u>3,475,213</u>	<u>39,902,944</u>
Deferred inflows of resources:					
Unavailable revenue	-	1,521,785	-	-	1,521,785
Total deferred inflows	<u>-</u>	<u>1,521,785</u>	<u>-</u>	<u>-</u>	<u>1,521,785</u>
Fund balances: (Note 4)					
Non-spendable	163,127	-	-	-	163,127
Spendable:					
Restricted	2,893,475	-	42,847,939	25,796,225	71,537,639
Committed	10,387,802	-	-	10,512,428	20,900,230
Assigned	28,486,144	-	24,156,139	-	52,642,283
Unassigned	39,915,725	(290,038)	-	-	39,625,687
Total fund balances	<u>81,846,273</u>	<u>(290,038)</u>	<u>67,004,078</u>	<u>36,308,653</u>	<u>184,868,966</u>
Total liabilities, deferred inflows, and fund balances	<u>\$ 98,862,764</u>	<u>\$ 5,249,333</u>	<u>\$ 82,397,732</u>	<u>\$ 39,783,866</u>	

Amounts reported for governmental activities in the Statement of Net Position are different because:

Capital assets used in governmental activities are not financial resources and therefore not reported in the funds. 482,370,442

Internal service funds are used by management to charge the costs of certain activities, such as insurance, information services, and fleet maintenance to individual funds. The assets and liabilities of these internal service funds are included in governmental activities in the Statement of Net Position. 23,349,087

Some liabilities, including bonds, loans, and compensated absences payable, are not due and payable in the current period and therefore are not reported in the funds. (Note 2) (47,620,069)

The net pension asset, net pension liability, total pension liability for firefighters' pension plan, and deferred inflows and deferred outflows are reported in the government-wide statement of net position but not in the governmental balance sheet. (Note 2) 7,796,371

Unavailable Revenue/Special assessments are susceptible to full accrual in the government-wide statements, but are reported as deferred inflows in the governmental funds. 1,521,785

Net position of governmental activities. 652,286,582

The notes to the financial statements are an integral part of this statement.

CITY OF REDMOND
STATEMENT OF REVENUES, EXPENDITURES
AND CHANGES IN FUND BALANCES
GOVERNMENTAL FUNDS
FOR THE YEAR ENDED DECEMBER 31, 2021

	General Fund	Advanced Life Support	Capital Improvements Program Fund	Other Governmental Funds	Total Governmental Funds
REVENUES					
Taxes	\$ 94,559,997	\$ -	\$ -	\$ 11,736,662	\$ 106,296,659
Licenses and permits	13,313,851	-	-	7,136,560	20,450,411
Contributions	1,379,367	4,900	128,300	53,393	1,565,960
Intergovernmental	7,484,510	1,260	764,206	243,826	8,493,802
Charges for services	15,029,489	8,186,370	19,760,016	2,228,054	45,203,929
Fines and forfeitures	293,749	-	-	15,800	309,549
Investment income	523,721	-	429,011	208,328	1,161,060
Net change in fair value of investment	(1,436,882)	(1,930)	(533,269)	(300,979)	(2,273,060)
Miscellaneous	2,602,625	-	1,179,002	346,287	4,127,914
Total revenues	<u>133,750,427</u>	<u>8,190,600</u>	<u>21,727,266</u>	<u>21,667,931</u>	<u>185,336,224</u>
EXPENDITURES					
Current:					
General government	20,206,613	-	4,917	-	20,211,530
Public safety	53,255,479	9,444,668	-	1,071,728	63,771,875
Transportation	11,984,878	-	-	756,897	12,741,775
Economic environment	5,164,922	-	-	5,528,680	10,693,602
Culture and recreation	9,612,545	-	-	1,041,492	10,654,037
Social services	2,935,894	-	-	44,190	2,980,084
Capital outlay	950,412	376,775	13,407,843	38,411	14,773,441
Debt service:					
Principal	94,451	-	865,000	3,110,000	4,069,451
Interest and debt issuance costs	2,597	-	33,863	1,813,021	1,849,481
Total expenditures	<u>104,207,791</u>	<u>9,821,443</u>	<u>14,311,623</u>	<u>13,404,419</u>	<u>141,745,276</u>
Excess (deficiency) of revenues Over (under) expenditures	<u>29,542,636</u>	<u>(1,630,843)</u>	<u>7,415,643</u>	<u>8,263,512</u>	<u>43,590,948</u>
OTHER FINANCING SOURCES (USES)					
Refunding bonds proceeds	-	-	-	18,850,000	18,850,000
Payment to refunded bond escrow agent	-	-	-	(18,660,778)	(18,660,778)
Transfers in (Note 10)	8,862,885	57,553	30,007,363	6,101,459	45,029,260
Transfers out (Note 10)	(41,910,074)	(4,000)	(3,294,003)	(6,626,865)	(51,834,942)
Total other financing sources and uses	<u>(33,047,189)</u>	<u>53,553</u>	<u>26,713,360</u>	<u>(336,184)</u>	<u>(6,616,460)</u>
Net change in fund balances	<u>(3,504,553)</u>	<u>(1,577,290)</u>	<u>34,129,003</u>	<u>7,927,328</u>	<u>36,974,488</u>
Fund balances-beginning	85,952,162	1,287,252	32,938,715	28,453,052	148,631,181
Prior period adjustments (note 19)	(601,336)	-	(63,640)	(71,727)	(736,703)
Fund balances-ending	<u>\$ 81,846,273</u>	<u>\$ (290,038)</u>	<u>\$ 67,004,078</u>	<u>\$ 36,308,653</u>	<u>\$ 184,868,966</u>

The notes to the financial statements are an integral part of this statement.

CITY OF REDMOND
RECONCILIATION OF THE STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES
IN FUND BALANCES OF GOVERNMENTAL FUNDS TO THE STATEMENT OF ACTIVITIES
FOR THE YEAR ENDED DECEMBER 31, 2021

Amounts reported for governmental funds in the statement of activities are
different because:

Net change in fund balances-total governmental funds.	\$ 36,974,488
Governmental funds report capital outlays as expenditures. However in the Statement of Activities the cost of those assets is allocated over their estimated useful lives and reported as depreciation expense. This is the amount by which capital outlays of \$14,773,441 and contributions of \$4,407,850 exceeds depreciation expense of \$11,157,530 and disposals of \$432,517 in the current period.	7,591,243
Revenues in the Statement of Activities that do not provide current financial resources are not reported as revenues in the funds. (Note 2)	120,185
Repayment of long-term debt is an expenditure in the governmental funds, yet the repayment reduces long-term liabilities in the statement of net position. Governmental funds report the effect of premiums, discounts, and similar items when debt is first issued, whereas these amounts are deferred and amortized in the government-wide statement of activities:	3,142,614
Internal service funds are used by management to charge the costs of certain activities, such as insurance, information services, and fleet maintenance, to individual funds. The net revenue (expense) of certain internal service funds is reported with governmental activities.	7,333,288
Some expenses reported in the Statement of Activities do not require the use of current financial resources and therefore are not reported as expenditures in governmental funds. (Note 2)	5,542
Pension expenses reported in the governmental fund statements are not reported as expenditures in the statement of activities.	<u>18,648,313</u>
Change in net position of governmental activities.	<u>\$ 73,815,673</u>

The notes to the financial statements are an integral part of this statement.

CITY OF REDMOND
STATEMENT OF NET POSITION
PROPRIETARY FUNDS
December 31, 2021

Page 1 of 2

	Business-type Activities Enterprise Funds				Governmental Activities Internal Service Funds
	Water/ Wastewater	UPD Water/ Wastewater	Stormwater Management	Totals	
ASSETS					
Current assets:					
Cash and cash equivalents	\$ 13,423,157	\$ 10,852,034	\$ 16,640,734	\$ 40,915,925	\$ 4,543,888
Investments	22,348,286	19,308,441	31,569,169	73,225,896	8,782,185
Accounts and contracts receivable	4,905,969	690,970	1,066,261	6,663,200	1,875
Interest receivable	51,612	41,795	65,343	158,750	17,299
Due from other Governments	59,600	-	2,140,547	2,200,147	-
Inventory	178,318	-	-	178,318	77,467
Prepaid insurance	-	-	-	-	945,165
Restricted assets:					
Customer deposits:					
Cash and cash equivalents	16,373	32,000	10,100	58,473	-
Revenue Bond Reserve:					
Investments	-	-	1,999,954	1,999,954	-
Rate stabilization fund:					
Investments	3,877,811	1,929,266	-	5,807,077	-
Total current assets	44,861,126	32,854,506	53,492,108	131,207,740	14,367,879
Noncurrent assets:					
Advance on service contract	6,682	1,743	-	8,425	-
Capital assets:					
Land and land rights	3,224,991	3,274,106	19,257,629	25,756,726	584,292
Buildings	25,377,864	11,031,564	1,549,496	37,958,924	715,786
Improvements other than buildings	206,995,815	66,267,512	155,136,870	428,400,197	356,198
Intangible Assets	1,124,883	-	-	1,124,883	-
Equipment	857,444	267,674	665,330	1,790,448	16,493,316
Construction in progress	16,049,704	892,078	10,872,637	27,814,419	2,543,181
Less accumulated depreciation	(77,611,696)	(23,742,868)	(32,653,141)	(134,007,705)	(9,649,297)
Net pension asset	3,568,371	-	2,732,272	6,300,643	3,882,211
Total capital assets (net of depreciation)	176,019,005	57,990,066	154,828,821	388,837,892	11,043,476
Total noncurrent assets	179,594,058	57,991,809	157,561,093	395,146,960	14,925,687
Total assets	224,455,184	90,846,315	211,053,201	526,354,700	29,293,566
Deferred outflow of resources:					
Pensions	309,644	159	375,794	685,597	311,608
Asset retirement obligations	171,702	-	-	171,702	-
Refunding bonds	-	-	217,993	217,993	-
Total deferred outflows of resources	481,346	159	593,787	1,075,292	311,608
Total assets and deferred outflows of resources	\$ 224,936,530	\$ 90,846,474	\$ 211,646,988	\$ 527,429,992	\$ 29,605,174

The notes to the financial statements are an integral part of this statement.

CITY OF REDMOND
STATEMENT OF NET POSITION
PROPRIETARY FUNDS
December 31, 2021

Page 2 of 2

	Business-type Activities				Governmental Activities Internal Service Funds
	Water/ Wastewater	UPD Water/ Wastewater	Stormwater Management	Totals	
LIABILITIES					
Current liabilities:					
Accounts payable	\$ (112,525)	\$ 165,691	\$ 695,825	\$ 748,991	\$ 1,795,201
Retainage payable	202,028	17,723	7,010	226,761	-
Employee wages payable	184,227	406	157,927	342,560	205,741
Compensated absences	374,188	21	237,801	612,010	356,707
Due to other governments	31,323	-	928,596	959,919	81,206
Unearned revenues	29,111	-	-	29,111	-
Current portion of loans payable	-	-	207,477	207,477	-
Current portion of revenue bonds payable	-	-	1,245,000	1,245,000	-
Accrued interest payable	-	-	78,275	78,275	-
Current liabilities payable from restricted assets:					
Customer deposits payable	16,373	32,000	10,100	58,473	-
Total current liabilities	<u>724,725</u>	<u>215,841</u>	<u>3,568,011</u>	<u>4,508,577</u>	<u>2,438,855</u>
Noncurrent liabilities:					
Revenue bonds payable, net	-	-	18,030,246	18,030,246	-
Loans payable	-	-	3,103,913	3,103,913	-
Compensated absences	93,547	5	59,450	153,002	89,176
Asset retirement obligations	466,027	-	-	466,027	-
Net pension liability	14,189	1,297	639,701	655,187	25,485
Total noncurrent liabilities	<u>573,763</u>	<u>1,302</u>	<u>21,833,310</u>	<u>22,408,375</u>	<u>114,661</u>
Total liabilities	<u>1,298,488</u>	<u>217,143</u>	<u>25,401,321</u>	<u>26,916,952</u>	<u>2,553,516</u>
Deferred inflow of resources:					
Pensions	3,759,987	198	2,815,976	6,576,161	3,702,571
Total deferred inflows of resources	<u>3,759,987</u>	<u>198</u>	<u>2,815,976</u>	<u>6,576,161</u>	<u>3,702,571</u>
Total liabilities and deferred inflows of resources	<u>5,058,475</u>	<u>217,341</u>	<u>28,217,297</u>	<u>33,493,113</u>	<u>6,256,087</u>
NET POSITION					
Net investment in capital assets	175,509,948	57,968,508	130,875,521	364,353,977	10,994,124
Restricted for debt service	-	-	1,999,954	1,999,954	-
Restricted for rate stabilization	3,877,811	1,929,266	-	5,807,077	-
Unrestricted	40,490,296	30,731,359	50,554,216	121,775,871	12,354,963
Total net position	<u>\$ 219,878,055</u>	<u>\$ 90,629,133</u>	<u>\$ 183,429,691</u>	<u>\$ 493,936,879</u>	<u>\$ 23,349,087</u>

The notes to the financial statements are an integral part of this statement.

CITY OF REDMOND
STATEMENT OF REVENUES, EXPENSES, AND CHANGES IN FUND NET POSITION
PROPRIETARY FUNDS
For the Year Ended December 31, 2021

	Water/ Wastewater	Business-type Activities- Enterprise Funds UPD Water/ Wastewater	Stormwater Management	Totals	Governmental Activities- Internal Service Funds
Operating revenues:					
Charges for services	\$ 23,358,932	\$ 5,741,678	\$ 15,143,256	\$ 44,243,866	\$ 23,007,866
Metro service	15,764,709	2,326,388	-	18,091,097	-
Charges for replacement	-	-	-	-	1,671,710
Charges for insurance	-	-	-	-	1,674,338
Total operating revenues	<u>39,123,641</u>	<u>8,068,066</u>	<u>15,143,256</u>	<u>62,334,963</u>	<u>26,353,914</u>
Operating expenses:					
Administrative and general	2,714,029	519,107	3,768,125	7,001,261	-
Purchased water	6,417,488	1,387,768	-	7,805,256	-
Metro service	15,081,052	2,277,105	-	17,358,157	-
Supplies	-	-	-	-	536,834
Maintenance and operations	4,223,781	1,133,908	3,046,849	8,404,538	26,469,069
Taxes	850,758	206,010	251,159	1,307,927	-
Depreciation and amortization	3,925,990	1,404,517	2,847,140	8,177,647	1,191,302
Total operating expenses	<u>33,213,098</u>	<u>6,928,415</u>	<u>9,913,273</u>	<u>50,054,786</u>	<u>28,197,205</u>
Operating income (loss)	<u>5,910,543</u>	<u>1,139,651</u>	<u>5,229,983</u>	<u>12,280,177</u>	<u>(1,843,291)</u>
Nonoperating revenues (expenses):					
Interest and investment revenue	254,386	201,628	317,833	773,847	76,204
Net change in fair value of the investment	(427,528)	(307,867)	(480,046)	(1,215,441)	(101,325)
Grant income	124,406	-	2,761,219	2,885,625	-
Interest expense	-	-	(922,049)	(922,049)	-
Gain (Loss) on disposal of capital assets	-	-	-	-	(30,927)
Insurance recovery	-	-	-	-	1,230,949
Lease and other revenue	186,104	91,019	760	277,883	839,435
Total nonoperating revenues (expenses)	<u>137,368</u>	<u>(15,220)</u>	<u>1,677,717</u>	<u>1,799,865</u>	<u>2,014,336</u>
Income before contributions and transfers	6,047,911	1,124,431	6,907,700	14,080,042	171,045
Capital contributions	3,113,864	-	1,236,935	4,350,799	-
Transfers in	-	-	349,675	349,675	7,175,611
Transfers out	(259,200)	(32,800)	(414,234)	(706,234)	(13,370)
Change in net position	<u>8,902,575</u>	<u>1,091,631</u>	<u>8,080,076</u>	<u>18,074,282</u>	<u>7,333,286</u>
Total net position - beginning	210,975,480	89,537,502	175,349,615	475,862,597	14,771,111
Prior period adjustment	-	-	-	-	1,244,690
Total net position - ending	<u>\$ 219,878,055</u>	<u>\$ 90,629,133</u>	<u>\$ 183,429,691</u>	<u>\$ 493,936,879</u>	<u>\$ 23,349,087</u>

The notes to the financial statements are an integral part of this statement.

CITY OF REDMOND
STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS
For the Year Ended December 31, 2021

Page 1 of 2

	Business-type Activities-			Totals	Governmental Activities- Internal Service Funds
	Water/ Wastewater	UPD Water/ Wastewater	Stormwater Management		
CASH FLOWS FROM OPERATING ACTIVITIES					
Cash received from customers	\$ 37,682,881	\$ 8,039,273	\$ 15,114,261	\$ 60,836,415	\$ 24,680,329
Cash received for replacement	-	-	-	-	1,671,710
Cash payments to suppliers	(23,231,512)	(3,894,600)	(1,443,774)	(28,569,886)	(5,638,752)
Cash payments to employees	(4,787,185)	-	(3,733,794)	(8,520,979)	(22,528,112)
Taxes payments to other governments	(853,834)	(206,010)	(160,007)	(1,219,851)	(33,540)
Payments for interfund services	(1,919,105)	(1,487,421)	(2,741,584)	(6,148,110)	(904,984)
Other operating receipts	186,104	91,021	760	277,885	1,766,423
Net cash provided (used) by operating activities	<u>7,077,349</u>	<u>2,542,263</u>	<u>7,035,862</u>	<u>16,655,474</u>	<u>(986,926)</u>
CASH FLOWS FROM NONCAPITAL FINANCING ACTIVITIES					
Transfers in/transfers out	(259,200)	(32,800)	(64,559)	(356,559)	7,162,241
Grant proceeds	169,521	7,428	261,715	438,664	-
Net cash provided by noncapital financing activities	<u>(89,679)</u>	<u>(25,372)</u>	<u>197,156</u>	<u>82,105</u>	<u>7,162,241</u>
CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES					
Acquisition and construction of capital assets	(13,519,477)	(664,193)	(4,528,923)	(18,712,593)	(2,431,707)
Proceeds from sale of other assets	-	-	-	-	303,966
Capital contributions	2,922,020	-	1,175,740	4,097,760	-
Grant Proceeds	-	-	1,209,885	1,209,885	-
Interest paid on other debt	-	-	(90,536)	(90,536)	-
Principal paid on other debt	-	-	(202,158)	(202,158)	-
Bond issuance cost	-	-	(174,253)	(174,253)	-
Proceeds from bond issuance	-	-	15,880,000	15,880,000	-
Deposit to escrow for refunded bonds	-	-	(15,699,336)	(15,699,336)	-
Interest paid on revenue bonds	-	-	(804,339)	(804,339)	-
Principal paid on revenue bonds	-	-	(950,000)	(950,000)	-
Net cash provided (used) for capital and related financing activities	<u>(10,597,457)</u>	<u>(664,193)</u>	<u>(4,183,920)</u>	<u>(15,445,570)</u>	<u>(2,127,741)</u>
CASH FLOWS FROM INVESTING ACTIVITIES					
Investment purchases	(8,870,347)	(373,823)	375,667	(8,868,503)	(8,731,827)
Investment sales/maturities	13,296,225	560,342	(563,106)	13,293,461	6,507,636
Interest on investments	287,246	211,420	330,589	829,255	81,377
Net cash provided (used) in investing activities	<u>4,713,124</u>	<u>397,939</u>	<u>143,150</u>	<u>5,254,213</u>	<u>(2,142,814)</u>
Net increase (decrease) in cash and cash equivalents	<u>1,103,337</u>	<u>2,250,637</u>	<u>3,192,248</u>	<u>6,546,222</u>	<u>1,904,760</u>
Cash and cash equivalents-beginning of year	<u>12,336,193</u>	<u>8,633,397</u>	<u>13,458,586</u>	<u>34,428,176</u>	<u>2,639,128</u>
Cash and cash equivalents-end of year	<u>\$ 13,439,530</u>	<u>\$ 10,884,034</u>	<u>\$ 16,650,834</u>	<u>\$ 40,974,398</u>	<u>\$ 4,543,888</u>

The notes to the financial statements are an integral part of this statement.

CITY OF REDMOND
STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS
For the Year Ended December 31, 2021

Page 2 of 2

	Water/ Wastewater	Business-type Activities- Enterprise Funds UPD Water/ Wastewater	Stormwater Management	Totals	Governmental Activities- Internal Service Funds
Cash and cash equivalents at end of year consists of:					
Unrestricted	\$ 13,423,157	\$ 10,852,034	\$ 16,640,734	\$ 40,915,925	\$ 4,543,888
Restricted	16,373	32,000	10,100	58,473	-
Total Cash and cash equivalents	<u>\$ 13,439,530</u>	<u>\$ 10,884,034</u>	<u>\$ 16,650,834</u>	<u>\$ 40,974,398</u>	<u>\$ 4,543,888</u>
Reconciliation of operating income to net cash provided by operating activities:					
Operating income (loss)	\$ 5,910,543	\$ 1,139,651	\$ 5,229,983	\$ 12,280,177	\$ (1,843,291)
Adjustments to reconcile operating income to net cash provided by operating activities:					
Depreciation and amortization					
Other receipts	3,925,990	1,404,517	2,847,140	8,177,647	1,191,302
Decrease (increase) in accounts receivable	186,104	91,021	760	277,885	1,766,423
Decrease (increase) in inventory	(1,440,760)	(28,793)	(28,997)	(1,498,550)	(1,875)
Decrease (increase) in prepaid expenses	(53,680)	-	-	(53,680)	8,223
Decrease (increase) in deferred outflows	-	-	-	-	(268,506)
Decrease (increase) in net pension assets	67,327	-	51,552	118,879	69,897
Increase (decrease) in accounts payable	(3,568,371)	-	(2,732,272)	(6,300,643)	(3,882,211)
Increase (decrease) due to other governments	-	(64,133)	(49,533)	(113,666)	(340,459)
Increase (decrease) due to other funds	(3,076)	-	91,152	88,076	(33,540)
Increase (decrease) in unearned revenues	-	-	-	-	(6,289)
Increase (decrease) in employee wages payable	402	-	-	402	-
Increase (decrease) in compensated absences payable	(32,110)	-	(17,359)	(49,469)	(22,524)
Increase (decrease) in deferred inflows	(63,788)	-	(1,858)	(65,645)	(32,470)
Increase (decrease) in pension liability	3,262,684	-	2,498,211	5,760,895	3,387,283
Net cash provided (used) by operating activities	<u>(1,113,916)</u>	<u>-</u>	<u>(852,917)</u>	<u>(1,966,833)</u>	<u>(978,889)</u>
	<u>\$ 7,077,349</u>	<u>\$ 2,542,263</u>	<u>\$ 7,035,862</u>	<u>\$ 16,655,475</u>	<u>\$ (986,926)</u>
Noncash investing, capital and financing activities:					
Developers contributed infrastructure valued at	\$ 191,844	\$ -	\$ 61,195	\$ 253,039	\$ -
Fair value of investments decreased by	(427,528)	(307,867)	(480,046)	(1,215,441)	(101,325)

The notes to the financial statements are an integral part of this statement.

Note 1:

Summary of Significant Accounting Policies

The City of Redmond was incorporated on December 31, 1912 and operates under the laws of the State of Washington applicable to a Non-Charter Mayor/Council form of government (elected Mayor and City Council composed of seven members). Both Mayor and Council are elected to four-year terms. The City provides general government services including public safety, highways and streets, parks and recreation, planning and zoning, permits and inspection, sanitation, general administrative, and water and wastewater services.

The accounting and reporting policies of the City of Redmond conform to generally accepted accounting principles for governments and are regulated by the Washington State Auditor's Office.

The City's Annual Comprehensive Financial Report (ACFR) is prepared in accordance with Governmental Accounting Standards Board (GASB) Statements and the following notes detail the City's significant accounting policies.

Reporting Entity

The City's ACFR includes the financial statements for the City of Redmond and its component units; entities for which the City is considered to be financially accountable. The City has two blended component units, Redmond Community Facilities District 2014-1 (CFD 2014-1), which was created in 2014 for the purpose of financing the construction of a pedestrian/bicycle bridge over SR 520 at the Overlake Transit Station, and Redmond Community Facilities District 2016-1 (CFD 2016-1), which was created in 2016 for the purpose of financing northeast 40th Street Trunkline Project and multimodal improvements on 154th Avenue northeast and northeast 51st Street, and northeast 31st Street and 156th Avenue northeast. The CFDs are reported as blended component units in the Capital Investments Program funds of the City of Redmond because the City appoints a majority of the Board members, has the ability to impose its will on the organizations through the ability to appoint, hire, reassign or dismiss those persons responsible for the day-to-day operation of the organizations, and the CFD's services are primarily provided to the City. (See Note 14 - Component Units for additional information.)

Basic Financial Statements

The City's basic financial statements consist of government-wide statements, including a Statement of Net Position and a Statement of Activities, and fund financial statements which provide a more detailed level of financial information.

The government-wide financial statements report information on all of the activities of the primary government and its component units. The effect of inter-fund activity has been removed from these statements. Governmental activities, which normally are supported by taxes and intergovernmental revenues, are reported separately from business-type activities, which rely primarily on fees and charges for support.

The Statement of Activities demonstrates the degree to which the direct expenses of a given function or segments are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function or segment. Program revenues include 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services, or privileges provided by a given function or segment and 2) grants and contributions that are restricted to meeting the operational or capital requirements of a particular function or segment. Taxes and other items not properly included among program revenues are reported instead as general revenues.

Separate financial statements are provided for governmental funds, proprietary funds, even though the latter are excluded from the government-wide financial statements. Major individual governmental funds and major individual enterprise funds are reported as separate columns in the fund financial statements.

Measurement Focus and Basis of Accounting

The government-wide financial statements are reported using the economic resources measurement focus and the accrual basis of accounting, as are the proprietary fund financial statements. Revenues are recorded when earned, and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property

taxes are recognized as revenues in the year for which they are levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been met.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the City considers revenues to be available if they are collected within 60 days of the end of the current fiscal period. In unusual circumstances, where payment has been delayed beyond the 60-day cut off, the City may recognize the revenue based on normal collection patterns as to not mislead the reader or distort revenue trends from one year to the next. Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, debt service expenditures, as well as expenditures related to compensated absences and claims and judgments, are recorded only when payment is due.

Under the modified accrual basis of accounting, property taxes, sales taxes, utility taxes, franchise taxes, and interest associated with the current fiscal period are all considered to be susceptible to accrual and so have been recognized as revenues of the current period. Grant revenue is recognized for cost reimbursement grants when the expenditure occurs in accordance with GASB Statement 33. When the expenditure is incurred, grant revenue is considered to have been earned and therefore available and recognized as revenue. Entitlement grant revenue is not tied to expenditures and is recognized when the City is entitled to receive it according to the grant agreement.

Financial Statement Presentation

The City reports the following major governmental funds:

The **General Fund** is the general operating fund of the City. It accounts for all financial resources and transactions except those required to be accounted for in another fund. The **Firefighters Pension Plan** is now reported in the General Fund, as reported in Note 7 – Pensions.

Advanced Life Support Fund a special revenue fund accounts for the provision of Advanced Life Support (ALS) services (paramedic) within the City and Fire District 34 areas. The City provides these services in contract with King County Medic One and the County provides the resources for this service.

The **Capital Investments Program Fund** accounts for financial resources to be used for the acquisition, construction, and preservation of major capital facilities other than those financed by proprietary funds.

The City reports the following major proprietary funds:

The **Water/Wastewater Fund** accounts for the activities of providing water and sewer services to its citizens. The utilities operations are self-supported through user charges.

The **UPD Water/Wastewater Fund** accounts for the activities of providing water and sewer services to an urban planned development outside the City limits. The utilities' operations are self-supported through user charges.

The **Stormwater Management Fund** accounts for the operation, construction, and maintenance of the City's stormwater management system. The utility's operations are self-supported through fees.

Additionally, the City reports the following fund types:

Internal Service Funds account for fleet maintenance, information technology, and insurance services provided to other departments of the City on a cost reimbursement basis.

Special Revenue Funds are used to account for specific revenues that are restricted to or reserved for expenditures for particular purposes.

Debt Service Funds account for the accumulation of resources for and the payment of general obligation and special assessment bonds.

As a general rule the effect of interfund activity has been eliminated from the government-wide financial statements. Direct expenses of the functional categories are included in the government-wide Statement of Activities while indirect expense allocations are eliminated. Indirect expenses are primarily charged to the various functions through the use of internal service funds for fleet maintenance and information technology. Elimination of payments to internal service funds are treated as expense reductions. No other indirect expenses are allocated to the various governmental functions. Exceptions to this general rule are payments-in-lieu of taxes and other charges between the government's utility functions and various other functions of the government. Elimination of these charges would distort the direct costs and program revenues reported for the various functions concerned.

Amounts reported as program revenues include 1) charges to customers or applicants for goods, services, or privileges provided, 2) operating grants and contributions, and 3) capital grants and contributions, including special assessments. Internally dedicated resources are reported as general revenues rather than as program revenues. Likewise, general revenues include all taxes.

The proprietary fund statements distinguish operating revenues and expenses from non-operating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the City's utility funds and internal service funds are charges to customers for sales and services, vehicle replacement, and insurance. The City also recognizes as operating revenue the portion of utility connection fees intended to recover the cost of connecting new customers to the water and sewer system. Operating expenses for enterprise funds and internal service funds include the cost of sales and services, administrative expenses, taxes, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses.

Budgets and Budgetary Accounting

The City of Redmond budgets its funds in accordance with the Revised Code of Washington (RCW) 35A.34. In compliance with the code, budgets for all funds are established with the exception of the Local Improvement District (LID) Control and the LID Guaranty Debt Service Funds. Budgets established for proprietary funds are "management budgets" and as such are not required to be shown in this report.

The biennial budget is proposed by the Mayor and adopted by the City Council with legal budgetary control at the fund level for all funds. Expenditures and other financing uses may not exceed budgeted appropriations at these levels. The Mayor may authorize transfers within all funds. The City Council must approve by ordinance any additional appropriations which increase the total at the fund level. Any unexpended appropriation balances lapse at the end of the biennium.

In addition to authorizing the budget, the City Council biennially approves the Capital Investments Program. This is a six-year plan for capital project expenditures and anticipated revenue sources. Expenditures and revenues for these projects are budgeted in the Capital Projects Funds and Enterprise Funds.

The City prepares all biennial budgets on the modified accrual basis which conforms to generally accepted accounting principles. The ACFR includes budgetary comparisons for the general and capital projects governmental funds with legally adopted budgets.

The budget process and the time limits under which a budget must be developed are established by State law. The City uses a "budgeting for outcomes" format and follows the procedures outlined below in the year preceding the first year of the two-year budget to establish its biennial budget:

- In winter, community meetings are held to affirm or revise the City's budget priorities. The Mayor appoints staff and citizens to teams which interpret these priorities and develop the primary factors that the City should support to pursue the given priority. These factors are used by staff to develop budget offers.
- In spring, the Mayor develops and submits a budget calendar to the City Council for approval.
- In June, the City Clerk publishes notice for the first public hearing. Also, around mid-year staff prepares a six-year forecast and reviews this forecast with the City Council at a public meeting.

- Throughout the summer, City staff create budget offers and review revenue and expenditure estimates.
- In October, preliminary budget estimates are made available to the public.
- Sixty days before the ensuing fiscal year, the Mayor files the preliminary budget with the City Clerk's office.
- During the first two weeks of November, the City Clerk publishes notice of the filing of the preliminary budget and publishes notice of public hearings.
- The City Council holds a series of study sessions to review the preliminary budget to determine if they wish to make any modifications to the Mayor's recommended programs.
- Public hearings are held prior to the adoption of the budget for the public to comment on recommended programs and to offer ideas for new programs.
- Prior to the beginning of the first calendar year of the biennial budget, the City Council, by a majority of the members present, adopts a final operating budget by ordinance.
- The Final Budget document is printed and distributed and posted on the City's website after adoption.

Assets, Liabilities, and Net Position

Cash and Investments

It is the City's policy to invest temporary cash surpluses. These investments are reported on the Statement of Net Position and the governmental funds Balance Sheet as cash and cash equivalents or investments. Included in cash and cash equivalents are currency on hand, demand deposits with banks or other financial institutions, investments with the Local Government Investment Pool, investments in U.S. Government Mutual Funds and investments with original maturities of three months or less. Interest is allocated to each fund on the basis of investments owned.

In accordance with City policy and Washington State law, authorized investment purchases include Certificates of Deposit with financial institutions qualified by the Washington Public Deposit Protection Commission, US Treasury and Agency Securities, Bankers' Acceptances, Bonds of Washington State and any local government in Washington State which have, at the time of purchase, one of the three highest credit ratings of a nationally recognized rating agency, repurchase agreements, the State Investment Pool and mutual funds used specifically for debt issues related to arbitrage.

The City reports its deposit and investment risk disclosures in accordance with GASB 40 and GASB 72 (see Note 3).

In accordance with GASB 31 and GASB 79, money market investments, and participating interest-earning investment contracts with remaining maturities of one year or less at the time of purchase are stated at amortized cost. All other investments are stated at fair value.

Receivables

The City of Redmond recognizes receivables in its financial statements based on the accounting requirements for that statement. These receivables are as follows:

Property Taxes

The City's property tax collections records show that approximately 99% of the property taxes due are collected during the year of levy and delinquent taxes are collected in the next few years. The City performs an analysis of all uncollected property taxes to test materiality of the uncollected balance as well as the collectability. Based on this analysis the City will determine the classification of the uncollected portion of property taxes; revenue versus uncollected property taxes. When property taxes become three years delinquent, the County is required by State statute to foreclose on the property. Historically, all taxes have been collected; therefore, no allowance for uncollectible taxes is recorded.

Sales Taxes

There is a running two-month lag in remittance of sales tax to the City. Sales taxes collected in November and December are not remitted by the State to the City until January and February of the following year and they are reported as receivables at year-end. There is no allowance for uncollectible sales taxes because all sales taxes are required by law to be collected by businesses at the time of sale and remitted to the State.

Investment Interest

Interest receivable consists of interest earned on investments at the end of the year, accrued interest on investments purchased between interest dates, and accrued interest and penalties on special assessments receivable. In proprietary funds and the government-wide Statement of Net Position, investment interest is recorded as receivable, regardless of its payment date. In the governmental fund statements and schedules, investment interest is recorded as receivable if it will be paid to the City within 60 days of year-end.

Accounts Receivable

Customer accounts receivable consist of amounts owed by private individuals or organizations for goods and services provided. Unbilled services provided to utility customers are estimated at year-end and included in accounts receivable. Uncollectible amounts are considered immaterial and the direct write-off method is used.

Interfund Transactions

Activity between funds that is representative of lending/borrowing arrangements outstanding at the end of the fiscal year are referred to as either "due to/from other funds" (i.e. the current portion of interfund loans) or "advances to/from other funds" (i.e. the non-current portion of interfund loans). All other outstanding balances between funds are reported as "due to/from other funds". Any residual balances outstanding between the governmental activities and business-type activities are reported in the government-wide financial statements as "internal balances."

Inventories

Inventories are defined as assets which may be held for internal consumption or for resale. The City uses the following policies in valuing and recording inventory items:

In proprietary funds a perpetual inventory is maintained, in which the cost is held in an asset account when inventory items are purchased, and expensed when the item is consumed. The first-in, first-out valuation method, which approximates market, is used to value the inventory. A physical inventory is taken at year-end. No inventory is maintained in governmental funds; however, the internal service fund inventories are included in the "Governmental Activities" on the Statement of Net Position.

Restricted Assets

Restricted assets include those monies reserved for customers' deposits, bond reserve monies and impact fees.

Advance on Service Contract

For fiscal years prior to December 31, 2012, the City amortized under guidance provided by FASB 71 the Tolt Pipeline project and the Tolt Meter project with the City of Seattle. In further review, this is not a deferred outflow of resources but rather an advance on a service contract.

Capital Assets

General capital assets are those assets not specifically related to activities reported in the proprietary funds. These assets generally result from expenditures in the governmental funds. These assets are reported in the governmental activities column of the government-wide Statement of Net Position but are not reported in the fund financial statements. Capital assets utilized by the proprietary funds are reported both in the business-type activities

column of the government-wide Statement of Net Position and in the respective funds. Capital assets are defined by the City as land, buildings, machinery, equipment, software, vehicles, transportation and utility infrastructure and other improvements with an original cost of \$10,000 or more each and an estimated useful life of more than one year, and all artwork regardless of its initial cost. Such assets are recorded at historical cost or estimated historical cost if purchased or constructed. Donated capital assets are recorded at acquisition value at the date of donation.

The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend assets' lives are not capitalized. Major outlays for capital assets and improvements are capitalized as projects are constructed.

Land, construction in progress, and works of art are not depreciated. Property, plant, and equipment of the City are depreciated using the straight-line method over the following estimated useful lives:

<u>Asset</u>	<u>Years</u>
Buildings/Building improvements	50
Other improvements	15-50
Vehicles	3-15
Machinery and equipment	6-20
Utility infrastructure	10-100
Streets, paths, trails	50
Street lights and traffic signals	30

Compensated Absences

It is the City's policy to permit employees to accumulate earned but unused vacation, compensatory time in lieu of overtime and sick leave benefits. Twenty-five percent of unused sick leave is payable at retirement or death. Any outstanding sick leave is lost at resignation; therefore, outstanding sick leave at year-end is not accrued because the payment cannot be deemed probable nor can the amount be reasonably estimated. All vacation and compensatory time is accrued when incurred in the government-wide and proprietary fund financial statements. A liability for these amounts is reported in governmental funds only if they have matured, for example, as a result of employee resignations and retirements.

Pensions

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the net position of all state sponsored pension plans and additions to/deductions from those plans net position have been determined on the same basis as they are reported by the Washington State Department of Retirement Systems. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

For purposes of calculating the restricted net position related to the net pension asset, the City includes the net pension asset and the related deferred outflows and deferred inflows.

Other Post-Employment Benefits (OPEB)

Lifetime full medical coverage is provided to uniformed Police and Fire personnel who became members of the Law Enforcement Officers and Fire Fighters (LEOFF 1) retirement system prior to October 1, 1977. The actual medical costs are reported as expenditures in the year they are incurred and are paid out of the General Fund. A liability for the accumulated unfunded actuarially required contribution and deferred outflow of resources is reported in the Statement of Net Position. For purposes of measuring the net OPEB liability, deferred outflows of resources and deferred inflows of resources related to OPEB the City used the alternative measurement method.

Deferred Outflows/Inflows of Resources

In addition to assets, the Statement of Net Position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, *deferred outflows of resources*, represents a consumption of net position that applies to a future period and so will *not* be recognized as an outflow of resources (expense/expenditure) until then. The City has three items that qualify for reporting in this category:

- Deferred charges on debt refunding result from the difference in the carrying value of refunded debt and the reacquisition price. This amount is deferred and amortized over the shorter of the life of the refunded or refunding debt. Deferred outflows related to debt is discussed in detail in Note 11: Long-Term Obligations;
- Deferred outflows related to pension plans are discussed in detail in Note 7: Pension Plans; and
- Deferred outflows related to other postemployment benefits are discussed in detail in Note 8: Defined Benefit Other Postemployment Benefits.

In addition to liabilities, the Statement of Net Position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, *deferred inflows of resources*, represents an acquisition of net position that applies to a future period and so will *not* be recognized as an inflow of resources (revenue) until that time. The City has one item that qualifies for reporting in this category. Deferred inflows related to pension plans are discussed in detail in Note 7: Pension Plans.

Long-Term Obligations

In the government-wide financial statements and proprietary fund types in the fund financial statements, long-term debt and other long-term obligations are reported as liabilities in the applicable governmental activities, business-type activities, or proprietary fund type Statement of Net Position. Bond premiums and discounts are deferred and amortized over the life of the bonds using the straight-line method. Bonds payable are reported net of the applicable bond premium or discount.

In the fund financial statements, governmental fund types recognize bond premiums and discounts, as well as bond issuance costs, during the current period. The face amount of debt issued is reported as other financing sources. Premiums received on debt issuances are reported as other financing sources while discounts on debt issuances are reported as other financing uses. Issuance costs, whether or not withheld from the actual debt proceeds received, are reported as debt service expenditures.

Fund Balance

In the fund financial statements, governmental funds report reservations of fund balance for amounts that are not available for appropriation or are legally restricted by outside parties for use for a specific purpose. Fund balances are categorized as Nonspendable or Spendable amounts as follows:

Nonspendable Fund Balance: fund resources that are in a form that either *never* could be spent or in a form that is *temporarily* not spendable. This can include resources that are spendable in form but are under legal restrictions that temporarily or permanently bar spending.

Spendable amounts are further segregated into categories based on the degree to which the uses of resources are constrained.

- *Restricted Fund Balance:* fund resources that are subject to restrictions that are *legally enforceable* by *outside parties*. This includes resources raised through enabling legislation.
- *Committed Fund Balance:* fund resources that are legally limited by the resolution by the City Council. A resolution must be taken to impose limitations on the use of these resources, and another resolution is required to modify or eliminate those limitations.
- *Assigned Fund Balance:* fund resources that are limited by the mayor, or department directors based on delegation, for its intended use. This type of limitation can be imposed by the highest level of decision making within the entity or a designee, but little or no formal action is required to modify or eliminate those limitations.
- *Unassigned Fund Balance:* Unrestricted fund balance not committed or assigned in the General Fund is considered unassigned. Also, negative fund balance in any other governmental fund is unassigned. The city only reports positive unassigned fund balance in the General Fund.

Flow assumption: When expenditure is incurred for purposes for which both restricted and unrestricted resources are available, it is the City's policy to use restricted resources first. When expenditure is incurred for purposes for which unrestricted (committed, assigned, and unassigned) resources are available, and amounts in any of these unrestricted classifications could be used, it is the City's policy to spend committed resources first, then assigned

and unassigned, in that order. However, prior to the commencement of any project, the flow assumption is reviewed to ensure that the proper resources are being used.

Note 2:

Reconciliation of Government-Wide and Fund Financial Statements

Explanation of aggregated differences between the governmental fund balance sheet and the government-wide statement of net position

The governmental fund balance sheet includes reconciliation between total fund balance and total net position as reported in the government-wide statement of net position. The details of the aggregated differences are presented below.

Some liabilities, including bonds, loans and compensated absences payable, are not due and payable in the current period and therefore are not reported in the funds:

GO Bonds payable	\$	(40,570,000)
Unamortized bond premiums		(2,248,238)
Deferred outflows on refunding		2,424,088
Loans payable		(944,508)
Accrued interest payable		(95,758)
Compensated absences		(6,185,653)
Net adjustment to reduce fund balance-total governmental		
funds to arrive at net position – governmental activities	\$	(47,620,069)

The net pension asset, net pension liability, and deferred inflows and deferred outflows are reported in the government-wide statement of net position but not in the governmental balance sheet:

Net pension asset	\$	77,873,430
Deferred outflows of resources		6,684,361
Other post-employment benefits		(18,549,651)
Asset retirement obligations		(233,504)
Net pension liability		(2,760,397)
Total pension liability-FPP		(589,347)
Deferred inflows of resources		(54,628,521)
Net adjustment to reduce fund balance-total governmental		
funds to arrive at net position – governmental activities	\$	7,796,371

Explanation of aggregated differences between the governmental fund statement of revenues, expenditures, and changes in fund balances and the government-wide statement of activities.

The governmental fund statement of revenues, expenditures, and changes in fund balances includes reconciliation between net changes in fund balances – total governmental funds and changes in net position of governmental activities as reported in the government-wide statement of activities. The details of the aggregated differences are presented below.

Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds:

Developer/Private asset contributions	\$	308,120
Unavailable revenue – special assessments		(1,709,722)
Unavailable revenue – advanced life support		1,521,787
Net adjustment to increase net change in fund balances - governmental funds to arrive at change in net position-governmental activities	\$	<u>120,185</u>

Repayment of the principal of long-term debt consumes the current financial resources of governmental funds, and governmental funds report the effect of premiums, discounts, and similar items when debt is first issued, whereas these amounts are deferred and amortized in the government-wide statement of activities:

Principal repayments (Changes/Net Diff):

General obligation bonds	\$	2,240,000
Public Works Trust Fund Loans repayment		94,451
Amortization/(addition) of debt premiums		1,036,429
Amortization of deferred outflows on refunding		(228,266)
Net adjustment to decrease net change in fund balances-governmental funds to arrive at change in net position-governmental activities	\$	<u>3,142,614</u>

Some expenses reported in the statement of activities do not require the use of current financial resources and therefore are not reported as expenditures in governmental funds:

Change in accrued interest payable	\$	49,494
Change in compensated absences payable		370,988
Change in other post-employment benefits payable		(924,243)
Change in current amortization expense of ARO		509,303
Net adjustment to decrease net change in fund balances-governmental funds to arrive at change in net position-governmental activities	\$	<u>5,542</u>

Change in deferred inflows/outflows of pensions	18,648,313
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Note 3:

Deposits and Investments

Deposits

As of December 31, 2021, the carrying amount of the City's cash demand deposits with KeyBank was \$3,897,540 and the in-transit items were \$4,798,286. In addition, \$7,534,718 was held in a public fund money market account at Pacific Premier Bank. A total of \$123,067 retained from contractors pending acceptance of City construction projects was held in escrow or savings accounts at various banks. Another \$224,926 was held in a City of Redmond Client Trust Account at Wells Fargo and \$2,107,507 are held in ARCH Housing Trust Fund Account outside agency. Imprest funds totaled \$48,500 of which \$33,570 was allocated to various City offices.

Custodial Credit Risk

Custodial credit risk for deposits is the risk that in the event of a bank failure, the City will not be able to recover deposits or collateral securities that are in the possession of an outside party. The City of Redmond's deposits are covered by the Federal Deposit Insurance Corporation (FDIC) or by collateral held in a multiple financial institution collateral pool administered by the Washington Public Deposit Protection Commission (WPDP). The FDIC insures the first \$250,000 of the City's deposits. The deposit balances over \$250,000 are insured by the WPDP. State statute permits additional amounts to be assessed on a pro rata basis to members of the WPDP pool, in the event the pool's collateral should be insufficient to cover a loss.

Investments

It is the policy of the City of Redmond to invest public funds in a manner which will provide maximum security, meet daily cash flow demands, and strive for a high investment return, while conforming to all laws and regulations governing the investment of public funds, as defined in RCWs 39.58, 39.59, and 43.250. The City's Investment Policy is approved by the City Council, and management responsibility for the investment program is delegated to the City's Investment Oversight Committee.

Authorized investments include the following:

1. Investment deposits, including certificates of deposit, with qualified public depositories.
2. Certificates, notes, or bonds of the United States, or other obligations of the United States or its agencies, or of any corporation wholly owned by the government of the United States.
3. Obligations of government sponsored corporations which are eligible as collateral for advances to member banks as determined by the Board of Governors of the Federal Reserve System. These include but are not limited to Federal Home Loan Bank notes and bonds, Federal Farm Credit Bank consolidated notes and bonds, and Federal National Mortgage Association notes, bonds, and guaranteed certificates of participation.
4. Bankers' acceptances purchased on the secondary market.
5. Bonds of the State of Washington and any local government in the State of Washington which have, at the time of investment, one of the three highest credit ratings of a nationally recognized rating agency.
6. Repurchase agreements for securities listed in 2, 3, and 4 above, provided that the transaction is structured so that the City of Redmond obtains control over the underlying securities and a Master Repurchase Agreement has been signed with the bank or dealer.
7. State Investment Pool.
8. Commercial paper purchased in the secondary market and having received the highest rating by at least two Nationally Recognized Statistical Rating Organizations (NRSROs) at the time of purchase and adhering to the investment policies and procedures adopted by the State Investment Board.
9. Mutual funds, escrow accounts, public fund money market accounts, or cash type accounts used specifically for proceeds of municipal securities.
10. State of Washington Separately Managed Account.

Investments are stated at fair value, based on quoted market prices in accordance with Governmental Accounting Standards Board (GASB) Statement 72, *Fair Value Measurement and Application*. Accordingly, the change in the fair value of investments is recognized as an increase or decrease to the investment assets and investment income.

Interest income on investments is recognized in non-operating revenue as earned. Changes in fair value of investments are recognized on the Statements of Revenues, Expenses, and Changes in Net Position.

Interest Rate Risk

Interest rate risk is the risk the City may face should interest rate variances affect the fair value of investments. As a means of limiting its exposure to interest rate risk, the City's policy requires that it diversify its investments by security type and institution, and limit holdings in any one type of investment with any one issuer. The City coordinates its investment maturities to closely match cash flow needs and, unless matched to a specific cash flow or restricted by state guidelines, the City restricts the maximum investment term to less than five years from the purchase date.

Credit Risk

Credit risk is the risk that an issuer or other counterparty to an investment will not fulfill its obligations. State law and city policy limit investments to those authorized by state statute, including commercial paper and bonds of the State of Washington and any local government in the State of Washington which have, at the time of investment, one of the three highest credit ratings of a nationally recognized rating agency. The City further limits its holdings in commercial paper to 10% of the portfolio and 10% per issuer, and local government bonds to 25% of the portfolio and 10% per issuer. As of December 31, 2021, the City held no investments in commercial paper. Additionally, the City restricts its investment in mutual fund bonds to be used for arbitrage purposes only.

Custodial Credit Risk

Custodial credit risk is the risk that in the event of a failure of the counterparty, the City will not be able to recover the value of its investment or collateral securities that are in the possession of an outside party. The City's Investment Policy requires that all security transactions, including collateral for repurchase agreements, be conducted on a delivery-versus-payment (DVP) basis and be held in safekeeping in the City's name by a third-party custodian.

Concentration of Credit Risk

Concentration of credit risk is the risk of loss attributable to the magnitude of an investment in a single issuer. The City diversifies its investments by security type and institution. 100% of the City's portfolio may be invested in U.S. Treasury notes, bonds or certificates, U.S. government sponsored corporations, or the State Investment Pool. 50% of the portfolio may be invested in certificates of deposit with no more than 10% held by any one issuer and not exceeding 20% of the issuer's net worth. 25% of the portfolio may be invested in bankers' acceptances (10% per issuer), State of Washington or local government bonds (10% per issuer), or repurchase agreements (25% per dealer). 10% of the portfolio may be invested in commercial paper (10% per issuer).

Investments in the Local Government Investment Pool (LGIP)

The City is a voluntary participant in the Local Government Investment Pool, an external investment pool authorized by Chapter 294, Laws of 1986. The LGIP is managed and operated by the Washington State Treasurer, and over 530 local governments have participated in the pool since it was started in 1986 to provide safe, liquid, and competitive investment options for local governments pursuant to RCW 43.250. The LGIP is not rated and not registered with the SEC and does not have any legally binding guarantees of share values. Oversight is provided by the State Finance Committee, which is the administrator of the statute that created the pool and adopts its rules. The State Treasurer is responsible for establishing the investment policy for the pool and reviews the policy annually, and any proposed changes are reviewed by the LGIP Advisory Committee.

Investments in the LGIP are reported at amortized cost, which approximates fair value and is the same as the value of the pool per share. The LGIP manages a portfolio of securities that meet the maturity, quality, diversification, liquidity, and fair value calculation requirements set forth by GASB Statement 79, *Certain External Investment Pools and Pool Participants*, for external investment pools that elect to measure, for financial reporting purposes, investments at amortized cost. The funds are limited to high quality obligations with regulated maximum and average maturities to minimize both market and credit risk. Investments are reported on trade date basis in accordance with generally accepted accounting principles (GAAP).

The LGIP transacts with its participants at a stable net asset value per share of \$1.00, the same method used for reporting. The LGIP does not impose any restrictions on participant withdrawals, and participants may contribute or withdraw funds daily. Participants must inform the Office of the State Treasurer (OST) of any contribution or withdrawal over one million dollars no later than 9 a.m. on the same day the transaction is made. Contributions or withdrawals for one million dollars or less can be requested at any time prior to 10 a.m., at the sole discretion of the OST. All participants are required to file with the State Treasurer documentation containing the names and titles of the officials authorized to contribute or withdraw funds. The LGIP does not impose liquidity fees or redemption gates on participant withdrawals.

The State Treasurer's Office prepares a stand-alone financial report for the pool. A copy of the report is available from the Office of the State Treasurer, PO Box 40200, Olympia, Washington 98504-0200, or online at www.tre.wa.gov.

Investments in the Separately Managed Account

In 2020, the City of Redmond entered into an Interagency Agreement with the State of Washington's Office of the State Treasurer, authorizing the State Treasurer's Office to invest the City's core funds in a separately managed investment portfolio, as provided for in RCW 43.250. The State Treasurer's Office invests these funds in accordance with the State's investment policies and procedures and provides monthly reporting to the City. The City's separately managed account is intended for the investment of long-term core funds that are not required to meet short-term cash needs, and deposits and withdrawals are carried out by transferring funds in and out of the City's LGIP account.

Monies invested in the separately managed account are held separately and are not co-mingled with other state funds. Investments are valued using observable inputs, including quoted prices for similar securities and interest rates. The City does not record the individual transactions but records the net investment changes monthly. The State Treasurer's Office does security-level accounting, allowing investors to account for the portfolio as a single investment. As these are longer-term funds, the balance of the portfolio is reported at market value as of the valuation date. The State Treasurer's Office invests these funds in a diversified portfolio with a risk profile that is similar to the risk profile of the State's core portfolio, and the underlying assets have the same credit quality as U.S. Treasury securities, Government Sponsored Enterprises (GSEs), and the Supranational Institutions.

Investments in the separately managed account are purchased by the State Treasurer's Office and are held and registered in the State's name in the trust or safekeeping department of a financial institution as established by a written third-party safekeeping agreement between the State and financial institution.

Investments Measured at Amortized Cost

Investments reported as cash equivalents as of December 31, 2021:

	<u>Amortized Cost</u>	<u>Less Than 1 Year</u>
Money Market	7,534,718	7,534,718
Local Government Investment Pool	99,694,120	99,694,120
Total	\$ 107,228,838	\$ 107,228,838

Investments Measured at Fair Value

The City measures and reports investments at fair value using the valuation input hierarchy established by generally accepted accounting principles, as follows:

- Level 1: Quoted prices in active markets for identical assets or liabilities.
- Level 2: Quoted market prices for similar assets or liabilities, quoted prices for identical or similar assets or liabilities in markets that are not active, or other than quoted prices that are not observable.
- Level 3: Unobservable inputs for an asset or liability.

As of December 31, 2021, the City had the following investments measured at fair value:

Fair Value Measurement Using				
Investment Type	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Total
Separately Managed Portfolio	\$ -	\$ 218,229,417	\$ -	\$ 218,229,417
Total	\$ -	\$ 218,229,417	\$ -	\$ 218,229,417

The table below identifies the types of investments, concentration of investments in any one issuer, and maturities of the City's investment portfolio as of December 31, 2021:

Maturities				
Investment Type	Fair Value	Less Than 1 Year	More Than 1 Year	% of Total Portfolio
Separately Managed Portfolio	\$ 218,229,417	\$ -	\$ 218,229,417	67.05%
Investments Reported as Cash Equivalents:				
Money Market	7,534,718	7,534,718	-	2.32%
Local Government Investment Pool	99,694,120	99,694,120	-	30.63%
Total	\$ 325,458,256	\$ 107,228,839	\$ 218,229,417	100.00%
Percentage of Total Portfolio		32.95%	67.05%	100.00%

The table below identifies the credit risk of the City's separately managed investment portfolio as of December 31, 2021:

Investment Type		Ratings	
		S&P	Moody's
U.S. Agency Securities			
Federal Farm Credit Bank	\$ 10,899,626.41	AA+	Aaa
Federal Home Loan Bank	16,460,703	AA+	Aaa
Federal Home Loan Mortgage Corporation	25,438,257	AA+	Aaa
Federal National Mortgage Association	29,996,326	AA+	Aaa
Subtotal	82,794,913		
U.S. Treasury Securities			
U.S. Treasury Notes	33,225,762	AA+	Aaa
U.S. Treasury Bills	4,995,196	AA+	Aaa
Subtotal	38,220,957		
Supranational			
Asian Development Bank	19,726,694	AAA	Aaa
International Finance Corporation	9,832,482	AAA	Aaa
Inter-American Development Bank	31,578,892	AAA	Aaa
International Bank for Reconstruction and Development	24,832,177	AAA	Aaa
European Bank for Reconstruction and Development	4,968,725	AAA	Aaa
Subtotal	90,938,969		
LGIP Deposit Account			
	6,274,578		
Total			
	\$ 218,229,417		

Summary of Deposit and Investment Balances

Reconciliation of cash and investments by type to the financial statements as of December 31, 2021 is detailed in the following tables:

Cash & Investments by Type

KeyBank public checking	3,897,540
KeyBank advanced travel	19,291
Deposits/debits in transit at 12/31/2021	4,798,286
Checks/credits in transit at 12/31/2021	(5,471,566)
Petty cash/change fund	13,570
Contractor's retainage money market	123,067
Wells fargo wright runstad client trust acct	224,926
ARCH housing trust fund - outside agency	2,107,507
Pacific premier bank-money market	7,534,718
State investment pool (LGIP)	99,694,120
WA State Treasurer-separately managed portfolio	218,229,418
Grand Total Cash & Investments by Type	\$ 331,170,877

Cash & Investments by Statements	Cash & Equivalents*	Restricted Cash	Rate Stabilization Fund	Investments	Restricted Investments
Governmental Funds					
General Fund	\$ 25,800,943	\$ 1,157,301	\$ -	\$ 46,372,337	\$ 4,490,410
Advanced Life Support Fund	65,780	-	-	28,206	-
Capital Improvements Program Fund	27,314,202	123,067	-	53,294,240	3,188
Other Governmental Funds	12,596,335	-	-	21,866,788	2,724,681
Proprietary Funds					
Water/Wastewater	13,423,157	16,373	3,877,811	22,348,286	-
UPD Water/Wastewater	10,852,034	32,000	1,929,266	19,308,441	-
Stormwater Management	16,640,734	10,100	-	31,569,169	1,999,954
Internal Service Funds	4,543,888	-	-	8,782,186	-
Grand Total Cash & Investments by Statements					\$ 331,170,877

Gains and Losses on Investments

Realized gains and losses are computed as the difference between the proceeds of the sales and the original cost of the investments sold. The calculation of realized gains and losses is independent of a calculation of the net change in the fair value of investments. Realized gains and losses on investments that had been held in more than one fiscal year and sold in the current year were included as a change in the fair value of investments reported in the prior year(s) and the current year.

NOTE 4

Governmental Fund Balances

Governmental fund balances are classified as either spendable or non-spendable. Non-spendable fund balance category includes amounts not available to be spent because they are not in spendable form or are legally required to be maintained intact. The city has prepaid expenditures which are not in spendable form. Restricted fund balance is constrained externally, such as those resulting from federal and state legislation, grant awards, bond covenants, and inter-local service agreements. Committed fund balance is constrained by ordinance or resolution as adopted by City Council and requires the same action to remove the constraint. Assigned fund balances are constrained by the government's intent to be used for a specific purpose but are not restricted or committed. Unassigned fund balance is the residual classification for the General Fund. The city only reports unassigned fund balance in the General Fund. Council established a General Operating Reserve of at least 8.5% and an Economic Contingency; of at least 4% of the total General Fund revenue (excluding the beginning fund balance, development review revenue, and any significant one-time revenue). The General Operating Reserve can be used to provide sufficient cash flow to meet daily financial needs, sustain City services in the event of a catastrophe or a major downturn in the economy. The Economic Contingency requires Council's approval prior to use and serves as a hedge against economic fluctuations, fund future one time operational and capital needs or support City services on a one-time basis. If reserves are used, the city will begin to replenish these reserves at the end of the biennium if a surplus exists, but no later than the biennium following their use. The breakdown of what makes up each of the fund balance categories from the Balance Sheet - Governmental Funds that is designated for a particular purpose is shown below.

	General	Advanced Life Support	Capital Improvements	Other Governmental Funds	Total Governmental Funds
Fund balances:					
Non-spendable	\$ 163,127	\$ -	\$ -	\$ -	\$ 163,127
Spendable:					
Restricted for:					
Cable access	-	-	-	19,662	19,662
Capital projects	-	-	42,847,939	21,380,884	64,228,823
Debt service	-	-	-	69,708	69,708
Fire (Public Safety)	1,482	-	-	493,267	494,749
General Governmental Maintenance	500,000	-	-	-	500,000
Parks	740,434	-	-	-	740,434
Planning-Transportation	20,000	-	-	1,550,826	1,570,826
Public safety	1,176,745	-	-	33,806	1,210,551
Recycling	-	-	-	1,148,591	1,148,591
Reserves (Public Safety)	454,814	-	-	-	454,814
Tourism	-	-	-	1,099,481	1,099,481
Committed to:					
Arts	78,621	-	-	-	78,621
Capital equipment replacement	3,139,958	-	-	-	3,139,958
Development review	-	-	-	9,950,216	9,950,216
Fire equipment	3,821,413	-	-	-	3,821,413
Investigative fund	8,500	-	-	-	8,500
Parks maintenance	776,797	-	-	-	776,797
Fire fighter pension (GASB 73)	2,542,513	-	-	-	2,542,513
Recreation activities	-	-	-	562,212	562,212
Travel advance fund	20,000	-	-	-	20,000
Assigned to:					
Capital projects	-	-	24,156,139	-	24,156,139
Community events	73,750	-	-	-	73,750
Maintenance	4,426,083	-	-	-	4,426,083
Human services fund	2,474,341	-	-	-	2,474,341
Parks	699,355	-	-	-	699,355
Real property fund	2,806,893	-	-	-	2,806,893
Reserves	7,441,784	-	-	-	7,441,784
Transportation	7,980,150	-	-	-	7,980,150
Business tax	2,583,788	-	-	-	2,583,788
Unassigned	39,915,725	(290,038)	-	-	39,625,687
Total fund balances	\$ 81,846,273	\$ (290,038)	\$ 67,004,078	\$ 36,308,653	\$ 184,868,966

Note 5:

Property Tax

The King County Treasurer acts as an agent to collect property taxes levied in the County for all taxing authorities. Collections are distributed on a daily basis.

Property Tax Calendar

January 1	Taxes are levied and become an enforceable lien against properties.
February 14	Tax bills are mailed.
April 30	First of two equal installment payments is due.
May 31	Assessed value of property established for next year's levy at 100 percent of market value.
October 31	Second installment is due.

Property taxes are recorded as a receivable when levied. During the year, property tax revenues are recognized when cash is received. At year-end, property tax revenues are recognized for December collections to be distributed by the county treasurer in January and February.

Under Washington State law a city may levy property taxes up to \$3.50488 per \$1,000 of assessed valuation. The assessed value was \$27,088,665,808 for the City in 2021.

The City of Redmond's maximum property tax levy rate has been reduced from \$3.60 to \$3.10, or \$.50, as a result of annexing to the King County Library District in May 1990. In addition to the limitation previously noted, the City's levy rate is also subject to the following:

Washington State law in RCW 84.55.010 limits the growth of regular property taxes to one percent per year or IPD, whichever is less, after adjustments for new construction and annexations, unless an increase greater than this limit is approved by the voters. If the assessed valuation increases by more than one percent due to revaluation, the levy rate will be decreased.

The Washington State Constitution limits the total regular property tax levy to a maximum of one percent of assessed valuation or \$10 per \$1,000 of the market value of a property. If the taxes of all districts exceed this amount, each is proportionately reduced until the total is at or below the one percent limit.

Accordingly, the City levied \$1.08 per \$1,000 of assessed value for general governmental services and no additional voter-approved excess tax levy.

Note 6: Capital Assets

Capital asset activity for the year ended December 31, 2021, as follows:

	Beginning Balance	Increases	Decreases	Ending Balance
Primary Government				
GOVERNMENTAL ACTIVITIES				
Capital assets, not being depreciated:				
Land	\$ 157,554,286	\$ 4,803,589	\$ (432,517)	\$ 161,925,358
Construction in Progress* (Note19)	21,636,480	14,637,711	(20,848,137)	15,426,054
Art	573,370	1,683,719	-	2,257,089
Total capital assets, not being depreciated	<u>\$ 179,764,136</u>	<u>\$ 21,125,019</u>	<u>\$ (21,280,654)</u>	<u>\$ 179,608,501</u>
Capital Assets, Being Depreciated:				
Buildings/Building Improvements	\$ 86,129,776	\$ 14,725,823	\$ (1,677,619)	\$ 99,177,980
Improvements Other than Buildings	51,899,336	3,002,083	-	54,901,419
Machinery and Equipment	36,876,934	3,325,960	(1,187,859)	39,015,035
Infrastructure	323,615,779	2,251,502	(53,317)	325,813,964
Total capital assets, being depreciated	<u>\$ 498,521,825</u>	<u>\$ 23,305,368</u>	<u>\$ (2,918,795)</u>	<u>\$ 518,908,398</u>
Less Accumulated Depreciation for:				
Buildings/Building Improvements	\$ (25,859,308)	\$ (1,722,856)	\$ 67,105	\$ (27,515,059)
Improvements Other than Buildings	(20,571,989)	(1,752,634)	-	(22,324,623)
Machinery and Equipment	(22,535,719)	(2,336,714)	1,157,831	(23,714,602)
Infrastructure	(125,065,389)	(6,536,626)	53,317	(131,548,698)
Total accumulated depreciation	<u>\$ (194,032,405)</u>	<u>\$ (12,348,830)</u>	<u>\$ 1,278,253</u>	<u>\$ (205,102,982)</u>
Total capital assets, being depreciated, net	<u>\$ 304,489,420</u>	<u>\$ 10,956,538</u>	<u>\$ (1,640,542)</u>	<u>\$ 313,805,416</u>
Governmental activities capital assets, net	<u>\$ 484,253,556</u>	<u>\$ 32,081,557</u>	<u>\$ (22,921,196)</u>	<u>\$ 493,413,917</u>

* Restated construction in progress's beginning balance.

Net investment in capital assets

Governmental Activities

Capital assets not being depreciated	\$ 179,608,501
Capital assets being depreciated	518,908,398
Less accumulated depreciation	(205,102,982)
Less GO bonds	(40,570,000)
Less bond premium	(2,248,238)
Less Public Works Trust Fund loans	(944,506)
Plus deferred outflow on refunding bonds	2,424,088
Less capital related accounts payable and retainage payable	<u>(2,141,008)</u>

Governmental Activities, net investment
in capital assets

\$ 449,934,253

Depreciation expense was charged to functions/programs of the primary government as follows:

Governmental Activities	
General government	\$ 1,446,334
Public safety	1,452,462
Physical environment	30,886
Transportation, including depreciation of general infrastructure assets	7,775,857
Economic environment	25,694
Culture and recreation	1,617,597
Total depreciation expense – Governmental Activities	<u>\$ 12,348,830</u>

	Beginning Balance	Increases	Decreases	Ending Balance
BUSINESS-TYPE ACTIVITIES				
Capital assets, not Being depreciated:				
Land	\$ 25,754,897	\$ 1,829	\$ -	\$ 25,756,726
Construction In Progress	27,158,094	18,677,236	(18,020,911)	27,814,419
Intangible Assets	1,124,883	-	-	1,124,883
Total capital assets, not being depreciated	<u>\$ 54,037,874</u>	<u>\$ 18,679,065</u>	<u>\$ (18,020,911)</u>	<u>\$ 54,696,028</u>
Capital Assets, Being Depreciated:				
Buildings/Building Improvements	\$ 37,958,924	\$ -	\$ -	\$ 37,958,924
Improvements Other Than Buildings	410,238,691	18,292,136	(130,631)	428,400,196
Machinery and Equipment	1,790,448	-	-	1,790,448
Total capital assets, being depreciated	<u>\$ 449,988,063</u>	<u>\$ 18,292,136</u>	<u>\$ (130,631)</u>	<u>\$ 468,149,568</u>
Less Accumulated Depreciation for:				
Buildings/Building Improvements	\$ (11,428,502)	\$ (759,179)	\$ -	\$ (12,187,681)
Improvements Other than Buildings	(113,111,377)	(7,652,485)	130,631	(120,633,231)
Machinery and Equipment	(1,056,114)	(130,681)	-	(1,186,795)
Total accumulated depreciation	<u>\$ (125,595,993)</u>	<u>\$ (8,542,345)</u>	<u>\$ 130,631</u>	<u>\$ (134,007,707)</u>
Total capital assets, being depreciated, net	<u>\$ 324,392,070</u>	<u>\$ 9,749,791</u>	<u>\$ -</u>	<u>\$ 334,141,861</u>
Business-Type activities capital assets, net	<u>\$ 378,429,944</u>	<u>\$ 28,428,856</u>	<u>\$ (18,020,911)</u>	<u>\$ 388,837,889</u>

Net Investment in capital assets

Business-Type Activities	
Capital assets not being depreciated	\$ 54,696,028
Capital assets being depreciated	468,149,568
Less accumulated depreciation	(134,007,707)
Less Revenue bonds	(18,850,000)
Less bond premium	(425,246)
Less PWTF loan	(3,311,390)
Less capital-related accounts payable and retainage payable	<u>(1,897,276)</u>
Business-Type Activities, net investment in capital assets	<u>\$ 364,353,977</u>

Depreciation expense was charged to Business-Type Activities as follows:

Business-Type Activities	
Water/Wastewater	\$ 4,290,978
UPD Water/Wastewater	1,404,226
Stormwater	<u>2,847,141</u>
Total depreciation expense – Business-type Activities	\$ <u><u>8,542,345</u></u>

The Business-Type Activities also had \$1,404 in amortization expense that was included with depreciation expense in the financial statements. A (\$366,101) adjustment was made to amortization expense to reflect changes to the City's assumptions and methodology for 2021.

Since 2018 the City's business-type activities have invested \$308,121 in the Groundwater Protection Incentive Program, which is included as an intangible asset with an indefinite useful life. The program provides funds for retrofitting existing private infiltration facilities that are determined through the City's assessment process to pose a significant groundwater hazard in wellhead protection zones 1 and 2, to meet State and City regulations for groundwater protection, to ensure a safe supply of drinking water for the City.

Note 7: Pension Plans

The following table represents the aggregate pension amounts for all plans for the year 2021:

Aggregate Pension Amounts – All Plans	
Pension liabilities	\$ (3,263,504)
Pension assets	87,878,716
Deferred outflows of resources	8,106,123
Deferred inflows of resources	(64,907,254)
Pension expense/expenditures	(14,875,055)

State Sponsored Pension Plans

Substantially all City full-time and qualifying part-time employees participate in one of the following statewide retirement systems administered by the Washington State Department of Retirement Systems, under cost-sharing, multiple-employer public employee defined benefit and defined contribution retirement plans. The state Legislature establishes, and amends, laws pertaining to the creation and administration of all public retirement systems.

The Department of Retirement Systems (DRS), a department within the primary government of the State of Washington, issues a publicly available Annual Comprehensive Financial Report that includes financial statements and required supplementary information for each plan. The DRS Annual Comprehensive Financial Report may be obtained by writing to:

Department of Retirement Systems
Communications Unit
P.O. Box 48380
Olympia, WA 98540-8380

Or the DRS Annual Comprehensive Financial Report may be downloaded from the DRS website at www.drs.wa.gov.

Public Employees' Retirement System (PERS)

PERS members include elected officials; state employees; employees of the Supreme, Appeals and Superior Courts; employees of the legislature; employees of district and municipal courts; employees of local governments; and higher education employees not participating in higher education retirement programs. PERS is comprised of three separate pension plans for membership purposes. PERS plans 1 and 2 are defined benefit plans, and PERS plan 3 is a defined benefit plan with a defined contribution component.

PERS Plan 1 provides retirement, disability and death benefits. Retirement benefits are determined as two percent of the member's average final compensation (AFC) times the member's years of service. The AFC is the average of the member's 24 highest consecutive service months. Members are eligible for retirement from active status at any age with at least 30 years of service, at age 55 with at least 25 years of service, or at age 60 with at least five years of service. Members retiring from active status prior to the age of 65 may receive actuarially reduced benefits. Retirement benefits are actuarially reduced to reflect the choice of a survivor benefit. Other benefits include duty and non-duty disability payments, an optional cost-of-living adjustment (COLA), and a one-time duty-related death benefit, if found eligible by the Department of Labor and Industries. PERS 1 members were vested after the completion of five years of eligible service. The plan was closed to new entrants on September 30, 1977.

Contributions

The **PERS Plan 1** member contribution rate is established by State statute at 6 percent. The employer contribution rate is developed by the Office of the State Actuary and includes an administrative expense component that is

currently set at 0.18 percent. Each biennium, the state Pension Funding Council adopts Plan 1 employer contribution rates.

The PERS Plan 1 required contribution rates (expressed as a percentage of covered payroll) for 2021 were as follows:

PERS Plan 1		
Actual Contribution Rates:	Employer	Employee*
January – June 2021:		
PERS Plan 1	7.92%	6.00%
PERS Plan 1 UAAL	4.87%	
Administrative Fee	0.18%	
Total	12.97%	6.00%
July – December 2021:		
PERS Plan 1	10.07%	6.00%
Administrative Fee	0.18%	
Total	10.25%	6.00%

PERS Plan 2/3 provides retirement, disability and death benefits. Retirement benefits are determined as two percent of the member's average final compensation (AFC) times the member's years of service for Plan 2 and 1 percent of AFC for Plan 3. The AFC is the average of the member's 60 highest-paid consecutive service months. There is no cap on years of service credit. Members are eligible for retirement with a full benefit at 65 with at least five years of service credit. Retirement before age 65 is considered an early retirement. PERS Plan 2/3 members who have at least 20 years of service credit and are 55 years of age or older, are eligible for early retirement with a benefit that is reduced by a factor that varies according to age for each year before age 65. PERS Plan 2/3 members who have 30 or more years of service credit and are at least 55 years old can retire under one of two provisions:

- With a benefit that is reduced by three percent for each year before age 65; or
- With a benefit that has a smaller (or no) reduction (depending on age) that imposes stricter return-to-work rules.

PERS Plan 2/3 members hired on or after May 1, 2013, have the option to retire early by accepting a reduction of five percent for each year of retirement before age 65. This option is available only to those who are age 55 or older and have at least 30 years of service credit. PERS Plan 2/3 retirement benefits are also actuarially reduced to reflect the choice of a survivor benefit. Other PERS Plan 2/3 benefits include duty and non-duty disability payments, a cost-of-living allowance (based on the CPI), capped at three percent annually and a one-time duty related death benefit, if found eligible by the Department of Labor and Industries. PERS 2 members are vested after completing five years of eligible service. Plan 3 members are vested in the defined benefit portion of their plan after ten years of service; or after five years of service if 12 months of that service are earned after age 44.

PERS Plan 3 defined contribution benefits are totally dependent on employee contributions and investment earnings on those contributions. PERS Plan 3 members choose their contribution rate upon joining membership and have a chance to change rates upon changing employers. As established by statute, Plan 3 required defined contribution rates are set at a minimum of 5 percent and escalate to 15 percent with a choice of six options. Employers do not contribute to the defined contribution benefits. PERS Plan 3 members are immediately vested in the defined contribution portion of their plan.

Contributions

The **PERS Plan 2/3** employer and employee contribution rates are developed by the Office of the State Actuary to fully fund Plan 2 and the defined benefit portion of Plan 3. The Plan 2/3 employer rates include a component to address the PERS Plan 1 UAAL and an administrative expense that is currently set at 0.18 percent. Each biennium, the state Pension Funding Council adopts Plan 2 employer and employee contribution rates and Plan 3 contribution rates.

The PERS Plan 2/3 required contribution rates (expressed as a percentage of covered payroll) for 2021 were as follows:

PERS Plan 2/3		
Actual Contribution Rates:	Employer 2/3	Employee 2*
January – June 2021:		
PERS Plan 2/3	7.92%	7.90%
PERS Plan 1 UAAL	4.87%	
Administrative Fee	0.18%	
Employee PERS Plan 3		varies
Total	12.97%	7.90%
July – December 2021:		
PERS Plan 2/3	6.36%	6.36%
PERS Plan 1 UAAL	3.71%	
Administrative Fee	0.18%	
Employee PERS Plan 3		varies
Total	10.25%	6.36%

The City's actual PERS plan contributions were \$1,784,515 to PERS Plan 1 and \$2,962,486 to PERS Plan 2/3 for the year ended December 31, 2021.

Public Safety Employees' Retirement System (PSERS)

PSERS Plan 2 was created by the 2004 Legislature and became effective July 1, 2006. To be eligible for membership, an employee must work on a full-time basis and:

- Have completed a certified criminal justice training course with authority to arrest, conduct criminal investigations, enforce the criminal laws of Washington, and carry a firearm as part of the job; or
- Have primary responsibility to ensure the custody and security of incarcerated or probationary individuals; or
- Function as a limited authority Washington peace officer, as defined in [RCW 10.93.020](#); or
- Have primary responsibility to supervise eligible members who meet the above criteria.

PSERS membership includes:

- PERS 2 or 3 employees hired by a covered employer before July 1, 2006, who met at least one of the PSERS eligibility criteria and elected membership during the period of July 1, 2006 to September 30, 2006; and,
- Employees hired on or after July 1, 2006 by a covered employer, that meet at least one of the PSERS eligibility criteria.

PSERS covered employers include:

- Certain State of Washington agencies (Department of Corrections, Department of Natural Resources, Gambling Commission, Liquor and Cannabis Board, Parks and Recreation Commission, and Washington State Patrol),
- Washington State Counties,
- Washington State Cities (except for Seattle, Spokane, and Tacoma),
- Correctional entities formed by PSERS employers under the Interlocal Cooperation Act.

PSERS Plan 2 provides retirement, disability and death benefits. Retirement benefits are determined as two percent of the average final compensation (AFC) for each year of service. The AFC is based on the member's 60 consecutive highest creditable months of service. Benefits are actuarially reduced for each year that the member's age is less than 60 (with ten or more service credit years in PSERS), or less than 65 (with fewer than ten service credit years). There is no cap on years of service credit. Members are eligible for retirement at the age of 65 with five years of service; or at the age of 60 with at least ten years of PSERS service credit; or at age 53 with 20 years of service. Retirement before age 60 is considered an early retirement. PSERS members who retire prior to the age of 60 receive reduced benefits. If retirement is at age 53 or older with at least 20 years of service, a three percent per year reduction for each year between the age at retirement and age 60 applies. PSERS Plan 2 retirement benefits are actuarially reduced to reflect the choice of a survivor benefit. Other benefits include duty and non-duty disability payments, an optional cost-of living adjustment (COLA), and a one-time duty-related death

benefit, if found eligible by the Department of Labor and Industries. PSERS Plan 2 members are vested after completing five years of eligible service.

Contributions

The **PSERS Plan 2** employer and employee contribution rates are developed by the Office of the State Actuary to fully fund Plan 2. The Plan 2 employer rates include components to address the PERS Plan 1 unfunded actuarial accrued liability and administrative expense currently set at 0.18 percent. Each biennium, the state Pension Funding Council adopts Plan 2 employer and employee contribution rates.

The PSERS Plan 2 required contribution rates (expressed as a percentage of current year covered payroll) for 2021 were as follows:

PSERS Plan 2		
Actual Contribution Rates:	Employer	Employee
January – June 2021:		
PSERS Plan 2	7.20%	7.20%
PERS Plan 1 UAAL	4.87%	
Administrative Fee	0.18%	
Total	12.25%	7.20%
July - December 2021:		
PSERS Plan 2	6.50%	6.50%
PERS Plan 1 UAAL	3.71%	
Administrative Fee	0.18%	
Total	10.39%	6.50%

There were no plan contributions to PSERS Plan 2 and PERS Plan 1 for the year ended December 31, 2021.

Law Enforcement Officers' and Fire Fighters' Retirement System (LEOFF)

LEOFF membership includes all full-time, fully compensated, local law enforcement commissioned officers, firefighters, and as of July 24, 2005, emergency medical technicians. LEOFF is comprised of two separate defined benefit plans.

LEOFF Plan 1 provides retirement, disability and death benefits. Retirement benefits are determined per year of service calculated as a percent of final average salary (FAS) as follows:

- 20+ years of service – 2.0% of FAS
- 10-19 years of service – 1.5% of FAS
- 5-9 years of service – 1% of FAS

The FAS is the basic monthly salary received at the time of retirement, provided a member has held the same position or rank for 12 months preceding the date of retirement. Otherwise, it is the average of the highest consecutive 24 months' salary within the last ten years of service. Members are eligible for retirement with five years of service at the age of 50. Other benefits include duty and non-duty disability payments, a cost-of living adjustment (COLA), and a one-time duty-related death benefit, if found eligible by the Department of Labor and Industries. LEOFF 1 members were vested after the completion of five years of eligible service. The plan was closed to new entrants on September 30, 1977.

Contributions

Starting on July 1, 2000, **LEOFF Plan 1** employers and employees contribute zero percent, as long as the plan remains fully funded. The LEOFF Plan 1 had no required employer or employee contributions for fiscal year 2021. Employers paid only the administrative expense of 0.18 percent of covered payroll.

LEOFF Plan 2 provides retirement, disability and death benefits. Retirement benefits are determined as two percent of the final average salary (FAS) per year of service (the FAS is based on the highest consecutive 60 months). Members are eligible for retirement with a full benefit at 53 with at least five years of service credit. Members who retire prior to the age of 53 receive reduced benefits. If the member has at least 20 years of service and is age 50, the reduction is three percent for each year prior to age 53. Otherwise, the benefits are actuarially reduced for each year prior to age 53. LEOFF 2 retirement benefits are also actuarially reduced to reflect the choice

of a survivor benefit. Other benefits include duty and non-duty disability payments, a cost-of-living allowance (based on the CPI), capped at three percent annually and a one-time duty-related death benefit, if found eligible by the Department of Labor and Industries. LEOFF 2 members are vested after the completion of five years of eligible service.

Contributions

The LEOFF Plan 2 employer and employee contribution rates are developed by the Office of the State Actuary to fully fund Plan 2. The employer rate includes an administrative expense component set at 0.18 percent. Plan 2 employers and employees are required to pay at the level adopted by the LEOFF Plan 2 Retirement Board.

Effective July 1, 2017, when a LEOFF employer charges a fee or recovers costs for services rendered by a LEOFF 2 member to a non-LEOFF employer, the LEOFF employer must cover both the employer and state contributions on the LEOFF 2 basic salary earned for those services. The state contribution rate (expressed as percentage of covered payroll) was 3.41% in 2021.

The LEOFF Plan 2 required contribution rates (expressed as a percentage of covered payroll) for 2021 were as follows:

LEOFF Plan 2		
Actual Contribution Rates:	Employer	Employee
January – June 2021		
State and local governments	5.15%	8.59%
Administrative Fee	0.18%	
Total	5.33%	8.59%
July – December 2021		
State and local governments	5.12%	8.53%
Administrative Fee	0.18%	
Total	5.30%	8.53%

The City's actual contributions to the plan were \$1,750,521 for the year ended December 31, 2021.

The Legislature, by means of a special funding arrangement, appropriates money from the state General Fund to supplement the current service liability and fund the prior service costs of Plan 2 in accordance with the recommendations of the Pension Funding Council and the LEOFF Plan 2 Retirement Board. This special funding situation is not mandated by the state constitution and could be changed by statute. For the state fiscal year ending June 30, 2021, the state contributed \$78,170,320 to LEOFF Plan 2. The amount recognized by the City as its proportionate share of this amount is \$1,138,458.

Actuarial Assumptions

The total pension liability (TPL) for each of the DRS plans was determined using the most recent actuarial valuation completed in 2021 with a valuation date of June 30, 2020. The actuarial assumptions used in the valuation were based on the results of the Office of the State Actuary's (OSA) *2013-2018 Experience Study* and the *2019 Economic Experience Study*.

Additional assumptions for subsequent events and law changes are current as of the 2019 actuarial valuation report. The TPL was calculated as of the valuation date and rolled forward to the measurement date of June 30, 2021. Plan liabilities were rolled forward from June 30, 2020, to June 30, 2021, reflecting each plan's normal cost (using the entry-age cost method), assumed interest and actual benefit payments.

- **Inflation:** 2.75% total economic inflation; 3.50% salary inflation
- **Salary increases:** In addition to the base 3.50% salary inflation assumption, salaries are also expected to grow by promotions and longevity.
- **Investment rate of return:** 7.4%

Mortality rates were developed using the Society of Actuaries' Pub. H-2020 mortality rates, which vary by member status, as the base table. The OSA applied age offsets for each system, as appropriate, to better tailor the mortality rates to the demographics of each plan. OSA applied the long-term MP-2017 generational improvement scale, also developed by the Society Actuaries, to project mortality rates for every year after the 2010 base table. Mortality rates are applied on a generational basis; meaning, each member is assumed to receive additional mortality improvements in each future year throughout his or her lifetime.

There were no changes in assumptions since the last valuation. There were changes in methods since the last valuation.

- For purposes of the June 30, 2020 Actuarial Valuation Report (AVR), a non-contribution rate setting valuation under current funding policy, the Office of the State Actuary (OSA) introduced temporary method changes to produce asset and liability measures as of the valuation date. See high-level summary below. OSA will revert back to the methods outlined in the 2019 AVR when preparing the 2021 AVR, a contribution rate-setting valuation, which will serve as the basis for 2022 ACFR results.
- To produce measures at June 30, 2020, unless otherwise noted in the 2020 AVR, OSA relied on the same data, assets, methods, and assumptions as the June 30, 2019 AVR. OSA projected the data forward one year reflecting assumed new hires and current members exiting the plan as expected. OSA estimated June 30, 2020, assets by relying on the fiscal year end 2019 assets, reflecting actual investment performance over FY 2020, and reflecting assumed contribution amounts and benefit payments during FY 2020. OSA reviewed the actual June 30, 2020, participant and financial data to determine if any material changes to projection assumptions were necessary. OSA also considered any material impacts to the plans from 2021 legislation. See the 2020 AVR for more information.

Discount Rate

The discount rate used to measure the total pension liability for all DRS plans was 7.4 percent.

To determine that rate, an asset sufficiency test was completed to test whether each pension plan's fiduciary net position was sufficient to make all projected future benefit payments for current plan members. Based on OSA's assumptions, the pension plans' fiduciary net position was projected to be available to make all projected future benefit payments of current plan members. Therefore, the long-term expected rate of return of 7.4 percent was used to determine the total liability.

Long-Term Expected Rate of Return

The long-term expected rate of return on the DRS pension plan investments of 7.4 percent was determined using a building-block-method. In selecting this assumption, the Office of the State Actuary (OSA) reviewed the historical experience data, considered the historical conditions that produced past annual investment returns, and considered Capital Market Assumptions (CMA's) and simulated expected investment returns provided by the Washington State Investment Board (WSIB). The WSIB uses the CMA's and their target asset allocation to simulate future investment returns at various future times.

Estimated Rates of Return by Asset Class

Best estimates of arithmetic real rates of return for each major asset class included in the pension plan's target asset allocation as of June 30, 2021, are summarized in the table below. The inflation component used to create the table is 2.2 percent and represents the WSIB's most recent long-term estimate of broad economic inflation.

	Target Allocation	% Long-Term Expected Real Rate of Return Arithmetic
Fixed Income	20%	2.20%
Tangible Assets	7%	5.10%
Real Estate	18%	5.80%
Global Equity	32%	6.30%
Private Equity	23%	9.30%
	100%	

Sensitivity of the Net Pension Liability/(Asset)

The table below presents the City's proportionate share of the net pension liability calculated using the discount rate of 7.4 percent, as well as what the City's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage point lower (6.4 percent) or 1-percentage point higher (8.4 percent) than the current rate.

	1% Decrease (6.4%)	Current Discount Rate (7.4%)	1% Increase (8.4%)
PERS 1	\$ 5,559,562	\$ 3,263,504	\$ 1,261,104
PERS 2/3	(9,691,096)	(34,018,098)	(54,051,395)
LEOFF 1	(2,196,546)	(2,439,891)	(2,650,425)
LEOFF 2	(32,425,947)	(51,420,727)	(66,973,663)

Pension Plan Fiduciary Net Position

Detailed information about the State's pension plans' fiduciary net position is available in the separately issued DRS financial report.

Pension Liabilities (Assets), Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At June 30, 2021, the City reported a total pension liability of \$3,263,504 for its proportionate share of the net pension liabilities, and a total pension asset of \$87,878,716 for its proportionate share of the net pension assets as follows:

	Liability (or Asset)
PERS 1	\$ 3,263,504
PERS 2/3	(34,018,098)
LEOFF 1	(2,439,891)
LEOFF 2	(51,420,727)

The amount of the asset reported above for LEOFF Plans 1 and 2 reflects a reduction for State pension support provided to the City. The amount recognized by the City as its proportionate share of the net pension asset, the related State support, and the total portion of the net pension asset that was associated with the City were as follows:

	LEOFF 1 Asset	LEOFF 2 Asset
Employer's proportionate share	\$ 2,439,891	\$ 51,420,727
State's proportionate share of the net pension asset associated with the employer	16,503,360	33,171,983
TOTAL	\$ 18,943,251	\$ 84,592,710

At June 30, the City's proportionate share of the collective net pension liabilities was as follows:

	Proportionate Share 6/30/20	Proportionate Share 6/30/21	Change in Proportion
PERS 1	0.267873%	0.267230%	-0.000643%
PERS 2/3	0.346017%	0.341492%	-0.004525%
PSERS 2	0.000000%	0.000000%	0.000000%
LEOFF 1	0.070351%	0.071226%	0.000875%
LEOFF 2	0.794078%	0.885280%	0.091202%

Employer contribution transmittals received and processed by the DRS for the fiscal year ended June 30 are used as the basis for determining each employer's proportionate share of the collective pension amounts reported by the DRS in the *Schedules of Employer and Non-employer Allocations* for all plans except LEOFF 1.

LEOFF Plan 1 allocation percentages are based on the total historical employer contributions to LEOFF 1 from 1971 through 2000 and the retirement benefit payments in fiscal year 2021. Historical data was obtained from a 2011 study by the Office of the State Actuary (OSA). The state of Washington contributed 87.12 percent of LEOFF 1 employer contributions and all other employers contributed the remaining 12.88 percent of employer contributions. LEOFF 1 is fully funded, and no further employer contributions have been required since June 2000. If the plan becomes underfunded, funding of the remaining liability will require new legislation. The allocation method the plan chose reflects the projected long-term contribution effort based on historical data.

In fiscal year 2021, the state of Washington contributed 39 percent of LEOFF 2 employer contributions pursuant to [RCW 41.26.725](#) and all other employers contributed the remaining 61 percent of employer contributions.

Pension Expense

For the year ended December 31, 2021, the City recognized pension expense as follows:

	Pension Expense
PERS 1	\$ (551,507)
PERS 2/3	(7,635,774)
PSERS 2	(1,558)
LEOFF 1	(379,666)
LEOFF 2	(6,306,550)
TOTAL	\$ (14,875,055)

Deferred Outflows of Resources and Deferred Inflows of Resources

At December 31, 2021, the City reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

PERS 1	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ -	\$ -
Net difference between projected and actual investment earnings on pension plan investments	\$ -	\$ (3,621,397)
Changes of assumptions	\$ -	\$ -
Changes in proportion and differences between contributions and proportionate share of contributions	\$ -	\$ -
Contributions subsequent to the measurement date	\$ 781,968	\$ -
TOTAL	\$ 781,968	\$ (3,621,397)

PERS 2/3	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 1,652,210	\$ (417,029)
Net difference between projected and actual investment earnings on pension plan investments	\$ -	\$ (28,431,150)
Changes of assumptions	\$ 49,711	\$ (2,415,848)
Changes in proportion and differences between contributions and proportionate share of contributions	\$ -	\$ (222,645)
Contributions subsequent to the measurement date	\$ 1,337,368	\$
TOTAL	\$ 3,039,289	\$ (31,486,672)

PSERS	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ -	\$ -
Net difference between projected and actual investment earnings on pension plan investments	\$ -	\$ -
Changes of assumptions	\$ -	\$ -
Changes in proportion and differences between contributions and proportionate share of contributions	\$ -	\$ (10,746)
Contributions subsequent to the measurement date	\$ -	\$ -
TOTAL	\$ -	\$ (10,746)

LEOFF 1	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ -	\$ -
Net difference between projected and actual investment earnings on pension plan investments	\$ -	\$ (745,537)
Changes of assumptions	\$ -	\$ -
Changes in proportion and differences between contributions and proportionate share of contributions	\$ -	\$ -
Contributions subsequent to the measurement date	\$ -	\$ -
TOTAL	\$ -	\$ (745,537)

LEOFF 2	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 2,332,248	\$ (271,755)
Net difference between projected and actual investment earnings on pension plan investments	\$ -	\$ (24,517,773)
Changes of assumptions	\$ 22,228	\$ (2,445,572)
Changes in proportion and differences between contributions and proportionate share of contributions	\$ 1,043,445	\$ (1,807,803)
Contributions subsequent to the measurement date	\$ 886,945	\$ -
TOTAL	\$ 4,284,866	\$ (29,042,902)

Deferred outflows of resources related to pensions resulting from the City's contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended December 31, 2021.

Other amounts reported as deferred outflows and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended December 31	PERS 1	PERS 2/3	PSERS 2	LEOFF 1	LEOFF 2
2022	(959,308)	(7,831,373)	(1,499)	(198,041)	(6,628,600)
2023	(879,076)	(7,320,559)	(1,267)	(181,145)	(6,182,654)
2024	(831,202)	(6,994,798)	(1,267)	(170,927)	(5,845,720)
2025	(951,811)	(7,533,403)	(1,267)	(195,424)	(6,571,302)
2026	-	(114,358)	(1,267)	-	(177,626)
Thereafter	-	9,740	(4,179)	-	(239,080)
Total Net Deferred (Inflows)/Outflows	(3,621,397)	(29,784,751)	(10,746)	(745,537)	(25,644,982)

Firefighters' Pension Plan

The following table represents the aggregate pension amounts for all plans subject to the requirements of the [GASB Statement 73, Accounting and Financial Reporting for Pensions and Related Assets That Are Not within the Scope of GASB Statement 68](#) for the year 2021:

Aggregate Pension Amounts – All Plans	
Pension liabilities	\$ 589,347
Pension assets	\$ 2,542,513
Deferred outflows of resources	\$ -
Deferred inflows of resources	\$ -
Pension expense/expenditures	\$ 44,555

The City is the administrator of the Firefighters' Pension Plan (FPP), a single employer defined benefit pension plan established in conformance with Revised Code of Washington (RCW) 41.18. The Pension Board consists of five members: the Mayor, who is the chairman of the board, the City Clerk, the City Treasurer, and two regularly employed firefighters elected by secret ballot of the firefighters, each of whom serve two-year terms. Costs of administering the Plan are paid from the Firefighters' Pension Plan. The Plan provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to Plan members and beneficiaries. Retirement

benefit provisions are established in state statute and may be amended only by the State Legislature. Membership is limited to firefighters employed prior to March 1, 1970 when the LEOFF retirement system was established. The City's obligation under the Plan consists of paying the difference between pension and medical benefits provided by LEOFF and those provided by the FPP for covered firefighters who retire after March 1, 1970. Benefits and refunds of the Plan are recognized when due and payable in accordance with the terms of the Plan.

At December 31, 2021, there are three inactive plan members currently receiving benefits, and no active plan members. The pension plan is closed to new entrants.

Under State law, the FPP is provided an allocation of 25% of the taxes the state receives on fire insurance premiums, interest earnings, member contributions made prior to the inception of LEOFF, and City contributions required to meet projected future pension obligations. The City's fire insurance premium contribution for 2021 was \$187,261 and interest earnings were \$13,386, which was sufficient to pay the 2021 Firefighter's Pension Plan expenses of \$44,555. The financial activity of the Firefighters' Pension Plan is reported within the City's General Fund. No separate stand-alone financial report is issued for the Firefighters' Pension Plan.

The pension standards in GASB Statement No. 68 are applicable only to pension plans that are administered through trusts or equivalent arrangements in which:

- a. Contributions from employers to the pension plan and earnings on those contributions are irrevocable.
- b. Pension plan assets are dedicated to providing pensions to plan members in accordance with benefit terms.
- c. Pension plan assets are legally protected from the creditors of employers, the plan administrator and plan members.

The Firefighter's Pension Plan does not meet the requirement "c" that assets be legally protected from the creditors of employers, the plan administrator and plan members. Therefore, the assets are not accumulated in a qualifying trust or equivalent arrangement as required for GASB 68 reporting purposes.

For purposes of measuring the total pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the net position of the Firefighters' Pension Plan and additions to/deductions from the plan's net position have been determined on the same basis as they are reported by the plan. For this purpose, benefit payments are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

Investment Policy

The Firefighter's Pension Plan follows the City's policy to invest temporary cash surpluses. These investments are reported on the Statement of Net Position – Governmental Activities - as cash and cash equivalents or investments. Included in cash and cash equivalents are currency on hand, demand deposits with banks or other financial institutions, investments with the Local Government Investment Pool, investments in U.S. Government Mutual Funds and investments with original maturities of three months or less. Interest is allocated to the fund on the basis of investments owned.

In accordance with City policy and Washington State law, authorized investment purchases include Certificates of Deposit with financial institutions qualified by the Washington Public Deposit Protection Commission, US Treasury and Agency Securities, Bankers' Acceptances, Bonds of Washington State and any local government in Washington State which have, at the time of purchase, one of the three highest credit ratings of a nationally recognized rating agency, repurchase agreements, the State Investment Pool (which is a 2a7-like pool), and mutual funds used specifically for debt issues related to arbitrage.

The City reports its deposit and investment risk disclosures in accordance with GASB 40 and GASB 72. See Note 3 – Deposits and Investments for detail.

Changes in the Total Pension Liability

Firefighters' Pension Plan	Total Pension Liability
Balances at 1/1/2021	\$ 518,247
Changes for the year:	
Interest	15,871
Differences between expected and actual experience	129,301
Benefit payments, including refunds of contributions	(44,555)
Changes of assumptions	(29,517)
Net changes	71,100
Balance at 12/31/2021	<u>\$ 589,347</u>

The Schedule of Changes in Total Pension Liability and Related Ratios presented in Required Supplementary Information following the notes to the financial statements presents ten-year trend information about whether the total pension liability is increasing or decreasing over time and the factors affecting the changes.

Discount Rate and Investment Earnings

The discount rate is the single rate that reflects (1) the long-term expected rate of return on pension plan investments that are expected to be used to finance payment of benefits, to the extent that the pension plan's net position is projected to be sufficient to make projected benefit payments and pension plan assets are expected to be invested using a strategy to achieve that return, and (2) a yield or index rate for 20-year, tax-exempt general obligation municipal bonds with an average rating of AA/Aa or higher (or equivalent quality on another scale), to the extent that conditions for use of the long-term expected rate of return are not met. Since the Fiduciary Net Position is projected to be positive in all future years, the discount rate is equal to the Investment Earnings assumption of 3.2%.

Sensitivity of the Total Pension Liability to Changes in the Discount Rate

The following presents the total pension liability of the Firefighters' Pension Plan, calculated using the discount rate of 3.2%, as well as what the total pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (2.2%) or 1-percentage-point higher (4.2%) than the current rate:

	1% Decrease (2.2%)	Current Discount Rate (3.2%)	1% Increase (4.2%)
Total Pension Liability \$	657,273	589,347	531,311

Actuarial Assumptions

The total pension liability was determined by an actuarial valuation as of January 1, 2022, using the following actuarial assumptions, applied to all periods included in the measurement:

Salary Increases (inflation only)	3.0%
Investment earnings	3.2%
Growth in membership	0.0%
Postretirement benefit increases	
Related to salaries	3.0%
Related to Consumer Price Index	2.5%
Actuarial Cost Method	Entry Age Normal
Valuation of Assets	Market value basis

Mortality rates were based on the RPI-2012 Blue Collar Retiree Amount-Weighted Mortality Table, projected to 2021 using MP-2021 projection scale.

Municipal Employees Benefit Trust

By majority vote, City employees approved the City's withdrawal from the Social Security System pursuant to U.S.C.A., Section 418 (g) effective January 1, 1975. Permanent employees working 1,040 or more hours per year are eligible but not required to participate in the plan. Temporary employees working less than 1,040 hours per year are required to participate in the plan. Participating permanent employees may choose to defer income tax in accordance with Internal Revenue Code Section 401K, on all, part or none of their contribution while temporary employees may not defer income tax on any of their contribution. There were 926 permanent and 169 temporary participants with account balances at December 31, 2021.

The Municipal Employees Benefit Trust Plan is a defined contribution plan with participants contributing an amount equal to the current Social Security rate (7.65%). One hundred percent of the contributions made by employees hired before April 1, 1986 go to MEBT. Employees hired on or after April 1, 1986 contribute 6.2% to MEBT and 1.45% to Medicare. Permanent employees may make additional contributions up to the limit set by the Internal Revenue Code. The City contributes 7.65% for permanent employees and 4.75% for temporary employees. Of the City's contribution, 1.45% goes to Medicare for employees hired on or after April 1, 1986. Eighty percent of the remaining City contribution goes to MEBT and 20% to administrative fees. The City's contribution is based on the payroll for all employees who are eligible to participate in the plan, regardless of the number of participants. The City's payroll for participating employees in 2021 was \$68,682,996. Employee contributions were \$5,171,034. City contributions were \$3,378,112. The City's total payroll was \$76,510,139.

Plan assets consisting of stocks, bonds, and guaranteed insurance contracts, are not the property of the City and are not subject to the claims of the City's general creditors. The Plan is administered by the Plan Committee consisting of seven employee members appointed by the City. The Plan Committee administers the MEBT Plan according to the Plan Document adopted by the City and all applicable IRS regulations. Plan provisions may be established or amended by a majority vote of the Plan Committee. Employees who elect not to participate in the Municipal Employees Benefit Trust plan retain the disability and survivor income insurance provided by the Standard Insurance Company.

Actuarial determinations are not required because (1) long term disability insurance and survivor income insurance are provided by a group insurance policy with Standard Insurance Company, and (2) each participant shall at his normal retirement date instruct the Plan Committee to (a) acquire a non-forfeitable, non-transferable annuity contract, (b) pay retirement benefits in monthly or annual installments (no contributions by the City or the participant shall be added to his account after retirement), (c) pay a single sum in cash, or (d) elect to defer any or all retirement benefits to a later date.

Note 8:
Defined Benefit Other Postemployment Benefits (OPEB) Plans

GASB Statement 75, Accounting and Financial Reporting by Employers for Post-Employment Benefits Other Than Pensions, requires governments to account for other post-employment benefits (OPEB) on an accrual basis, rather than on a pay-as-you-go basis. The effect is the recognition of an actuarially determined expense on the Statement of Activities when retirees earn their post-employment benefits, rather than when they use their post-employment benefit. The post-employment benefit liability is recognized on the Statement of Net Position over time. The City changed the actuarial cost method from GASB 45 to GASB 75 starting with the reporting periods beginning after January 1, 2018.

The following table represents the aggregate OPEB amounts for all plans subject to the requirements of GASB Statement 75 for the year 2021:

OPEB liabilities	\$ 18,549,651
OPEB assets	\$ -
Deferred outflows of resources	\$ -
Deferred inflows of resources	\$ 424,558
OPEB expenses/expenditures	\$ 924,243

Plan Description

The City provides post-retirement healthcare benefits for members of the Law Enforcement Officers and Firefighters (LEOFF) retirement system hired before October 1, 1977 under a single-employer, defined benefit healthcare plan administered by the City, as required by the Revised Code of Washington (RCW Chapter 41.26). Retirees are eligible to receive lifetime retiree medical benefits upon service retirement after age 50 with at least five years of service. This is a closed plan covering retired employees only. New entrants are not permitted.

Most medical coverage for eligible retirees is provided by one of the City's employee medical insurance programs as a single employer. Under the authorization of the LEOFF Disability Board, direct payment is made for other retiree medical expenses not covered by standard medical plan benefit provisions. No retiree contributions toward the cost of retiree medical benefits are required.

As of December 31, 2021, the following retired employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefits	29
Inactive employees entitled to but not yet receiving benefits	-
Active employees	-
Total	29

Funding Policy

Funding for the LEOFF retiree healthcare costs is provided entirely by the City as required by RCW. The City's funding policy is based upon pay-as-you-go financing requirements and the net assets available for plan benefits is zero at all times.

Financial reporting for the LEOFF retiree healthcare plan is included in the City's Annual Comprehensive Financial Report.

Actuarial Methods and Assumptions

In 2021 the City used the alternative measurement method (AMM) permitted under GASB Statement 75. Retirement, disablement, termination, and mortality rates were assumed to follow the LEOFF 1 rates used in the June 30, 2021, actuarial valuation report issued by the Office of the State Actuary (OSA).

The total OPEB liability (TOL) was determined using the following methodology:

Actuarial Valuation Date	6/30/2021
Actuarial Measurement Date	6/30/2021
Actuarial Cost Method	Entry Age
Amortization Method	Recognized Immediately
Asset Valuation Method	N/A (No Assets)

For purposes of the AMM online tool, a simplifying actuarial assumption is made considering that over 99 percent of the LEOFF 1 members are already retired. The remaining members are eligible to retire and will retire immediately following the measurement date.

This approach inherently assumes that all liabilities are fully earned, and the service cost equals zero. In other words, the entry age normal total OPEB liability is by definition equal to the present value of future benefits. The OSA determines that there is no need to implicitly make assumptions with respect to projected salary changes.

Each cohort is assumed to be 100 percent male. As of the measurement date, greater than 98 percent of the eligible LEOFF 1 population is male. This simplification is believed to be reasonable and only the mortality assumptions selected (since the medical assumptions are already blended based upon the actual gender distribution within the eligible population) are impacted. The OSA will continue to monitor this assumption for future versions of the tool.

Based upon the overall distribution of the LEOFF 1 eligible population, the four age-based cohorts are selected for purposes of the AMM online tool, and this grouping approach is believed to be reasonable.

Medical and long-term care costs were projected from June 30, 2020 to the measurement date of June 30, 2021, using the healthcare trend rates detailed in the 2020 LEOFF 1 OPEB Actuarial Valuation Report.

Mortality rates were based on the PubS.H-2010 (Public Safety) mortality table report published by the Society of Actuaries. The OSA applied offsets to the base table and recognized future improvements in mortality by projecting the mortality rates using 100 percent Scale BB. Mortality rates are applied on a generational basis, meaning members are assumed to receive additional mortality improvements in each future year throughout their lifetime.

Healthcare Trend Rates

Medical costs	Initial rate is approximately 5.3%, trends down to about 5.0% in the 2020's.
Long-term care	4.50%
Medicare Part B Premiums	Approximately 5.0%, varies by year.

Please see the OSA's 2020 LEOFF 1 Medical Benefits Actuarial Valuation Report for additional detail on the healthcare trend rates.

Discount Rate

Since OPEB benefits are funded on a pay-as-you-go basis, the discount rates used to measure the total OPEB liability was set equal to the Bond Buyer General Obligation 20-Bond Municipal Index, or 2.21 percent for the June 30, 2020, measurement date and 2.16 percent for the June 30, 2021, measurement date.

Changes in Total OPEB Liability

The following table presents the change in the total OPEB liability as of the June 30, 2021, measurement date:

Total OPEB Liability (TOL)		
Total OPEB Liability - Beginning	\$	18,336,583
Service Cost	\$	-
Interest Cost	\$	397,423
Changes in experience data and assumptions	\$	526,820
Changes in benefit terms	\$	-
Estimated benefit payments	\$	(711,175)
Other	\$	-
Net Changes in Total OPEB Liability	\$	213,068
Total OPEB Liability - Ending	\$	18,549,651
Covered Employee Payroll	\$	-
TOL as a Percentage of Covered Payroll		N/A

Sensitivity Analysis of the Total OPEB Liability to Changes in the Discount Rate

The following table presents the total OPEB liability of the City as an employer, calculated using the discount rate of 2.16%, as well as what the total OPEB liability would be if it were calculated using a discount rate that is 1 percent point lower (1.16 percent) or 1 percent point higher (3.16 percent) than the current rate.

	Total
1% Decrease	\$ 21,268,535
Current Discount Rate	\$ 18,549,651
1% Increase	\$ 16,311,780

Sensitivity Analysis of the Total OPEB Liability to Changes in the Healthcare Cost Trend Rates

The following table presents the total OPEB liability of the City as an employer, calculated using the healthcare trend rates of 5.30 percent, as well as what the total OPEB liability would be if it were calculated using healthcare trend rate that is 1 percent point lower (4.30 percent) or 1 percent point higher (6.30 percent) than the current rate:

	Total
1% Decrease	\$ 16,411,926
Current Discount Rate	\$ 18,549,651
1% Increase	\$ 21,079,005

OPEB Expense, Deferred Outflows of Resources, and Deferred Inflows of Resources Related to OPEB.

For the year ended December 31, 2021, the City recognized OPEB expense of \$ 924,243.

On December 31, 2021, the City reported deferred outflows of resources related to OPEB for the City from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Difference between expected and actual experience \$	- \$	-
Changes of assumptions	-	-
Transactions subsequent to the measurement date	310,005	-
Total \$	310,005 \$	-

Note 9:
Construction Commitments

At December 31, 2021 the City had significant contractual obligations on construction projects:

(In thousands)

Transportation Projects	\$	38
General Government		119
Utilities Projects		<u>6,674</u>
Total	\$	<u><u>6,831</u></u>

Note 10:
Interfund Transfers

Interfund transfers are used to move revenues from the fund that statute or budget requires to collect them to the fund that statute or budget requires to expend them, to move receipts for debt service from the fund collecting the receipts to a debt service fund as debt service payments become due, and to use unrestricted revenues collected in the general fund to finance various programs accounted for in other funds in accordance with budgetary authorizations.

Interfund balances at December 31, 2021 were as follows:

Due To/From Other Funds	Receivable	Payable
General Fund	\$ 3,678,975	
Other Governmental Funds		3,642,434
Internal Service Funds		36,541
Total due other funds	\$ 3,678,975	\$ 3,678,975

Interfund transfers at December 31, 2021 were as follows:

		Transfer from				
		General Fund	Capital Improvements Program Fund	Other Governmental Funds	Proprietary Funds	Internal Service Funds
Transfer to	General Fund		\$ 2,944,328	\$ 1,126,610	\$ 178,234	\$ 13,370
	Advanced Life Support	57,553				
	Capital Improvement Program Funds	24,541,108		5,466,255		
	Other Governmental Funds	6,101,459				
	Proprietary Funds		349,675			
	Internal Service Funds	6,609,611		38,000	528,000	
Total		\$37,309,731	\$ 3,294,003	\$ 6,630,865	\$ 706,234	\$ 13,370
				\$ 47,954,203		

Note 11: Long-Term Obligations

Direct Borrowings

As of December 31, 2021, the City had no direct placements, no unused lines of credit, and no assets pledged as collateral for debt. The City's direct borrowings included the following:

- 2012 Public Works Trust Fund Loan – 161st Ave NE Extension
- 2015 State of Washington Department of Ecology Loan – Redmond Way Stormwater Treatment Facility

Below are the terms of the City's debt obligations, related to significant events of default with finance-related consequences, termination events with finance-related consequences, and subjective acceleration clauses, if any.

Public Works Trust Fund (PWTF) Loans– Construction Loan Agreement Between City of Redmond and Washington State Public Works Board (“Board”)

Default in Repayment – Loan repayments shall be made on the loan in accordance with the contract terms. A payment not received within thirty (30) days of the due date shall be declared delinquent and the City shall be assessed a monthly penalty beginning on the first day past the due date. The penalty will be assessed on the entire payment amount. The penalty will be 1% per month or 12% per annum.

Performance Incentives – The City shall complete the project no later than 60 months after the date of contract execution. Failure to meet the time of performance shall constitute default of the contract. The City may request in writing to extend the deadline for the project completion. Should the City complete the project within 48 months after the date of contract execution, the City may exercise an incentive option, to either increase the repayment period or decrease the interest rate. Irrespective of the performance incentive chosen, the minimum loan interest rate shall not be less than 0.25%. The calculation of interest rate and term adjustments will apply to the remaining payments.

Repayment – The City has the right to repay the unpaid balance of the loan in full at any time or make accelerated payments without penalty.

Termination for Cause – If the City fails to comply with the terms of the agreement or fails to use the loan proceeds only for those activities identified in the agreement, the Board may terminate the contract in whole or in part at any time. Nothing in this section shall affect the City's obligation to repay the unpaid balance of the loan.

Termination for Convenience – The Board may terminate the contract if state funds are no longer available to the Board or are not appropriated for the purpose of meeting the Board's obligations under the contract. Termination will be effective when the Board sends written notice of termination to the City. Nothing in this section shall affect the City's obligation to repay the unpaid balance of the loan.

Washington State Department of Ecology (DOE) Loan – Water Quality Facility Project Loan Agreement Between City of Redmond and Washington State DOE (“Department”)

Late Charges – If any amount of the loan agreement remains unpaid after it becomes due and payable, the Department may assess a late charge. The late charge will be 1% per month on the past due amount, starting on the date the debt becomes past due and until it is paid in full. The City will be in default of its obligations under the loan agreement when any loan payment becomes 60 days past due.

Default Events – The loan agreement may be terminated by the Department for insufficient department funds. The loan agreement may also be terminated if the City fails to commence project work or for past due payments. In addition, the City will be in default of its obligations under the loan agreement if, in the opinion of the Department, the City has unjustifiably failed to perform any obligation required of it by the loan agreement. In response to a Department-initiated termination event or in response to a loan default event, the Department may in its sole discretion demand that the City repay the outstanding balance of the loan amount and all accrued interest. From

the time that the Department demands repayment of funds, amounts owed by the City to the Department will accrue additional interest at the rate of 1% per month, or a fraction thereof. In the event of a default, the Department shall not have the right to declare the principal of an interest on the loan immediately due and payable, but repayments not made immediately will incur late charges.

Collection and Enforcement Actions – In the event of a default event, the State of Washington reserves the right to take any actions it deems necessary to collect the amounts due, or to become due, or to enforce the performance and observance of any obligation by the City, under the loan agreement.

Prepayment – So long as the Department will hold the loan, the City may prepay the entire unpaid principal balance of and accrued interest on the loan or any portion of the remaining unpaid principal balance of the loan amount. Any prepayments on the loan will be applied first to any accrued interest due and then to the outstanding principal balance of the loan amount.

Refinancing or Early Repayment – So long as the Department will hold the loan, the City will give the Department 30 days written notice if the City intends to refinance or make early repayment of the loan.

Termination for Cause – In the event the City unjustifiably fails, in the opinion of the Department, to perform any obligation required of it by the loan agreement, the Department may refuse to pay any further funds thereunder and/or terminate the loan agreement by giving written notice of termination.

Recovery of Payments – In the event the City fails, for any reason, to perform obligations required of it by the loan agreement, the City may be required to repay to the Department all loan funds disbursed to the City for those parts of the project that are rendered worthless in the opinion of the Department by such failure to perform. Interest shall accrue at the rate of 12% per year, from the time the Department demands repayment of funds. If payments have been discontinued by the Department due to insufficient funds, the City shall not be obligated to repay monies which had been paid to the City prior to such termination. Any property acquired under the agreement, at the option of the Department, may become the Department's property and the City's liability to repay monies shall be reduced by an amount reflecting the fair value of such property.

Defeasance of the Loan – So long as the Department will hold the loan, the City will not be entitled to, and will not effect, an economic defeasance of the loan. The City will not advance refund the loan. If the City defeases or advance refunds the loan, it will be required to use the proceeds thereof immediately upon their receipt, together with other available City funds, to repay both of the following: (i) the loan amount with interest and (ii) any other obligation of the City to the Department under the loan agreement, unless in its sole discretion the Department finds that repayment from those additional sources would not be in the public interest. Failure to repay the loan amount plus interest within the time specified in the Department's notice to make such repayment will incur late charges and will be treated as a loan default.

Public Works Trust Fund Loans

The City's governmental activities currently have one State of Washington Public Works Trust Fund Loan with principal outstanding of \$944,508. The interest rate is 0.25%. This loan is considered an obligation of the general government and is being repaid from General Fund revenues which are transferred to the Capital Investments Program Fund where the loan payments are recorded.

The City's business type activities currently have one State of Washington Public Works Trust Fund Loan with principal outstanding of \$3,311,390. In 2012 the City Council of the City of Redmond adopted the Resolution #1371 in 2012 accepting a Washington State Department of Ecology (DOE) loan for funding towards the Redmond Way Water Quality Facility. The loan amount of \$4,412,000 was drawn down on September 2, 2015. The loan bears interest at the rate of 2.6% per annum, calculated on the basis of a 365-day year. The final loan amount will be repaid from the City's utility funds in equal installments semiannually over a term of twenty years.

Public Works Trust Fund Loans outstanding at December 31, 2021 are as follows:

Governmental Activities				Business Type Activities			
Year	Principal	Interest	Total	Year	Principal	Interest	Total
2022	94,451	2,361	96,812	2022	207,477	85,217	292,694
2023	94,451	2,125	96,576	2023	212,936	79,758	292,694
2024	94,451	1,889	96,340	2024	218,539	74,155	292,694
2025	94,451	1,653	96,104	2025	224,289	68,405	292,694
2026	94,451	1,417	95,868	2026	230,191	62,503	292,694
2027-2031	472,254	3,542	475,796	2027-2031	1,245,056	218,412	1,463,468
-	-	-	-	2032-2035	972,902	51,526	1,024,428
Total	\$ 944,509	\$ 12,987	\$ 957,496	Total	\$ 3,311,390	\$ 639,976	\$3,951,366

Other Debt Obligations

As of December 31, 2021, the City's other debt obligations included the following long-term limited tax general obligation (LTGO) and utility system revenue bonds:

Other Debt

- 2013 LTGO Refunding – City Hall Building (unrefunded portion)
- 2014 Stormwater Capital Improvement Revenue Bonds (unrefunded portion)
- 2015 LTGO Refunding – 2008 Bonds Years 2025-2028 & Transportation Projects
- 2016 LTGO Refunding – 2008 Bonds Years 2019-2025 & Transportation Projects
- 2021 LTGO Refunding Bonds (Taxable) – 2013 City Hall Building
- 2021 Stormwater Refunding (Taxable) – 2014 Capital Improvement Revenue Bonds

While there are no identifiable listed events of default for the City's publicly sold bonds, terms of default would include: (i) failure to pay principal and interest and (ii) failure to uphold the covenants made in the authorizing ordinances, by which remedial steps would be appropriated. LTGO debt is backed by the full faith and credit of the City. Revenue debt is secured by the pledge of a specific revenue stream, such as utility user fees. The City is liable for principal and interest payments only as they become due. The City's publicly sold bonds are not subject to termination events or acceleration clauses.

General Obligation Bonds

The City issues general obligation bonds to provide funds for the acquisition and construction of major capital facilities. General obligation bonds are direct obligations and pledge the full faith and credit of the City. General obligation bonds have been issued for general government activities and are being repaid from debt service funds.

In 2013 the City issued \$33,085,000 in limited tax general obligation (LTGO) refunding bonds, with a final maturity of December 1, 2035; the callable portion of \$17,115,000 of the bonds were refunded in 2021, and the outstanding

principal amount on the unrefunded portion is \$2,080,000 as of December 31, 2021. This is scheduled to pay in full in 2023.

In 2021, the City issued \$18,850,000 in LTGO refunding bonds to advance refund and defease a portion of the 2013 bonds used to building a City Hall, parking garage, and to provide for other enhancements to the City campus. The City realized a net present value savings of 11.29% by advance refunding \$17,115,000 of those bonds in 2021. The debt payments are budgeted biennially and paid for from levies of taxes within the constitutional and statutory tax limitations provided by law without a vote of the voters of the City. Redmond uses general revenues and utility user fees to support these debt payments.

The reacquisition price exceeded the net carrying amount of the old debt by \$958,447. This amount is being charged to operations through the year 2035 using the straight-line method and is reported as a deferred outflow in the statement of net position.

In November 2015, the City Council of the City of Redmond adopted ordinance 2809, providing for the issuance of two series of LTGO and Refunding Bonds in the aggregate principal amount of not to exceed \$31,000,000 to provide funds to finance the costs of transportation improvements, to refund certain outstanding LTGO bonds of the City, and to finance costs of issuance of each series of bonds. In December 2015, the City issued \$9,280,000 in LTGO refunding bonds with an interest rate of 3.00% to advance refund \$8,940,000 of outstanding 2008 LTGO bonds. The reacquisition price exceeded the net carrying amount of the old debt by \$951,425. This amount is being charged to operations through the year 2028 using the straight-line method. The remaining balance of \$508,913 is reported as a deferred outflow in the statement of net position. In January 2016, the City issued \$11,630,000 in LTGO refunding bonds with an interest rate of 2.0%-5.0% to advance refund \$11,675,000 of outstanding 2008 LTGO bonds. The reacquisition price exceeded the net carrying amount of the old debt by \$1,386,462. This amount is being charged to operations through the year 2035 using the straight-line method. The remaining balance of \$971,405 is reported as a deferred outflow in the statement of net position. In January 2016, the City also issued \$6,000,000 in LTGO bonds with an interest rate of 2.0%-5.0% to provide funds to finance the costs of transportation improvements.

General obligation bonds outstanding at December 31, 2021 are as follows:

	Issue Date	Maturity Date	Interest Rate	Amount Issued	Redemptions to Date	Outstanding 12/31/2021
2011 LTGO Bonds	3/16/2011	12/1/2021	2.0% - 4.5%	\$ 8,035,000	\$ 8,035,000	\$ -
2013 LTGO Refunding Bonds (unrefunded portion)	9/12/2013	12/1/2023	1.75% - 5.0%	33,085,000	31,005,000	2,080,000
2015 LTGO Refunding Bonds	12/22/2015	12/1/2028	3.0%	9,280,000	-	9,280,000
2016 LTGO Refunding Bonds	1/21/2016	12/1/2024	2.0% - 5.0%	11,630,000	5,895,000	5,735,000
2016 LTGO Bonds	1/21/2016	12/1/2035	2.0% - 5.0%	6,000,000	1,335,000	4,665,000
2021 LTGO Refunding Bonds- City Hall building	10/14/2021	12/1/2035	0.24% - 2.40%	18,850,000	40,000	18,810,000
Total General Obligation Bonds				<u>\$ 86,880,000</u>	<u>\$ 46,310,000</u>	<u>\$ 40,570,000</u>

Annual debt service requirements to maturity for general obligation bonds are as follows:

Year Ending	Governmental Activities	
	Principal	Interest
2022	3,480,000	1,132,572
2023	3,570,000	1,037,790
2024	3,715,000	888,154
2025	3,870,000	766,368
2026	3,960,000	675,330
2027-2031	13,820,000	2,014,846
2032-2034	8,155,000	587,893
	<u>\$ 40,570,000</u>	<u>\$ 7,102,953</u>

Revenue Bonds

The City issues revenue bonds to finance construction projects for the City's utilities. Revenue bonds are payable from revenues generated by the user fees and are backed by the Stormwater utilities. Revenue bonds generally require a cash reserve be maintained of 120% of the current portion of revenue bonds payable, plus interest.

The 2014 bonds were issued for \$22,950,000, with a final maturity of December 1, 2034; the callable portion of \$13,865,000 of the bonds were refunded in 2021. The outstanding unrefunded portion of \$3,005,000 is scheduled to remit annually and will be paid in full on December 1, 2024.

In 2021, the City issued \$15,880,000 in utility system revenue refunding bonds to advance refund and defease a portion of the 2014 stormwater revenue bonds issued to pay for the construction and improvement of various pump stations, access chambers, regional facilities in the Overlake and Downtown areas of the City, flow control, and water quality facilities. The 2014 bonds also included funding for stream and habitat restoration projects. The City realized a net present value savings of 9.09% by advance refunding \$13,865,000 of those bonds in 2021.

The reacquisition price exceeded the net carrying amount of the old debt by \$221,732. This amount is being charged to operations through the year 2034 using the straight-line method and is reported as a deferred outflow in the statement of net position

Revenue bonds outstanding at year end are as follows:

	<u>Issue Date</u>	<u>Maturity Date</u>	<u>Interest Rate</u>	<u>Amount Issued</u>	<u>Redemptions to Date</u>	<u>Outstanding 12/31/2021</u>
2014 Stormwater Revenue Bonds (unrefunded portion)	7/24/2014	12/1/2024	3.26% - 4.25%	\$ 22,950,000	\$ 19,945,000	\$ 3,005,000
2021 Stormwater Refunding Bonds	10/14/2021	12/1/2034	0.25% - 2.34%	<u>15,880,000</u>	<u>35,000</u>	<u>15,845,000</u>
Total Revenue Refunding Bonds				<u>\$ 38,830,000</u>	<u>\$ 19,980,000</u>	<u>\$ 18,850,000</u>

Annual debt service requirements to maturity for revenue bonds are as follows:

<u>Year Ending</u>	<u>Business-type Activities</u>	
	<u>Principal</u>	<u>Interest</u>
2022	1,245,000	420,245
2023	1,295,000	371,628
2024	1,345,000	320,451
2025	1,400,000	265,915
2026	1,415,000	251,033
2027-2031	7,380,000	935,840
2032-2034	<u>4,770,000</u>	<u>217,902</u>
	<u>\$ 18,850,000</u>	<u>\$ 2,783,014</u>

Changes in Long-Term Liabilities

Long-term liability activity for the year ended December 31, 2021 was as follows:

	Beginning Balance	Additions	Reductions	Ending Balance	Due Within One Year
Governmental Activities:					
Bonds Payable:					
General Obligation Bonds	\$ 42,810,000	\$ 20,930,000	\$ (23,170,000)	\$ 40,570,000	\$ 3,480,000
For issuance premiums	3,284,667	-	(1,036,429)	2,248,238	-
Total Bonds Payable	46,094,667	20,930,000	(24,206,429)	42,818,238	3,480,000
Direct borrowings	1,038,957	-	(94,451)	944,506	94,451
Compensated absences	7,034,994	5,899,648	(6,303,106)	6,631,536	5,305,229
Net pension liability	11,260,702	-	(8,652,387)	2,608,315	-
Other post employment benefits	18,336,583	213,068	-	18,549,651	620,010
Total firefighters' pension	518,247	71,100	-	589,347	-
Asset retirement obligation	897,828	-	(664,324)	233,504	-
Total Governmental activity long-term liabilities	\$ 85,181,978	\$ 27,113,816	\$ (39,920,697)	\$ 72,375,097	\$ 9,499,690
Business-Type Activities:					
Bonds Payable:					
Revenue Bonds	\$ 17,785,000	\$ 15,880,000	\$ (14,815,000)	\$ 18,850,000	\$ 1,245,000
For issuance premiums	2,195,593	-	(1,770,347)	425,246	-
Total Bonds Payable	19,980,593	15,880,000	(16,585,347)	19,275,246	1,245,000
Direct borrowings	3,513,547	-	(202,157)	3,311,390	207,477
Compensated absences	830,633	529,316	(594,937)	765,012	(612,010)
Asset retirement obligation	1,930,133	-	(1,464,106)	466,027	(366,101)
Net pension liability	2,622,021	-	(1,966,833)	655,188	-
Total Business-type activity long-term liabilities	\$ 28,876,927	\$ 16,409,316	\$ (20,813,380)	\$ 24,472,863	\$ 474,366

Internal service funds predominantly serve the governmental funds. Accordingly, long-term liabilities for them are included as part of the above totals for governmental activities. At year end \$25,485 of internal service funds net pension liability and \$445,883 compensated absences are included in the above amounts. Compensated absences for governmental activities are liquidated in the governmental fund from which the employee's salary is paid. Governmental funds typically used to liquidate compensated absences are the General Fund, Recreation Activities Fund, Advanced Life Support Fund, and the Recycling Fund.

Arbitrage

Arbitrage occurs when the City invests funds borrowed at tax-exempt rates of interest in higher yielding taxable securities. These interest earnings in excess of interest expense must be remitted to the federal government. At the fund level, the City recognizes this liability only when it is due and payable. The City had no arbitrage excess earnings liability in 2021.

Additional information on the City's long-term liabilities is provided in the City's Debt Manual which is available at:

<https://www.redmond.gov/DocumentCenter/View/21680/2022-Debt-Manual-PDF>

Note 12: Leases

Operating Leases:

The City leases the office building and other equipment under noncancelable operating leases. For the year ended December 31, 2021, the office building cost was \$529,000, other equipment cost was \$67,799, and \$596,799 total cost for all leases.

The future minimum lease payments for these leases are as follows:

Year Ending December 31	Building Lease*	Other Equipment Leases	Total Leases
2022	\$ 562,750	\$ 67,799	\$ 630,549
2023	566,500	67,799	634,299
2024	570,250	67,799	638,049
2025	610,000	67,799	677,799
Total	<u>\$ 2,309,500</u>	<u>\$ 271,196</u>	<u>\$ 2,580,696</u>

Note: *Lease of Redmond Community Center at Marymoor Village from Lake Washington Institute of Technology. Agreement No. 2019-069, Lease of Space for Medic 123 Quarters at Evergreen Hospital – Amendment No. 4 Agreement No. 20-085, Old Redmond Schoolhouse (ORSH) Lease Agreement No 20-161.

Note 13:

Tax Abatement

The State of Washington enters into various tax abatement agreements that have the effect of reducing the amount of tax revenue that flows through to the local jurisdictions. The reported figures are provided by the Department of Revenue and are estimates based upon calendar year 2020 as a proxy for fiscal year 2021. There are two state tax abatement programs that reduced the 2021 tax revenues of the City of Redmond, as follows:

High-Technology Sales and Use Tax Deferral Program

Chapter 82.63 RCW provides a deferral and ultimate waiver of sales and use tax to encourage the creation of high-wage, high-skilled jobs in state of Washington. The deferral applies to sales and use tax arising from the construction or expansion of a qualified research and development facility or a pilot scale manufacturing facility used in the fields of advanced computing, advanced materials, biotechnology, electronic device technology, or environmental technology. This program expired on January 1st, 2015.

Businesses that hold approved certificates under this program must begin 'meaningful construction' no later than December 31, 2019 (five years from the date the program expired). If the business does not begin meaningful construction by December 31, 2019, the deferral certificates become invalid, and businesses will immediately owe any deferred taxes. "Meaningful construction" is active construction. Examples such as building site excavation, laying a building foundation, and other tangible signs of construction qualify as signs of active construction. Planning, permitting, and land clearing do not qualify as active construction.

The estimated reduction in 2021 sales and use tax revenues for the City of Redmond as a result of this abatement program is \$1,795,635.

Biotechnology Product and Medical Device Manufacturers Sales and Use Tax Deferral Program

Chapter 82.75 RCW provides a deferral and ultimate waiver of sales and use tax to encourage the creation of high-wage, high-skilled jobs in Washington. The deferral applies to sales and use tax arising from investments in construction or renovation of structures, or machinery and equipment used for biotechnology product or medical device manufacturing. This program expired on January 1st, 2017.

Applications for the deferral/waiver program must be received and approved by the Department of Revenue prior to starting construction or possessing machinery or equipment in Washington. Eligible projects will receive a sales and use tax deferral certificate issued by the Department of Revenue, which allows vendors and contractors to sell to the approved business without charging sales tax.

Sales and use tax may be deferred on three kinds of expenditures:

1. Qualified buildings.
2. Qualified machinery and equipment; and
3. Labor and services rendered in the planning, installation and construction of the project.

An annual tax performance report must be filed with DOR by May 31 of the following year in which the investment project is certified as operationally complete and for the following seven years. The project must remain an eligible investment project for an eight-year period in order for all deferred taxes to be waived. If the investment project is used for purposes other than qualified biotechnology product or medical device manufacturing activities at any time during the calendar year in which the eligible investment project is certified as operationally complete, or at any time during any of the seven succeeding calendar years, a portion of the deferred taxes must be repaid immediately. The portion due is determined by a sliding scale ranging from 100 percent recapture in the year the project is operationally complete to 12.5 percent recapture in year eight.

Since the Department of Revenue cannot disclose tax information for less than three taxpayers for either state or local estimates, the estimated reduction in 2021 sales and use tax revenues for the City of Redmond is therefore not available for this abatement program.

Note 14:

Component Units

RCW 36.145 authorizes cities to form Community Facilities Districts (CFD's) when the owners of one hundred percent (100%) of the land to be included in the district petition the city to do so. The Community Facilities Districts are independently governed, special purpose districts, vested with the corporate authority included under Article VII, section 9 of the state Constitution to make local improvements by special assessments.

The City has formed two Community Facilities Districts:

Redmond Community Facilities District 2014-1 is a special purpose district formed on July 15, 2014 by Resolution No. 1411 of the City Council of the City of Redmond, Washington, in response to a petition from Microsoft Corporation to form a community facilities district for the purpose of financing the construction of a pedestrian/bicycle bridge over SR 520 at the Overlake Transit Station and the construction of canopy coverage for waiting areas at the Overlake Transit Station. Construction of the improvements will be financed through special assessments of \$33,300,000 levied against specific Microsoft Corporation properties. The assessment will be paid in fifteen equal annual installments, with the first installment due in November 2015. The project fund was to be advanced by Microsoft in annual installments between December 2014 and December 2017; however, changes in scope of the project approved by the Board April 7, 2020 required amending the funding agreement. In April 2020, the CFD Board voted to remove construction of the pedestrian/bicycle bridge from the scope of the CFD improvements. This action was followed up on May 5, 2020 by the Board recognizing the change in project cost by revising funding agreement and relieving Microsoft of the obligation to contribute the remaining \$10,000,000 to the CFD and to provide for the CFD to refund to Microsoft \$15,411,409.45 previously deposited. The design and construction of the project elements will be administered by Sound Transit. Sound Transit has agreed to pay any cost of the improvements in excess of the assessed amounts.

Redmond Community Facilities District 2016-1 is a special purpose district formed on June 21, 2016 by Resolution No. 1453 of the City Council of the City of Redmond, Washington, in response to a petition from Microsoft Corporation to form a community facilities district for the purpose of financing the northeast 40th Street Stormwater Trunk Line project and multimodal improvements of eastbound and westbound left-turn lanes at the intersection of 154th Avenue NE and NE 51st Street along with bicycle lanes along NE 51st Street from 154th Avenue NE to the SR 520 eastbound on-ramp; and separately, multimodal improvements including bicycle lanes along NE 31st Street from the roundabout just east of SR 520 to 156th Avenue NE along with improvements to the intersection of NE 31st Street and 156th Avenue NE. Construction of the improvements will be financed through special assessments of \$24,618,000 levied against specific Microsoft Corporation properties. The assessment will be paid in fifteen equal annual installments, with the first installment due in November 2017. The project fund has been advanced by Microsoft in annual installments between December 2016 and December 2017. The design and construction of the project will be administered by the City. The improvements will be capital assets of the City of Redmond.

Each Community Facilities District's Board of Supervisors consists of three members of the Redmond City Council and two representatives nominated by the petitioner (Microsoft). The City Finance Director is the Treasurer for the CFD's, and City staff provides accounting and reporting services. Because the City appoints a majority of the Board members, has the ability to impose its will on the organizations through the ability to appoint, hire, reassign or dismiss those persons responsible for the day-to-day operation of the organizations, and the CFD's provide services almost entirely to the City. The CFD's are reported as blended component units in the Capital Investments Program funds in the City of Redmond's Annual Comprehensive Financial Report for the fiscal year ended December 31, 2021.

Questions concerning the CFD's or requests for financial statements may be addressed to Redmond Community Facilities District Treasurer, c/o Director of Finance, City of Redmond, PO Box 97010, Redmond, WA 98073-9710.

Note 15:

Joint Ventures and Operations

Water Storage and Pumping Facility

In February 1990, the City of Redmond joined with the City of Bellevue to construct, operate, and maintain a joint-use water storage and pumping facility located on the common boundary of the two cities. The City of Redmond has an undivided interest in the facility of 44%, and the City of Bellevue has an undivided interest of 56%. The City of Redmond's share of costs to construct the joint-use facility totaled \$2,078,539 and is reported on the business-type activity financial statements as improvements other than buildings. The City recognizes depreciation expense annually. Accumulated depreciation totals \$2,041,125 with a net book value of \$37,414. The city reimbursed the City of Bellevue \$28,553 for its share of operating costs in 2021.

Budget monitoring information can be obtained from the City of Bellevue Budget Department, 450 – 110th Avenue NE, Bellevue, WA 98004.

Cascade Water Alliance

In April 1999, the City of Redmond entered into an interlocal agreement with seven other water providers in the region to create the Cascade Water Alliance. The purpose of the Alliance is to provide water supply to meet current and future needs of the Alliance's members in a cost-effective and environmentally responsible manner.

The Alliance is governed by a Board of Directors consisting of one individual representative appointed by resolution of the member's legislative authority. Each member entity must pay annual dues based on the number of units served by the water system within their jurisdiction. The City of Redmond's dues for 2021 were \$643,418. The City of Redmond also paid the Alliance \$141,619 in 2021 for Regional Capital Facilities Charges (RCFCs) for new hookups to the water system that Redmond collected from new customers.

A member may withdraw from the Alliance with a resolution of its legislative authority expressing such intent. The Board will then determine the withdrawing member's obligations to the Alliance, as well as the withdrawing member's allocable share of the Alliance's then-existing obligations. The member's withdrawal shall be effective upon payment of obligations. Members do not hold legal ownership rights in any assets owned by the Alliance.

In 2011, the CWA's Board passed a resolution offering to purchase the outstanding RCFCs credits from its members at a discounted rate. These credits were awarded to its members who transferred or retained an independent water supply in excess of its needs. The Alliance's members were allowed to use such credits to apply against future RCFCs. The CWA offered to buy out the RCFC credits at \$2,500 per Cascade Equivalent Residential Unit (CERU) from its members. The City of Redmond chose the one-time redemption option. The payment was finalized and the total of \$ 3,076,875 was sent to the City of Redmond in December 2012. Such receipt was reported as capital contributions in the city's Water/Wastewater fund on the proprietary funds' Statement of Revenues, Expenses, and Changes in Fund Net Position. These monies were used to help pay off the remaining balance of the 2008's revenue bonds that became callable in 2018.

Financial statement information can be obtained from Cascade Water Alliance, c/o Chris Paulucci, Finance and Administration Manager, 520 - 112th Avenue NE, Suite 400, Bellevue, WA 98004.

A Regional Coalition for Housing (ARCH)

In November 1992, the City of Redmond joined the Cities of Kirkland, Bellevue, and King County to establish A Regional Coalition for Housing (ARCH). The agreement was recently amended in 2010. Since its inception, King County, the Cities of Redmond, Bellevue, Kirkland, Bothell, Clyde Hill, Hunts Point, Issaquah, Kenmore, Mercer Island, Newcastle, Sammamish, Woodinville, Yarrow Point, and Beaux Arts Village joined ARCH.

ARCH's purpose is to cooperatively formulate affordable housing goals and policies and to foster efforts to provide affordable housing for low and moderate-income households by combining public funding with private-sector resources. ARCH assists member governments in developing housing policies, strategies, programs, and development regulations; identifies and prioritizes projects which the member cities fund directly through their own

grants, Community Development Block Grants and US Department of Housing and Urban Development's (HUD) grants.

ARCH is governed by an Executive Board composed of a Chief Executive Officer from each member. The Executive Board is responsible for review and approval of all budgetary, financial, policy and contractual matters. The Board is assisted by an administrative staff and a Citizen Advisory Board.

Each member city provides operating funding and contributes operating revenues as specified in the annual budget for ARCH. Contributions from the member cities are based on each member's population. Contributions by member agencies are held in the ARCH Housing Trust Fund Account and dispersed by the Administering Agency for approved projects. In 2021 the city contributed \$123,104 for operations or 11.2% of the total contributions for operations by all members. The City has accumulated \$2,107,507 in the Trust Fund for funding affordable housing projects.

Members may withdraw from the ARCH agreement by giving one year's written notice to the Executive Board, by December 31st of any year, of its intention to terminate, effective December 31st of the following year. Members remain legally and financially responsible for any obligation incurred while a member of ARCH. Upon dissolution, the agreement provides for distribution of all property and assets among the members based on the percentage of the total annual contributions during the period of the agreement paid by each member. The City's share of assets is deemed immaterial and thus is not reflected in the financial statements.

Budget monitoring information can be obtained from ARCH, c/o Art Sullivan, 16225 NE 87th Street, A-3, Redmond, WA 98052.

Eastside Public Safety Communications Agency (EPSCA)

The Eastside Public Safety Communications Agency (EPSCA), an emergency regional radio access service provider operation, was established on May 26, 1992, by an interlocal agreement among the Cities of Redmond, Bellevue, Kirkland, and Mercer Island. The Agreement was amended in 1993, to include the City of Issaquah as an additional Principal. EPSCA began principal operations of the 800 MHz radio system in December 1995.

EPSCA is governed by an Executive Board, which is comprised of the Chief Executive Officers of the Principals. The Executive Board is responsible for review and approval of all budgetary, financial, and contractual matters.

An operations committee, composed of the Chief of Police and Fire Chief of each Principal, reports to the Board and oversees budget preparation, rates, revenues, expenditures, policies and other operational issues. The Committee also includes representation from non-Principal EPSCA user agencies.

EPSCA has developed an Eastside radio communications system which is integrated with a regional radio communications network. Its capital funding derives from a September 15th, 1992 voter-approved King County excess property tax levy of \$57,016,764. EPSCA's portion of the levy was \$10,004,469.

Operating revenues derive from fees charged to the principals for communications services and from subscriber fees for communications services. The City of Redmond paid \$132,316 to EPSCA in 2021 for the 800 MHz radios that are in use throughout the City. These fees would change when the access fee rate change or when radios are added or removed from the system.

The interlocal agreement among the Eastside cities provides for a weighted vote according to the proportion of each Principal's system radios in relation to the total number of system radios used by all Principals. As of December 31st, 2021, the weighted vote percentage was shown as follows:

Redmond	23.59%
Bellevue	46.52%
Kirkland	18.04%
Mercer Island	5.89%
Issaquah	5.96%
	100.00%

These percentages are reviewed and adjusted annually on January 1st, based on the number of radios on the system in use by current Principals as of December 31st of the preceding year. Upon dissolution, the interlocal agreement provides for distribution of assets among the principals based on weighted voting percentages in force at the time of dissolution.

Budget monitoring and compiled financial statements for EPSCA can be obtained from EPSCA, c/o Kale Fong, MS PSEPS, P.O. Box 97010, Redmond, WA 98073-9710.

Hazardous Materials Unit and Response Team (HazMat)

In January 1984, the City of Redmond joined the Cities of Bellevue, Kirkland, Bothell, and King County Fire Protection Districts 16 and 36 to form a Hazardous Materials Unit and Response Team (HazMat). The agreement was recently modified on July 13th, 2004. Current members are the Cities of Redmond, Bellevue, Kirkland, Bothell, Snoqualmie, along with Eastside Fire & Rescue, Woodinville Fire & Life Safety District, and King County Fire Districts 27 & 45.

The purpose of the HazMat agreement is to provide equipment and personnel for improving the quality of emergency services through development of the cooperative HazMat unit as a normal function of fire protection services. Eastside is better prepared to respond to any HazMat incident with low frequency but high risk through this existing collaborative model.

The HazMat team is governed by a Joint Board which is composed of the Fire Chiefs of the member agencies plus one member from the HazMat team. The Joint Board is responsible for formulating policy, establishing annual budgets, and acquiring, holding, and disposing of real and personal property. With the exception of the member from the HazMat team, each representative on the Joint Board has a vote on all matters. Member agencies have no equitable interest in the holdings of the consortium as stated in the agreement.

The City of Bellevue has the administrative authority for operations conducted pursuant to the agreement and provides administrative and secretarial support to the Joint Board.

The agreement may be terminated at any time upon the mutual agreement of all the members. A decision to withdraw will not relieve the withdrawing member of liability incurred prior to withdrawal. Members withdrawing from the agreement relinquish all rights to any reserve funds, equipment, or material purchased. Upon dissolution, the agreement provides for distribution of assets among the members based on the percentage of the total annual charges paid by each member during the period of the agreement.

The HazMat team has no outstanding debt or leases in 2021. Operating revenues are provided by an annual charge assessed each member based on each member's property values and number of emergency incidents. The City of Redmond paid the HazMat team \$19,901 for 2021's contract fee.

Budget monitoring information can be obtained from Eastside Hazardous Materials Joint Board, c/o Babette Bechtold, Bellevue Fire Department, P.O. Box 90012, Bellevue, WA 98004.

Community Connectivity Consortium

The Community Connectivity Consortium is a public corporation organized pursuant to the ordinances and approvals of the Consortium members and RCW 35.21.730 through 35.21.759 and RCW 39.34. The Consortium was created in 2011 and is governed by sixteen public agencies who are voting members: cities of Redmond, Bellevue, Kirkland, Renton, Auburn, Kent, Tukwila, Lake Washington School District, University of Washington, Bellevue College, Bellevue School District, Evergreen Hospital, Renton School District, Valley Communication Center, NORCOM, and King County.

The Consortium sets the terms and conditions for sharing fiber optic installation projects, outlines how the parties will work together on fiber projects and establishes the original backbone of the Fiber Consortium network through contributions of budget, fiber assets, conduit, right of way and staff expertise. It has built over 35 miles of fiber optic cable, creating strategic connection points along the way. The partners use the fiber network to connect schools and universities to enhance learning; to connect hospitals, medical facilities and clinics to improve health care; connect government facilities for public safety, transportation and other needs; and to provide an open access network to serve the public with wireless and broadband access.

The City of Redmond petitioned to join the Consortium as a non-voting member on May 14, 2012 and became a voting member at the following year. Redmond has the option to participate in fiber projects with project agreement that documents scope, roles and responsibilities, ownership, share of the overall project cost, etc.

Since 2012 access to cloud services has become more strategic as more agencies are opting for a hybrid approach with some services in the cloud and others remaining on-premises. The fiber ring provides an integrated approach with the ability to offer high speed private transport of data to the cloud at a minimal cost instead of using transport links provided from network and telecommunication carriers.

The Board can recommend new projects or services with increased dues and all members get to vote on the recommended budget each May. Besides getting the connectivity any member needs, members with similar interests may share the cost of new projects with one another. Redmond has equitable interest in the projects it participates in. If the City decides to leave the Consortium, the assets Redmond acquired under any project agreements remains Redmond's.

For additional information, please contact Chelo Picardal, Board Chair, CIO City of Bellevue, cpicardal@bellevuewa.gov

North King County Regional Public Safety Communication Agency (NORCOM)

In November 2007, the City of Kirkland, with the Cities of Bellevue, Bothell, Clyde Hill, Medina, Mercer Island, and Snoqualmie, along with Eastside Fire and Rescue, King County Fire Protection Districts 27 and 45, King and Kittitas County Fire Protection District 51, Northshore Fire Department, Shoreline Fire Department, and Woodinville Fire and Life Safety District entered into an interlocal agreement to establish and maintain a consolidated emergency service communications center to the public for emergency medical services, fire and police.

In 2008, the City of Redmond joined as a subscriber. Prior to the interlocal agreement, the formation efforts were carried out under a Joint Powers Agreement originally approved in 2005 and amended in 2006 and 2007. On July 1st, 2009, the separate dispatch operations of the Cities of Bellevue and Kirkland were combined and began operating as the Northeast King County Regional Public Safety Communications Agency (or NORCOM). NORCOM includes 911 telephone answering, computer aided dispatch of fire, police and EMS resources, public safety field technology and a records management system.

Operating revenues are provided by user fees charged to each member based on average call volume. The City of Redmond paid \$625,724 to NORCOM for calls for services and maintenance fees in 2021. Redmond has become a principal agency since January 1st, 2017.

Additional financial information can be obtained from NORCOM, c/o Gwen Pilo, Finance Manager, P.O. Box 50911, Bellevue. WA 98015-0911.

North Sound Metro SWAT and Crisis Negotiating Team

In 2016, Redmond joined the North Sound Metro Special Weapons and Tactics (SWAT) and Crisis Negotiating Team (CNT), which is a regional team made up of the following cities: Bothell, Edmonds, Kirkland, Lake Forest Park, Lynnwood, Mill Creek, Monroe, Mountlake Terrace, Mukilteo and Redmond. Redmond joined this team for the purpose of combining resources to create a specially trained and equipped unit to respond to and resolve criminal activity of a high-risk nature. The Executive Board is comprised of the Police Chiefs of all participating cities. The Board reviews and approves changes and updates to the SWAT Policy and Procedures Manual and gives approval and direction on operational matters.

Operating revenues are provided by contributions from the participating cities based on population. The City of Redmond paid \$7,191 for 2021's dues and \$5,023 for 2021's SWAT advanced training. The City's share of assets is deemed immaterial and thus is not reflected in the financial statements. Upon termination of the SWAT team, any funds or jointly purchased assets will be distributed to the participating cities.

Budget monitoring information can be obtained from Assistant Chief Jim Lawless, City of Edmonds, 250 – 5th Avenue North, Edmonds, WA 98020.

Sound Cities Association

In 1970 Sound Cities Association (SCA) was formed to help cities act locally and partner regionally to create vital, livable communities through advocacy, education, leadership, mutual support and networking. The City of Redmond is among 38 cities represented by SCA. The SCA Board of Directors oversees the general activities of the Association and governs the organization by establishing broad policies and objectives for SCA. Operating revenues are provided by membership dues based on population. The City of Redmond's dues were \$43,886 in 2021. Upon dissolution of SCA, any funds or assets shall be distributed to member cities and towns pursuant to the same formula used to determine membership dues.

The City's share of assets is deemed immaterial and thus is not reflected in the financial statements.

For additional information contact Deanna Dawson, Executive Director deanna@soundcities.org.

Note 16:
Contingencies and Litigation

As of December 31, 2021, there were a number of damage claims and lawsuits pending against the City. However, in our opinion, neither the potential liability from any single claim or lawsuit, nor the aggregate potential liability resulting from all pending claims and lawsuits, would materially affect the financial condition of the City.

Note 17:

Risk Management

The city is exposed to various risks of loss such as: theft, damage, destruction of assets, errors & omissions, injuries or property damage to others, employees' health, and natural disasters. The city has three internal service funds to account for and finance its self-insured risks of loss. The city purchases commercial insurance for claims in excess of anticipated self-insured losses. All funds of the city participate in the self-insurance programs and make payments to the self-insurance funds based on estimates of the amounts needed to pay excess insurance and related risk management and service costs, prior and current year claims paid in the current year, and to maintain adequate reserves for catastrophic losses in a given year.

Property and Liability Claims Program:

The self-insured portion of the Insurance Claims and Reserve Fund provides coverage up to a maximum of \$25,000 per occurrence for related claims and expenses. There were no claims in 2021 which exceeded the city's self-insurance limit; no claims exceeded the limit in 2020; no claims exceeded the limit in 2019. Reserves for open claims are established by an independent claim adjusting firm on a case reserve basis based on the assessment of the settlement potential and costs specifically associated with a particular claim, given the information available at the time. Cases are reviewed at least monthly and are subject to periodic audits. Lawsuits are reviewed and handled directly by the city Attorney or the excess insurer's appointed legal counsel.

The city's current approach to risk management stems from 2010 when the city conducted a comprehensive review of its property and liability risk programs. As a result, the city issued a request for proposal (RFP) for a broker/consultant and selected Bannon Carlson & Kessel, Inc. Bannon Carlson & Kessel, Inc. then conducted a search for service providers to meet the city's needs. This resulted in the city selecting Travelers Insurance for liability coverage and retaining Affiliated FM for property coverage. As a result, the city's risk program changed from a \$100,000 self-insured retention for general liability claims to a \$25,000 deductible. A deductible limit applies to all claim costs while a self-insured retention only applies to any judgment or settlement. The liability limits were extended to \$30 million for general liability as described in the table below. There were no claims in 2021, which settled in excess of deductible; no claims in 2020 exceeded deductible; there was one (1) claim in 2019 which exceeded the deductible amount.

Property insurance coverage has remained with Travelers since September 1, 2013.

Medical Self Insurance Program:

For 2021 the Medical Self-Insurance Fund provided coverage up to a maximum of \$175,000 per person per calendar year with the Excess Insurance covering an Unlimited Major Medical Maximum. There were nine (9) claimants who exceeded the per-person limit in 2021; six (6) claimants who exceeded the per-person limit in 2020; seven (7) claimants exceeded the per-person limit in 2019. All funds of the city from which employee wages are paid make premium payments to the Medical Self-Insurance Fund based on health insurance rates derived from actual fund experience and historical and market trend rates.

For several years, the City's Medical Self-Insurance Fund was carrying excess reserves of approximately \$5 million. On March 19th, 2019 Council approved the establishment of Health Reimbursement Arrangement (HRA) Voluntary Employees' Beneficiary Association (VEBA) accounts for employees based on eligibility requirements and the use of reserves in the Medical Self-Insurance Fund to support the new accounts. HRA VEBA trust is a third-party, voluntary employees' beneficiary association (VEBA) authorized under Internal Revenue Code 501(c)(9). Trust offers tax-exempt funded health reimbursement arrangement. On April 25th, 2019, a total of \$4,935,775 of excess reserves was transferred, on a one-time basis, from Medical Self-Insurance Fund to HRA VEBA employee accounts.

Council authorized the city to self-insure workers' compensation benefits effective January 1, 1998 for employee injuries and illnesses. In 2021 the City's self-insurance maximum was \$750,000 of each accident or illness for Police and Fire and \$500,000 for the rest of the employees. The City purchases excess insurance above the self-insure amounts, up to the statutory requirements. There were no claims in 2021 which exceeded insurance amount of 500,000; in 2020 no claims exceeded the city's self-insurance coverage, in 2019 no claims exceeded the city's

self-insurance coverage. Claims handling is currently contracted to an independent, qualified third-party administrator (TPA).

As of December 31, 2021, the city had reserves of \$877,005 in the Insurance Fund, \$4,096,464 in the Medical Self-Insurance Fund, and \$248,458 in the Workers' Compensation Fund to provide against risk of future loss. Claims liabilities of \$77,360 have been reported in the Insurance Fund, \$3,195,000 in the Medical Self-Insurance Fund, and \$399,850 in the Workers' Compensation Fund based on estimates provided by the city's third-party administrators. Historical claims liabilities for incurred but not reported (IBNR) in the Insurance Claims and Reserve Fund average 15% to 17% of paid claims for the year. Reported claims liabilities are based on the requirements of GASB Statement 10, which requires that a liability for claims be reported if information prior to the issuance of the financial statements indicates that it is probable that a liability has been incurred at the date of the financial statements and the amount of the loss can be reasonably estimated.

Changes in the self-insurance funds' claims liabilities in 2020 and 2021 were:

	<u>Insurance Fund</u>	<u>Medical Insurance Fund</u>	<u>Workers' Comp Fund</u>
December 31, 2020			
Unpaid claims, beginning of fiscal year	\$ 15,311	\$ 1,260,000	\$ 128,389
Claims incurred (including IBNRs)	368,646	11,012,009	1,362,869
Claims payments	(336,530)	(10,238,009)	(1,214,942)
Unpaid claims-December 31, 2020	<u>\$ 47,427</u>	<u>\$ 2,034,000</u>	<u>\$ 276,316</u>
December 31, 2021			
Unpaid claims, beginning of fiscal year	\$ 47,427	\$ 2,034,000	\$ 276,316
Claims incurred (including IBNRs)	(28,067)	13,242,854	1,005,052
Claims payments	58,000	(12,081,854)	(881,518)
Unpaid claims-December 31, 2021	<u>\$ 77,360</u>	<u>\$ 3,195,000</u>	<u>\$ 399,850</u>

Commercial insurance policies were purchased to protect the city from claims which exceed the coverage provided by the self-insurance funds.

	<u>Coverage</u>	<u>Self-Insured Retention</u>
Property policy limit	\$236,731,027	\$100,000
Earth movement	\$5,000,000	\$250,000
Flood	\$2,500,000 or \$5,000,000	\$50,000 or \$100,000*
Employee theft	\$1,000,000	\$25,000
General liability – per occurrence	\$1,000,000	\$25,000
General liability – aggregate	\$2,000,000	
Law enforcement	\$1,000,000	\$5,000
Employment related practices	\$1,000,000	\$25,000
Auto liability	\$1,000,000	\$25,000
Umbrella excess liability	\$20,000,000	\$10,000
Excess liability over umbrella (excess of general liability, auto, law enforcement liability)	\$10,000,000	
Cyber Liability	\$4,000,000	\$1,000,000
Public Entity Management Liability	\$1,000,000	\$25,000
Underground storage tank liability aggregate	\$1,000,000	\$50,000
Blanket fidelity (employee dishonesty)	\$1,000,000	\$25,000
Excess workers' compensation	statutory	\$750,000
Excess medical insurance	unlimited	\$175,000

*Depending on Location

Note 18:

Accounting and Reporting Changes

Change in Accounting Principle

Beginning in 2020 the City implemented GASB Statement No. 83, Certain Asset Retirement Obligations (ARO). The objective of the statement is to enhance comparability of financial statements among governments by establishing uniform criteria for governments to recognize and measure certain AROs, including obligations that may not have been previously reported. This Statement establishes criteria for determining the timing and pattern of recognition of a liability and a corresponding deferred outflow of resources for the AROs. GASB 83 requires a government to evaluate all relevant factors at least annually to determine whether the effects of one or more of the factors are expected to significantly change the estimated asset retirement outlays. During this yearly review, additional information was discovered that resulted in changes to the City's assumptions and methodology used for 2021 reporting; specifically, the cost estimate for each type of ARO was revised, the estimated functional life of each asset was updated, and the amortization methodology was revised from a probability weighting average methodology to a remaining years methodology. Under the probability weighting average methodology the City used estimated inflation rates based on past experience to determine the future cost of decommissioning and amortized the cost over the life of the asset. Utilizing the remaining years methodology, the asset is inflated yearly by the change in the Engineering News-Record Construction Cost Index for the Seattle region ("ENR-CCI Seattle"), the unfunded ARO is amortized over the years of remaining life of the asset. The new methodology is simple and less confusing and easily accommodates GASB 83's requirement that the underlying cost estimate (the ARO) be updated each year to show inflation and is therefore preferable to the old methodology. In addition, the new methodology amortizes the full cost of decommissioning the asset over the remaining life of the asset and; therefore, because the full amount of the ARO will be taken into account over the remaining life of the asset a prior period adjustment is not necessary if the ARO changes.

The impacts of these changes are explained in further detail below:

The City has three types of assets which have asset retirement obligations under state law: Fuel tanks, production (drinking water) wells, and monitoring wells.

Fuel Tanks: The City revised its cost estimate based on new information regarding the City's actual cost of decommissioning fuel tanks in 2013. The original estimate included three tanks and 3 pumps that were under a parking area; it was determined that due to the complexities of this site, it would cost more to decommission this entire site than it would cost to decommission a typical fuel tank. The City used this data and information to calculate a per tank decommissioning cost based on 2013 dollars and used the change in the Engineering News-Record Construction Cost Index for the Seattle region ("ENR-CCI Seattle") from 2013 through 2021 to determine cost in today's dollars. In addition, the replacement of the oldest of the current fuel tanks is funded in the current Capital Improvement Plan (CIP) for the year 2025; at that time, the tank will be 35 years old; the functional life of the asset was updated from 30 years to 35 years to align with this actual data point. Using the new methodology, the cost assumption of decommissioning a fuel tank went from \$172,690 in 2020 to \$58,376 per tank in 2021. The total asset retirement obligation went from \$897,828 in 2020 to \$233,504 in 2021 a decrease of \$664,324.

Production (drinking water) Wells: The City revised its cost estimate based on new information regarding the previous estimate used; specifically, the assumption used for 2020 valuation included demolishing the well housing which is not part of decommissioning the well. For 2021, the City used information provided by an external hydrogeologic engineer to determine a cost of \$160 per lineal foot. This assumption yields estimated decommissioning costs ranging from \$7,072 to \$12,000 per well, depending on the depth of a given well. In addition, the useful life of the well was updated. The original estimate of 50 years was a reasonable assumption when including the well housing in the estimate; however, the well hole has a much longer useful life and very little potential for failure; therefore, based on the recommendation of external experts, the City updated the useful life of the well from 50 years to 120 years. Using the new methodology, the cost assumption of decommissioning a drinking water well went from a weighted average cost of \$90,000 in 2020 to between \$7,072 - \$12,000 per well in 2021. Total asset retirement obligation went from \$1,469,090 in 2020 to \$47,296 in 2021 a decrease of \$1,421,794.

Resource protection wells: The City revised its cost estimate for decommissioning a resource protection to adjust for inflation; an increase of 7% was applied based on the ENR-CCI Seattle. The useful life of the well was also updated in 2021. The original estimate of 12 years was determined to be too short of a period and was updated to 50 years based on the recommendation of the City Public Works Staff. In addition, the year each asset was put into service was updated. In 2020 the City used Department of Ecology data to estimate the in service year for many of the resource protection wells. In 2021 the City updated this information based on actual data and information ascertained from the City's Public Works department. Using the new methodology, the cost assumption of decommissioning a resource protection well went from \$4,500 in 2020 to \$4,813 in 2021. The total asset retirement obligation went from \$461,043 in 2020 to \$418,731 in 2021 a decrease of \$42,312.

Additional information regarding Asset Retirement Obligations is included in Note 22.

Implementation of new Governmental Accounting Standards Board (GASB) pronouncements

Effective for fiscal year 2021 reporting, the City adopted the following new standards issued by the Governmental Accounting Standards Board (GASB):

GASB Statement No. 89, Accounting for interest cost incurred before the end of a construction period – enhance the relevance and comparability of information about capital assets and the cost of borrowing for a reporting period and simplify accounting for interest cost incurred before the end of a construction period.

GASB Statement No. 98, The Annual Comprehensive Financial Report – establishes the term annual comprehensive financial report and its acronym ACFR. That new term and acronym replace instances of comprehensive annual financial report and its acronym in general accepted accounting principles for local governments.

Note 19:

Prior Period Adjustments

General Fund, Tourism Fund, Transportation Capital Project Fund

The City incorrectly accrued \$736,703 of the City's 2018 portion of various state tax shared revenue. As a result, a prior period adjustment is reflected as a decrease in the beginning net position in the Governmental Funds in the Combining Statement of Revenues, Expenditures and Changes in Fund Balances Governmental Funds to align the City's portion of state tax shared revenue accruals with actual revenue received. Governmental Funds impacted by this adjustment include the General Fund (\$601,336), the Tourism Fund (\$71,727) and the Transportation Capital Project Fund (\$63,640).

Information Technology Fund

Two major software implementation projects are currently underway, replacement of Dynamics 2012 with Dynamics 365, a cloud-based business application platform and implementation of Workforce Dimensions timekeeping system. After a thorough review and reassessment, the City determines to correct the expenses of these projects from prior year and increase in construction in progress of the Internal Service Funds in 2021. A prior period adjustment of \$1,244,690 is reflected as an increase in net position in the Internal Service Funds Statement of Net position to reflect capitalization of the assets.

Parks Capital Improvement Fund

For the year ending December 31, 2021, a prior period adjustment of \$67,105 was created to reverse depreciation expense on a piece of artwork capitalized. This resulted an increase in net position as reflected in the Statement of Activities.

Redmond Community Facilities Districts

City of Redmond Community Facilities Districts (CFD) 2014-1 and 2016-1 are reported as blended component units in the City's Capital Improvement Program Funds. For the fiscal years ending December 31, 2020, 2019, 2018, 2017 and 2016 the City reported the unspent balance of special assessments as a deferred inflow of resources – unavailable revenue in the Governmental Fund Balance Sheet. For 2021, the State Audit team directed the City to reclassify CFD's unavailable revenue-special assessment deferred inflow of resources as unearned revenue in the Government Fund Balance sheet resulting in a prior period adjustment in the Statement of Activities of (\$13,351,386).

Note 20:

COVID-19 Pandemic

In February 2020, the Governor of the state of Washington declared a state of emergency in response to the spread of COVID-19. The City proactively implemented safety measures and operations continued throughout 2020 and 2021 with the majority of staff working remotely. Precautionary measures taken in 2020 to slow the spread of the virus continued throughout 2021. These measures included limitations on business operations, public events, gatherings, travel and in-person interactions. In December 2020 the State Department of Health began distributing COVID-19 vaccines under emergency use approvals according to the State allocation and priority plan and on June 30, 2021, the State re-opened. The impacts of the COVID-19 pandemic are ongoing. The City has experienced an increase in public health emergency response and other costs associated with mitigating the impacts of the COVID-19 pandemic on the residents of the City, support to homeless and vulnerable populations, small businesses, food assistance, and expanded childcare services, among others. Some of these costs have decreased since the initial declarations of emergency related to the pandemic. The City has taken a number of actions in response to the COVID-19 outbreak, including grants for local businesses, expanded grants for human services providers, and increased investment in telecommunications equipment, among other measures. Many of these costs have been offset by an allocation of \$3,473,200 in federal Coronavirus Relief Funds in 2020. The City implemented certain cost saving measures, including freezing all hiring of non-essential personnel, instituting a voluntary separation/retirement incentive for certain personnel, and delaying some non-infrastructure projects. Such measures mitigated the economic impacts of the pandemic in 2020, helping to realize \$5.6 million in budget savings in the General Fund. In 2021, the City was also awarded \$9,928,999 in Coronavirus State and Local Fiscal Recovery Funds ("SLFRF"). The City received 50 percent of these funds in 2021 and will receive the remainder in 2022.

Total General Fund revenues increased \$11,319,516 (7.8%) from 2019 to 2020 primarily due to grant funding for COVID-19 relief and the N.E. 40th Street Grade Separation capital project as well as sales tax and development fee growth related to the high level of construction activity in the City. Sales tax was up 6.1 percent in 2020 versus 2019, but the following business sectors were negatively impacted by the pandemic: Food Services and Drinking Places were down \$1,122,180 (42.8%), and Accommodations was down \$383,692 (64.0%). Property tax collections were minimally impacted by the pandemic in 2020, with 98.87% of the total levy being collected by the end of the year, which is slightly below the typical collection rate. Utility tax revenues were collectively down 4.7% in 2020 relative to 2019, with electric utility tax down 4.7% and cellular utility tax down 19.9%.

From 2020 to 2021, total General Fund revenues increased only \$1,987,991 (1.5%), primarily due to the net effect of a \$9,720,024 increase in taxes, a \$3,754,042 decrease in intergovernmental revenues, a \$2,821,218 decrease in contributions, and a \$1,436,882 decrease in investment fair value. Sales tax was up 18.5% in 2021 versus 2020 primarily due to the high level of development activity in the City. Of particular note, the Food Services and Drinking places sector was down \$12,650 (0.8%), and the Accommodations sector was up \$14,069 (6.8%). Utility tax revenues were collectively up \$974,173 (10.2%) in 2021 relative to 2020, with electric utility tax up 10.5%, long distance telephone utility tax up 42.2%, and cellular utility tax up 27.4%.

In addition to impacts on the City's governmental funds, there have been COVID-19-related revenue impacts to the City's utility systems. For instance, the City suspended late fees and shut-off processes for its utilities and did not increase utility rates for 2021. Commercial water consumption has also been significantly lower than normal due to the increase in the number of employees working from home.

The City has managed its response to the pandemic by reducing expenditures in 2020 and 2021 and conservatively estimating 2021-2022 revenues. The City has not used General Fund reserves. In addition, the City has benefited from strong sales tax growth from the high level of construction activity, which has mitigated the negative revenue impacts of the pandemic in 2020 and 2021. Looking forward, the City believes it is well positioned to absorb any unexpected revenue shortfalls in the 2021-2022 biennium given that General Fund total revenues are \$27.6 million (23.8%), above target through March 31, 2022.

Note 21:

Subsequent Events

Litigation Settlement

On April 26, 2022, the City Council approved a \$7.5 million settlement claim related to a Redmond Police Department shooting, all of which was covered by the City's insurance.

Bond Issuance

On May 24, 2022, the City sold limited tax general obligation bonds to finance \$16.0 million of the \$48.0 million total estimated cost to design, develop, construct, equip, and furnish a new senior and community center and to pay the bond issuance costs. The bond closing is expected to occur on June 1, 2022.

NOTE 22:

Asset Retirement Obligation

The City has three types of assets which have asset retirement obligations under State law: fuel tanks, Drinking water wells and resource protection wells.

The City first implemented GASB 83 in 2020 using a probability weighting average methodology. GASB 83 requires a government to evaluate all relevant factors at least annually to determine whether the effects of one or more of the factors are expected to significantly change the estimated asset retirement outlays. During this review, additional information was discovered that resulted in changes to the City's assumptions and methodology for 2021. Specifically, the cost estimate for each type of ARO, the estimated functional life of the asset was updated, and the amortization methodology was revised.

Fuel Tanks:

The City currently has four underground fuel tanks that have a legally enforcement liability associated with decommissioning costs at retirement. An underground fuel tank is an underground storage tank with unconnected underground piping, underground ancillary equipment, and containment systems. In accordance with WAC 173-360A and RCW 90.76, retirement of these assets would create a threat of releasing hazardous materials, mainly petroleum, requiring financial assurance to decommission such assets.

To determine the ARO for 2021 the city updated the cost of decommissioning the fuel tanks based on actual 2013 cost.

The city utilized a "remaining years methodology" and amortized the asset over a 35-year useful life.

<u>Underground Fuel Tank</u>	<u>Asset Remaining Useful Life in Years</u>	<u>ARO Liability</u>
15,000 Gal UST (Diesel) in service since 9/25/1990	4	\$ 58,376
15,000 Gal UST (Unleaded gas) in service since 7/1/1997	11	58,376
15,000 Gal UST (Diesel) in service since 7/1/1997	11	58,376
15,000 Gal UST (Used Motor Oil) in service since 6/8/1998	12	58,376
		<u>\$ 233,504</u>

Drinking Water Wells

The City has five drinking water wells that have a legally enforcement liability associated with decommissioning costs of retirement. In accordance with WAC 173-160-381, WAC 173-162, and RCW Chapter 18.104 for the Washington Well Construction Act, certain decommissioning steps are required to be taken when these drinking water wells are abandoned.

To determine the ARO for 2021 the city focused on the linear foot and depth of the well to determine the cost to decommission.

The city utilized a "remaining years methodology" and amortized the asset over a 100-year useful life.

<u>Drinking Water Wells</u>	<u>Asset Remining Useful Life in Years</u>	<u>ARO Liability</u>
Wells 1 & 2	102	\$ 24,000
Well 3	67	7,584
Well 4	95	8,640
Well 5	83	7,072
		<u>\$ 47,296</u>

Resource Protection Wells

The City has 87 resource protection wells that have a legally enforcement liability associated with decommissioning costs of retirement. In accordance with WAC 173-160-460 for resource protection wells, decommissioning steps are required to be taken when these assets are abandoned.

To determine the ARO for 2021 the city updated the cost of decommissioning the fuel tanks based on actual average cost.

The city utilized a “remaining years methodology” and amortized the asset over a 50-year useful life.

<u>Resource Protection Wells (Quantity)</u>	<u>Asset Remining Useful Life in Years</u>	<u>ARO Liability</u>
4	23	\$ 19,252
2	25	9,626
3	29	14,439
5	30	24,065
4	32	19,252
1	34	4,813
1	35	4,813
32	36	154,016
6	37	28,878
9	38	43,317
2	39	9,626
10	40	48,130
1	42	4,813
3	45	14,439
4	49	19,252
		<u>\$ 418,731</u>

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond
Schedule of Revenues, Expenditures
and Changes in Fund Balance
Budget and Actual - General Fund
For the year ended December 31, 2021

	Original Budget 2021-2022	Final Budget 2021-2022	2021 Actual	Actual 2021-2022 Biennium	Variance with Final Budget Positive (Negative)
REVENUES					
Taxes	\$ 146,885,796	\$ 146,885,796	\$ 94,559,997	\$ 94,559,997	\$ (52,325,799)
Licenses and permits	22,138,251	22,138,251	13,313,851	13,313,851	(8,824,400)
Contributions	4,128,974	4,128,974	1,379,367	1,379,367	(2,749,607)
Intergovernmental	10,713,763	20,642,762	7,484,510	7,484,510	(13,158,252)
Charges for services	31,467,953	27,339,158	15,029,489	15,029,489	(12,309,669)
Fines and forfeitures	1,173,491	1,173,491	293,749	293,749	(879,742)
Investment income	1,468,987	1,468,987	523,721	523,721	(945,266)
Net change in fair value of investment	200,000	200,000	(1,436,882)	(1,436,882)	(1,636,882)
Miscellaneous	2,161,285	6,290,080	2,602,625	2,602,625	(3,687,455)
Total revenues	<u>220,338,500</u>	<u>230,267,499</u>	<u>133,750,427</u>	<u>133,750,427</u>	<u>(96,517,072)</u>
EXPENDITURES					
Current					
General government	47,740,734	48,076,132	20,206,613	20,206,613	27,869,519
Public safety	104,260,031	105,265,654	53,255,479	53,255,479	52,010,175
Transportation	28,863,719	30,243,135	11,984,878	11,984,878	18,258,257
Economic environment	14,956,158	15,603,599	5,164,922	5,164,922	10,438,677
Culture and recreation	20,055,873	21,087,116	9,612,545	9,612,545	11,474,571
Social services	7,777,903	7,631,552	2,935,894	2,935,894	4,695,658
Capital outlay	3,143,900	5,045,874	950,412	950,412	4,095,462
Debt service					
Principal	193,860	193,860	94,451	94,451	99,409
Interest and issuance costs	-	-	2,597	2,597	(2,597)
Total expenditures	<u>226,992,178</u>	<u>233,146,922</u>	<u>104,207,791</u>	<u>104,207,791</u>	<u>128,939,131</u>
Excess (deficiency) of revenues over (under) expenditures	(6,653,678)	(2,879,423)	29,542,636	29,542,636	32,422,059
OTHER FINANCING SOURCES (USES)					
Transfers in	8,626,060	8,626,060	8,862,885	8,862,885	236,825
Transfers out	(22,249,731)	(50,590,200)	(41,910,074)	(41,910,074)	8,680,126
Total other financing sources and uses	<u>(13,623,671)</u>	<u>(41,964,140)</u>	<u>(33,047,189)</u>	<u>(33,047,189)</u>	<u>8,916,951</u>
Net change in fund balance	(20,277,349)	(44,843,563)	(3,504,553)	(3,504,553)	41,339,010
Fund balance-beginning	50,653,010	82,978,149	85,952,162	85,952,162	2,974,013
Prior period adjustment (Note 19)	-	-	(601,336)	(601,336)	(601,336)
Fund balance-ending	<u>\$ 30,375,661</u>	<u>\$ 38,134,586</u>	<u>\$ 81,846,273</u>	<u>\$ 81,846,273</u>	<u>\$ 43,711,687</u>

CITY OF REDMOND
SCHEDULE OF REVENUES, EXPENDITURES
AND CHANGES IN FUND BALANCE
BUDGET AND ACTUAL
ADVANCED LIFE SUPPORT MAJOR FUND
For the year ended December 31, 2021

	Original Budget 2021-2022	Final Budget 2021-2022	2021 Actual	Actual 2021-2022 Biennium	Variance with Final Budget Positive (Negative)
REVENUES					
Intergovernmental Contributions	\$ -	\$ -	\$ 1,260	\$ 1,260	\$ 1,260
Charges for services	-	-	4,900	4,900	4,900
Net change in fair value of investment	18,241,120	18,241,120	8,186,370	8,186,370	(10,054,750)
Total revenues	<u>18,241,120</u>	<u>18,241,120</u>	<u>(1,930)</u>	<u>(1,930)</u>	<u>(1,930)</u>
			8,190,600	8,190,600	(10,050,520)
EXPENDITURES					
Public safety	17,149,287	17,149,287	9,444,668	9,444,668	7,704,619
Capital outlay	-	922,811	376,775	376,775	546,036
Total expenditures	<u>17,149,287</u>	<u>18,072,098</u>	<u>9,821,443</u>	<u>9,821,443</u>	<u>8,250,655</u>
Excess (deficiency) of revenues over (under) expenditures	1,091,833	169,022	(1,630,843)	(1,630,843)	(1,799,865)
OTHER FINANCING SOURCES (USES)					
Transfers in	-	-	57,553	57,553	57,553
Transfers out	(8,000)	(8,000)	(4,000)	(4,000)	4,000
Total other financing sources (uses)	<u>(8,000)</u>	<u>(8,000)</u>	<u>53,553</u>	<u>53,553</u>	<u>61,553</u>
Net change in fund balance	1,083,833	161,022	(1,577,290)	(1,577,290)	(1,738,312)
Fund balance-beginning	1,454,493	1,203,827	1,287,252	1,287,252	83,425
Fund balance-ending	<u>2,538,326</u>	<u>1,364,849</u>	<u>(290,038)</u>	<u>(290,038)</u>	<u>(1,654,887)</u>

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond Schedule of Proportionate Share of the Net Pension Liability PERS 1 As of June 30, 2021 Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020	2021
Employer's proportion of the net pension liability (asset)	%						
Employer's proportionate share of the net pension liability (asset)	\$						
TOTAL	\$						
Employer's covered payroll	\$						
Employer's proportionate share of the net pension liability as a percentage of covered payroll	%						
Plan fiduciary net position as a percentage of the total pension liability	%						

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond Schedule of Proportionate Share of the Net Pension Liability PERS 2, 3 As of June 30, 2021 Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020	2021
Employer's proportion of the net pension liability (asset)	%						
Employer's proportionate share of the net pension liability (asset)	\$						
TOTAL	\$						
Employer's covered payroll	\$						
Employer's proportionate share of the net pension liability as a percentage of covered payroll	%						
Plan fiduciary net position as a percentage of the total pension liability	%						

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond Schedule of Proportionate Share of the Net Pension Liability PSERS As of June 30, 2021 Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020	2021
Employer's proportion of the net pension liability (asset)	0.092909%	0.073365%	0.060021%	0.013917%	0.000000%	0.000000%	0.000000%
Employer's proportionate share of the net pension liability (asset)	\$ 16,958	\$ 31,179	\$ 11,760	\$ 172	\$ -	\$ -	\$ -
TOTAL	\$ 16,958	\$ 31,179	\$ 11,760	\$ 172	\$ -	\$ -	\$ -
Employer's covered payroll	\$ 268,804	\$ 242,743	\$ 212,505	\$ 54,645	\$ -	\$ -	\$ -
Employer's proportionate share of the net pension liability as a percentage of covered payroll	6.31%	12.84%	5.53%	0.31%	-	-	-
Plan fiduciary net position as a percentage of the total pension liability	95.08%	90.41%	96.26%	99.79%	101.85%	101.68%	123.67%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond Schedule of Proportionate Share of the Net Pension Liability LEOFF 1 As of June 30, 2021 Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020	2021
Employer's proportion of the net pension liability (asset) %	0.061310%	0.066346%	0.066931%	0.067634%	0.068841%	0.070351%	0.071226%
Employer's proportionate share of the net pension liability (asset) \$	(738,921)	(683,554)	(1,015,491)	(1,227,897)	(1,360,719)	(1,328,585)	(2,439,891)
State's proportionate share of the net pension liability (asset) associated with the employer \$	(4,998,043)	(4,623,539)	(6,868,753)	(8,305,462)	(9,203,868)	(8,986,516)	(16,503,361)
TOTAL \$	(5,736,964)	(5,307,093)	(7,884,244)	(9,533,359)	(10,564,587)	(10,315,101)	(18,943,252)
Employer's covered payroll \$	182,331	-	-	-	-	-	-
Employer's proportionate share of the net pension liability as a percentage of covered payroll %	-405.26%	N/A	N/A	N/A	N/A	N/A	N/A
Plan fiduciary net position as a percentage of the total pension liability %	127.36%	123.74%	135.96%	144.42%	148.78%	146.88%	187.45%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond Schedule of Proportionate Share of the Net Pension Liability LEOFF 2 As of June 30, 2021 Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020	2021
Employer's proportion of the net pension liability (asset) %	0.905449%	0.844407%	0.888184%	0.857127%	0.845952%	0.794078%	0.885280%
Employer's proportionate share of the net pension liability (asset) \$	(9,306,205)	(4,911,324)	(12,325,116)	(17,401,547)	(19,598,111)	(16,198,032)	(51,420,727)
State's proportionate share of the net pension liability (asset) associated with the employer \$	(6,153,272)	(3,201,826)	(7,995,073)	(11,267,173)	(12,834,137)	(10,357,414)	(33,171,982)
TOTAL \$	(15,459,477)	(8,113,150)	(20,320,189)	(28,668,720)	(32,432,247)	(26,555,446)	(84,592,709)
Employer's covered payroll \$	26,361,527	25,582,420	27,783,905	28,236,058	29,619,230	30,024,792	34,022,324
Employer's proportionate share of the net pension liability as a percentage of covered payroll %	-35.30%	-19.20%	-44.36%	-61.63%	-66.17%	-53.95%	-151.14%
Plan fiduciary net position as a percentage of the total pension liability %	111.67%	106.04%	113.36%	118.50%	119.43%	115.83%	142.00%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond Schedule of Employer Contributions PERS 1

As of December 31, 2021
Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020	2021
Statutorily or contractually required contributions	\$ 1,444,684	1,653,434	1,789,500	1,885,408	1,983,953	1,944,165	1,784,515
Contributions in relation to the statutorily or contractually required contributions	\$ (1,444,684)	(1,653,434)	(1,789,500)	(1,885,408)	(1,983,953)	(1,944,165)	(1,784,515)
Contribution deficiency (excess)	\$ -	-	-	-	-	-	-
Covered payroll **	\$ 32,615,637	34,388,717	36,162,379	36,909,229	40,004,857	40,352,746	41,590,805
Contributions as a percentage of covered payroll	% 4.43%	4.81%	4.95%	5.11%	4.96%	4.82%	4.29%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond Schedule of Employer Contributions PERS 2, 3 As of December 31, 2021 Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020	2021
Statutorily or contractually required contributions	\$ 1,814,140	2,112,355	2,461,861	2,751,819	3,077,929	3,187,761	2,962,486
Contributions in relation to the statutorily or contractually required contributions	\$ (1,814,140)	(2,112,355)	(2,461,861)	(2,751,819)	(3,077,929)	(3,187,761)	(2,962,486)
Contribution deficiency (excess)	\$ -	-	-	-	-	-	-
Covered payroll	\$ 32,160,083	33,906,036	35,809,117	36,690,221	39,899,665	40,247,586	41,547,057
Contributions as a percentage of covered payroll	% 5.64%	6.23%	6.87%	7.50%	7.71%	7.92%	7.13%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond Schedule of Employer Contributions PSERS

As of December 31, 2021
Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020	2021
Statutorily or contractually required contributions \$	15,367	17,958	7,514	-	-	-	-
Contributions in relation to the statutorily or contractually required contributions \$	(15,367)	(17,958)	(7,514)	-	-	-	-
Contribution deficiency (excess) \$	-	-	-	-	-	-	-
Covered payroll \$	237,629	272,507	112,895	-	-	-	-
Contributions as a percentage of covered payroll %	6.47%	6.59%	6.66%	0.00%	0.00%	0.00%	0.00%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond Schedule of Employer Contributions LEOFF 2

As of December 31, 2021
Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020	2021
Statutorily or contractually required contributions	\$ 1,350,946	1,339,697	1,455,369	1,515,013	1,569,795	1,658,832	1,750,521
Contributions in relation to the statutorily or contractually required contributions	\$ (1,350,946)	(1,339,697)	(1,455,369)	(1,515,013)	(1,569,795)	(1,658,832)	(1,750,521)
Contribution deficiency (excess)	\$ -	-	-	-	-	-	-
Covered payroll	\$ 26,751,402	26,528,575	28,238,790	28,691,585	30,083,310	32,073,660	33,902,108
Contributions as a percentage of covered payroll	% 5.05%	5.05%	5.15%	5.28%	5.22%	5.17%	5.16%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

City of Redmond
Schedule of Changes in Total Pension Liability and Related Ratios
Firefighter's Pension Plan
Last 10 Fiscal Years

	2021	2020	2019	2018	2017	2016	2015	2014	2013	2012
Total pension liability - beginning	\$ 518,247	\$ 640,242	\$ 676,110	\$ 692,473	\$ 685,451	\$ 567,121	\$ 483,433	\$ 331,168	\$ 557,526	\$ 557,526
Service cost	-	-	-	-	-	-	-	-	-	-
Interest	15,871	19,919	21,075	21,608	21,443	17,704	15,014	10,399	17,645	17,590
Changes in benefit terms	-	-	-	-	-	-	-	-	-	-
Differences between expected and actual experience	129,301	(106,394)	(21,894)	(3,536)	16,300	128,397	97,140	154,238	(231,779)	(1,918)
Changes of assumptions	(29,517)	-	-	-	-	-	-	-	-	-
Benefit payments, including refunds of contributions	(44,555)	(35,520)	(35,049)	(34,435)	(30,721)	(27,771)	(28,466)	(12,372)	(12,224)	(15,672)
Other changes	-	-	-	-	-	-	-	-	-	-
Net change in total pension liability	<u>71,100</u>	<u>(121,995)</u>	<u>(35,868)</u>	<u>(16,363)</u>	<u>7,022</u>	<u>118,330</u>	<u>83,688</u>	<u>152,265</u>	<u>(226,358)</u>	<u>-</u>
Total pension liability - ending	<u>\$ 589,347</u>	<u>\$ 518,247</u>	<u>\$ 640,242</u>	<u>\$ 676,110</u>	<u>\$ 692,473</u>	<u>\$ 685,451</u>	<u>\$ 567,121</u>	<u>\$ 483,433</u>	<u>\$ 331,168</u>	<u>\$ 557,526</u>
Covered payroll	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Total pension liability as a % of covered employee payroll	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A

Notes to Schedule:

There are no assets accumulated in a trust that meets the criteria of a qualified plan under GASB Statements 67/68.

The City of Redmond
Schedule of Changes in Total OPEB Liability and Related Ratios
OPEB Plan- LEOFF 1
For the year ended December 31, 2021
Last 10 Fiscal Years*

	2021	2020	2019	2018
Service cost	\$ -	\$ -	\$ -	\$ -
Interest	\$ 397,423	\$ 523,514	\$ 578,786	\$ 557,907
Changes in benefit terms	\$ -	\$ -	\$ -	\$ -
Changes in experience data and assumptions	\$ 526,820	\$ 3,177,258	\$ 88,620	\$ (567,119)
Estimated benefit payments	\$ (711,175)	\$ (637,970)	\$ (692,109)	\$ (547,753)
Other changes	\$ -	\$ -	\$ -	\$ -
Net Change in total OPEB liability	\$ 213,068	\$ 3,062,802	\$ (24,703)	\$ (556,965)
Total OPEB liability - beginning	\$ 18,336,583	\$ 15,273,781	\$ 15,298,484	\$ 15,855,449
Total OPEB liability - ending	\$ 18,549,651	\$ 18,336,583	\$ 15,273,781	\$ 15,298,484

Covered-employee payroll**

- - - -

Total OPEB liability as a % of covered payroll

N/A N/A N/A N/A

Notes to Schedule:

Changes of assumptions. Changes of assumptions and other inputs reflect the effects of changes in the discount rate each period. The following are the discount rates used in each period.

2021	2.16%
2020	2.21%
2019	3.50%
2018	3.87%

* Until a full 10-year trend is compiled, only information for those years available is presented.

No assets are accumulated in a trust that meets the criteria in paragraph 4 of GASB 75.

** Covered-employee payroll is the payroll of employees that are provided with OPEB through the OPEB plan (GASB 75, par. 246)

Notes to the Required Supplementary Information

Pensions

Change in Assumptions and Methods: Actuarial results that the Office of the State Actuary provided within the Department of Retirement Systems Participating Employer Financial Information report reflect the following changes in assumptions and methods:

- For all plans except LEOFF Plan 1, how terminated and vested member benefits are valued was corrected.
- How the basic minimum COLA in PERS Plan 1 is valued for legal order payees was improved.
- The average expected remaining service lives calculation was revised. It is used to recognize the changes in pension expense to no longer discount future years of service back to the present day.

Other Postemployment Benefits

In 2021 valuation calculations for the Medical and Long-Term Care Benefits were done using the Alternative Measurement Method for GASB 75 as directed by the Office of the State Actuary.

Budget to Actual Schedules

The City's budget is adopted on a GAAP basis. Expenditure appropriations include ending fund balance.

City of Redmond
Schedule of Expenditures of Federal Awards
For the Year Ended December 31, 2021

Federal Agency (Pass-Through Agency)	Federal Program	ALN Number	Other Award Number	Expenditures			Passed through to Subrecipients	Note
				From Pass- Through Awards	From Direct Awards	Total		
CDBG - Entitlement Grants Cluster								
ASSISTANT SECRETARY FOR COMMUNITY PLANNING AND DEVELOPMENT, HOUSING AND URBAN DEVELOPMENT, DEPARTMENT OF (via King County)	Community Development Block Grants/Entitlement Grants	14.218	contract #6242267	81,926	-	81,926	40,963	1,3
ASSISTANT SECRETARY FOR COMMUNITY PLANNING AND DEVELOPMENT, HOUSING AND URBAN DEVELOPMENT, DEPARTMENT OF (via King County)	COVID 19 - Community Development Block Grants/Entitlement Grants	14.218	contract #6181829	214,929	-	214,929	214,929	1,3
ASSISTANT SECRETARY FOR COMMUNITY PLANNING AND DEVELOPMENT, HOUSING AND URBAN DEVELOPMENT, DEPARTMENT OF (via King County)	COVID 19 - Community Development Block Grants/Entitlement Grants	14.218	contract #6181829	212,756	-	212,756	155,715	1,3
Total CDBG - Entitlement Grants Cluster:				509,611	-	509,611	411,607	
OFFICE OF JUSTICE PROGRAMS, JUSTICE, DEPARTMENT OF	Bulletproof Vest Partnership Program	16.607	BA-3A00S- SM02F/BA- 3A00S-SX02	-	12,320	12,320	-	1,3
Highway Planning and Construction Cluster								
FEDERAL HIGHWAY ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via Washington State Dept. of Transportation)	Highway Planning and Construction	20.205	STPUL-2015 (094) LA-8686	4,990	-	4,990	-	1,3

City of Redmond
Schedule of Expenditures of Federal Awards
For the Year Ended December 31, 2021

Federal Agency (Pass-Through Agency)	Federal Program	ALN Number	Other Award Number	Expenditures			Note
				From Pass- Through Awards	From Direct Awards	Total	
FEDERAL HIGHWAY ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via Washington State Dept. of Transportation)	Highway Planning and Construction	20.205	CM-2080 (003) LA-9589	54,973	-	54,973	1,3
FEDERAL HIGHWAY ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via Washington State Dept. of Transportation)	Highway Planning and Construction	20.205	STPUL-2975 (010) LA-10056	190,804	-	190,804	1,3
Total Highway Planning and Construction Cluster:				250,767	-	250,767	
Federal Transit Cluster							
FEDERAL TRANSIT ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via King County Metro Transit)	Federal Transit Formula Grants	20.507	FTA grant no: 1731-2019-4, Funding Source: 5307 CMAQ,	26,662	-	26,662	1,3
Total Federal Transit Cluster:				26,662	-	26,662	
Highway Safety Cluster							
NATIONAL HIGHWAY TRAFFIC SAFETY ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via WA State Traffic Safety Commission)	State and Community Highway Safety	20.600	Section 402 and 405b69-8016-0- 7-401 Distracted Driving Funding	2,350	-	2,350	1,3
Total Highway Safety Cluster:				2,350	-	2,350	
DEPARTMENTAL OFFICES, TREASURY, DEPARTMENT OF THE	COVID 19 - Coronavirus Relief Fund	21.019	N/A	-	9,983	9,983	1,3

City of Redmond

Expenditures

CITY OF REDMOND
NOTES TO THE SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS
For the Year Ended December 31, 2021

NOTE 1 – BASIS OF ACCOUNTING

This Schedule is prepared on the same basis of accounting as the City's financial statements. The City uses the modified accrual basis of accounting for governmental fund financial statements and agency funds and the accrual basis of accounting for internal service and proprietary funds.

NOTE 2 - INDIRECT COST RATE

The City has elected to use the 10-percent de minimis indirect cost rate allowed under the Uniform Guidance.

NOTE 3 – PROGRAM COSTS

The amounts shown as current year expenditures represent only the federal grant portion of the program costs. Entire program costs, including the (city/county/district's) portion, are more than shown. Such expenditures are recognized following, as applicable, either the cost principles in the OMB Circular A-87, Cost Principles for State, Local, and Indian Tribal Governments, or the cost principles contained in Title 2 U.S. Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards, wherein certain types of expenditures are not allowable or are limited as to reimbursement.

CORRECTIVE ACTION PLAN FOR FINDINGS REPORTED UNDER UNIFORM GUIDANCE

City of Redmond
January 1, 2021 through December 31, 2021

This schedule presents the corrective action planned by the City for findings reported in this report in accordance with Title 2 U.S. Code of Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance).

Finding ref number: 2021-001	Finding caption: The City's internal controls were inadequate for ensuring proper revenue recognition.
Name, address, and telephone of City contact person: Julie Elsom, Accounting Manager 15670 N.E. 85th Street Redmond, WA 98052 425-556-2181	
Corrective action the auditee plans to take in response to the finding: <i>The City of Redmond disagrees with the findings of this audit. The City has a long history of accurate financial reporting and a many pronged approach to make sure the financial statements are a true and correct representation of its financial standing and takes the accuracy of its financial reporting very seriously. We have a proven track record that our internal controls and management oversight is adequate. Our approach includes the following:</i> • <i>Accounting staff prepares the financial statements</i> • <i>The Financial Planning Division reviews the statements for accuracy</i> • <i>The Accounting Manager reviews the statements against best practices.</i> • <i>The Deputy Finance Director and the Director review the statements</i> • <i>The review of our 2021 financial statements also included an external review process. The City hired an accounting firm to consult with and review the cities financial report.</i>	

In response to the finding, the City updated our policy to provide clarification; it now includes the following language, “In unusual circumstances, where payment has been delayed beyond the 60-day cut off, the City may recognize the revenue based on normal collection patterns as to not mislead the reader or distort revenue trends from one year to the next.”

Anticipated date to complete the corrective action: As of 12/31/2022

ABOUT THE STATE AUDITOR'S OFFICE

The State Auditor's Office is established in the Washington State Constitution and is part of the executive branch of state government. The State Auditor is elected by the people of Washington and serves four-year terms.

We work with state agencies, local governments and the public to achieve our vision of increasing trust in government by helping governments work better and deliver higher value.

In fulfilling our mission to provide citizens with independent and transparent examinations of how state and local governments use public funds, we hold ourselves to those same standards by continually improving our audit quality and operational efficiency, and by developing highly engaged and committed employees.

As an agency, the State Auditor's Office has the independence necessary to objectively perform audits, attestation engagements and investigations. Our work is designed to comply with professional standards as well as to satisfy the requirements of federal, state and local laws. The Office also has an extensive quality control program and undergoes regular external peer review to ensure our work meets the highest possible standards of accuracy, objectivity and clarity.

Our audits look at financial information and compliance with federal, state and local laws for all local governments, including schools, and all state agencies, including institutions of higher education. In addition, we conduct performance audits and cybersecurity audits of state agencies and local governments, as well as state whistleblower, fraud and citizen hotline investigations.

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